

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**RESPONDENT SM LINE CORPORATION'S REPLY TO COMPLAINANT
SAMSUNG ELECTRONICS AMERICA, INC.'S PROPOSED FINDINGS OF FACT**

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Respondent, SM Line Corporation (“SM Line” or “Respondent”) hereby set sets forth its Objections and Replies to the Proposed Findings of Fact (“PFF”) of Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”).

OBJECTIONS

A. SM Line objects to and denies those statements in SM Line’s Proposed Findings of Fact (“PFF”) which violate the directive set forth in the Scheduling Order entered by ALJ Alex M. Chintella. SM Line objects to PFF’s which contain multiple statements and combine multiple assertions, partial quotations from deposition testimony and excerpts from exhibits and other documents in violation of ALJ Chintella’s directive because they have impeded SM Line’s ability to prepare concise and accurate responses. SM Line further notes that SEA made innumerable citations to the record which were erroneous and required SM Line to guess what evidence, if any, the PFF was relying upon for support. These have been noted by SM Line in its Reply and, where possible, SM Line has attempted to respond in good faith to the statements which violate this directive. Otherwise, these improper statements are denied. SM Line reserves the right to supplement this Reply to the extent necessary to avoid having been deemed to admit statements which have been improperly advanced by SEA in a form that violates the Scheduling Order.

B. SM Line objects to statements which contain or refer to facts which are not material or relevant, which are denied.

C. SM Line objects to statements which are conclusory or argumentative, which are denied.

D. SM Line objects to the headings embedded in SEA’s PFF because their inclusion is not contemplated by the Scheduling Order and because they contain assertions which are conclusory and argumentative. SM Line has not deleted these headings in order to maintain the organization

that SEA has imposed on its PFF but, to the extent any headings are conclusory or argumentative, SM Line states that they are denied.

E. SM Line objects to SEA’s characterization of documents and testimony that speak for themselves, which are denied.

SM LINE’S REPLY TO COMPLAINANT’S PROPOSED FINDINGS OF FACT

Pursuant to 46 C.F.R. §502.214, Complainant Samsung Electronics America, Inc. (“SEA”) submits the following Proposed Findings of Fact (“PFF”) in support of its Initial Brief¹.

I. INTRODUCTION

1. On April 19, 2023, pursuant to 46 U.S.C. §41301, SEA filed its Verified Complaint (“Complaint”) against Respondent SM Line Corporation (“SM Line”) (collectively, the “Parties”), and was assigned Federal Maritime Commission (“FMC”) Docket No. 23-01. CX_000002, Compl. ¶4.

Response: Admit.

2. SM Line publicly represents “offering of a full range of services from arrangements overseas to the final destination at SEA distribution centers and customers inland, otherwise known as inland transportation or ‘store door’ delivery.” CX_000003, Compl. ¶11.

Response: Admit that the Complainant made allegations concerning SM Line and that the Complaint speaks for itself. SM Line further refers to paragraphs 10 through 11 and 14 through 18 of its Answer which set forth its responses to the allegations made in the corresponding paragraphs of the Complaint. CX_00020-21.

¹ Citations to information in the record are contained in the Appendix (“App.”). The PFF is submitted today per the March 8, 2024 Memorandum Order Extending Schedule (Dkt. No. 75), making SEA’s “brief, proposed findings of fact, and appendix” due April 15, 2024.

3. Regarding its inland transportation services, SM Line states on its website that “SM Line focuses on establishing a comprehensive logistics transportation network worldwide to create value-added logistics services.” Further, “[w]ith the need to deliver value-added logistics services, SM LINE operates a comprehensive network of logistics and intermodal services around the globe.” CX_000003-04, Compl. ¶13; *accord* CX_000021, Answer ¶13 (admitted).

Response: Admit that the quotation contained in this PFF has been accurately transcribed from the section of SM Line’s webpage entitled “Introduction,” found at https://smlines.com/en/inland_01.php, CX_00004, the footnote. Deny the characterization of same by SEA as the quotation from the webpage speaks for itself.

4. SM Line markets its ability to arrange and coordinate multiple inland transportation providers as part of its store door services, stating: “[e]ach shipment is tracked and monitored by our branch office in Phoenix, Arizona. Also, transportation to inland is based on usage of modernized rail terminals run by top-class rail companies. Particularly, UP-Global IV, the most advanced rail terminal handles cargoes with first-rate service by integrating rail and truck transportation, distribution and warehousing in one place.” CX_000004, Compl. ¶14; *accord* CX_000021, Answer ¶14 (admitted).

Response: Admit that the quotation contained in this PFF has been accurately transcribed from the section of SM Line’s webpage entitled “Introduction,” found at https://smlines.com/en/inland_01.php, CX_00004 footnote. Deny the characterization of same by SEA as the quotation from the webpage speaks for itself.

5. SEA is the consignee of cargoes of home goods shipped to the U.S. in ocean shipping containers by SM Line. CX_000007, Compl. ¶27.

Response: Admit that SEA appears as the consignee on the bills of lading.

6. SM Line transported SEA containers under through bills of lading, or sea waybills, from the overseas locations through U.S. ports and on to designated U.S. inland locations (commonly known as “store door” terms). CX_000007, Compl. ¶¶28; CX_000022, Answer ¶¶28 (admitted except as to parenthetical); *see, e.g.*, CX_005440, Expert Report of Gregory E. Smith dated Feb. 21, 2024 (“Smith Report”), Ex. 4.2 (representative SM Line sea waybill designating the U.S. “PORT OF DISCHARGE” as Long Beach, CA and the inland “PLACE OF DELIVERY (BY ON CARRIER)” for “multimodal or through transportation” as Ontario, CA. The waybill is also marked as “=FREIGHT PREPAID=CY/Door”)

Response: Admit that the Complaint and the Expert Report made allegations concerning SM Line and that the Complaint and the applicable bills of lading speak for themselves. Admit that the bill of lading SM Line refers to in paragraphs 27 through 29 of its Answer, which set forth its response to the allegations made in the corresponding paragraphs of the Complaint. CX_000022, SM Line Answer ¶¶27 through 29. Denied as to SEA’s characterization that SM Line transported the shipment under “store door” terms. CX_000022-23, SM Line Answer. ¶¶30 through 39.

7. SEA’s Complaint alleges violations of the Shipping Act by SM Line in three separate counts:

- Violations of 46 U.S.C. §41102(c), Unjust and Unreasonable Practices in Handling Property. CX_000002; CX_000011-12, Compl. ¶¶6, 46-53.
- Violations of 46 U.S.C. §41104(a)(15), OSRA – Invoices without Information. CX_000002; CX_000013-14, Compl. ¶¶6, 54-58.
- Violations of 46 U.S.C. §41104(a)(14), OSRA – Unreasonable Charges. CX_000002; CX_000014-15, Compl. ¶¶6, 59-61.

Response: Admit that the Complaint made allegations concerning SM Line and that the Complaint speaks for itself. SM Line further refers to paragraphs 6, 46 through 53, 54 through 58, and 59 through 61 of its Answer which set forth its responses to the allegations made in the corresponding paragraphs of the Complaint. CX_0000020; CX_0000024-25, SM Line Answer ¶6, ¶¶46 through 53, ¶¶54 through 58, and ¶¶59 through 61.

8. SEA has sought reparations from SM Line in connection with the payments since 2020 of more than “4,500 individual demurrage type charges and in excess of 10,000 detention type charges.” CX_000011, Compl. ¶50; CX_004469, Smith Report ¶47; CX_005436, Smith Report, Ex. 1.1 (number and dollar amount of charges by category).

Response: Denied. The first demand by SEA for “reparations” was made by letter dated September 23, 2022 which sought “ten million dollars (“\$10,000,000”) ...” SEA_SMLINE_0066149, RX_0003731, Rapske Dep. Ex. 1. SM Line promptly responded on October 4, 2022 to this demand requesting: (1) identification of the SM Line invoice numbers and dates subject to SEA’s claim; (2) documents relating to any dispute filed with SM Line by SEA; (3) details of communications through which SM Line “repeatedly rejected any attempt by SEA to discuss [these matters] with SM Line’s billing coordinators.” SEA_SMLINE_0009658, RX_0003593, Rapske Dep. Ex. 2. SEA did not provide the information requested by SM Line, nor did SEA otherwise respond to SM Line’s request for additional information but instead filed this proceeding on April 19, 2023. SEA_SMLINE_0066149, RX_0003642, Rapske Dep. Ex. 3.

9. Between January 1, 2020 and December 31, 2022 (“Relevant Time Period”), SEA’s claims for direct damages for over 18,186 transportation charges are calculated as totaling

\$14,623,542. CX_004469, Smith Report ¶47; CX_005012-435; CX_005436, Smith Report Exs. 1 & 1.1.

Response: Denied. SM Line's Expert Report (Gauthier) states that "... our inspection and analysis of SEA's damages claims and supporting materials has determined that SEA's damages claims utilize unreasonable and inaccurate assumptions and disregarded relevant fact." CX_004384, Gauthier Report, ¶13. The Gauthier Report further opened that "by only presenting damages in a consolidated fashion using total demurrage charges, total detention charges, total yard charges, etc., and not on a container-by-container basis. Smith fails to prove any of his consolidated damages assertions." CX_004391, p. 20 ¶(3)(c). Mr. Gauthier also advises that, "Additionally, Smith performed a damages analysis that did not meet the professional standards for litigation services established by the AICPA or reasonableness standards established by Courts requiring him to acknowledge and assess other factors that would impact his damages analysis." CX_004391, Gauthier Report, p. 20 ¶4. Mr. Gauthier goes on to report that "SEA and its expert, Smith, have presented a financial damage analysis that utilizes unreasonable assumptions, disregards relevant facts and overly simplifies a complex situation to generate a claim that overstates any financial damages SEA may have incurred attributable to SM Line's alleged misconduct." CX_004377, Gauthier Report, P. 6 ¶4.2.

10. SEA entered into short term leases for container yard space to store containers to avoid the excessive demurrage charges accruing at the terminals. CX_004474, Smith Report ¶58; CX_002672-73, Rapske Dep. Tr. 60:24-61:16.

Response: SM Line can neither admit nor deny this PFF because SEA has not produced relevant or sufficient documents to SM Line. We note that SEA had not specifically

claim “short term leases for container yard space to store containers to avoid the excessive demurrage charges” until Smith’s Report mentioned it. CX_000011-13. The cited testimony of Rapske does not clearly mention “short term leases for container yard space” CX_002672-73. We also note that Smith’s Report mentions “warehouses” in Pennsylvania, Florida and Georgia that are considered to be East Coast and SM Line did not provide services in East Coast. CX_001355, Askins Tr. 60:3-8. And SM Line denies the PFF regarding the claim of “excessive demurrage charges accruing at the terminals” because, among many other reasons, SEA or its truckers were responsible for and in fact causing the delay.

11. SEA claims out of pocket costs incurred for warehouse leases in the amount of \$1,853,758 attributed to SM Line. CX_004474-75, Smith Report ¶58.

Response: SM Line can neither admit nor deny this PFF because SEA has not produced relevant or sufficient documents to SM Line. Until Smith mentioned it in his report, SEA did not specifically claim the costs of procuring additional “warehouse leases.” CX_000011-13. SM Line denies the PFF regarding the characterization of “attributed to SM Line” because, among many other reasons, SEA has not demonstrated any relevant information to support this claim. To the extent that there exists any relevant documents (e.g. warehouse service contract), said documents would show that SEA is solely responsible for the charges incurred for warehouse leases. Such document(s) has not been produced to SM Line.

12. SEA hired additional personnel to handle the inland transportation at a cost of \$45,939 attributed to SM Line. CX_004473-74, Smith Report ¶¶55-57.

Response: SM Line can neither admit nor deny this PFF because SEA has not produced relevant or sufficient documents to SM Line. Until Smith mentioned it in his report,

SEA did not specifically claim the costs of hiring additional personnel. CX_000011-13. SM Line denies the PFF regarding the claim of “attributed to SM Line” because, among many other reasons, SEA has not demonstrated any relevant information (e.g. employment agreement or staffing service agreement) to support this claim. To the extent that there exist some relevant documents, they show that SEA is solely responsible for paying their wages, compensations, or otherwise staffing service payments.

13. SEA seeks to recover attorneys’ fees, along with applicable pre-judgment interest. CX_000016, Compl. Prayer for Relief X(1); CX_004476-77, Smith Report ¶63.

Response: Admit that the Complaint includes a section called “Prayer For Relief” that includes interests and Complainant’s Attorneys’ fees. Denied the remaining claims of the PFF. This paraphrases the relief sought in the Complaint by SEA and is not a proposed finding of fact. SM Line refers to its Answer which contains a specific response to the allegation set forth in paragraph 1 through 9 of the Affirmative Defense in the Answer. CX_000026, SM Line Answer Affirmative Defenses ¶¶1-9. Further, the citations to paragraphs 54 through 63 in SEA’s damages expert report make no difference to attorneys; fees and, accordingly, do not support this PFF. CX_004472-77, Smith Report, ¶¶54- 63.

II. THE PARTIES

A. Complainant Samsung Electronics America, Inc.

14. SEA is a “corporation organized and existing under the laws of the State of New York, with a principal place of business at 85 Challenger Road, Ridgefield Park, New Jersey, 07660-2118.” CX_000001, Compl. ¶1; CX_000019, Answer ¶1 (admitted as to office address).

Response: Admit.

15. SEA is a leading consumer electronics company, incorporated in the United States in 1978, offering “home appliances, phones, tablets, smartwatches, mobile accessories, mobile audio, televisions, monitors, and computer products to the American public.” CX_000003, Compl. ¶7.

Response: Admits that SEA is a consumer electronic products company but avers that there is insufficient evidence in the record to support or refute the remainder of the claims set forth in this PFF.

B. Respondent SM Line Corporation

16. Respondent SM Line Corporation “is a global ocean carrier with its corporate office at SM R&D Center, #78, Magokjungang 8-ro, Gangseo-gu, Seoul 07803, Korea” (“Korea HQ”). CX_000002, Compl. ¶2; *accord* CX_000019, Answer ¶2 (admitted).

Response: Admit.

17. SM Line “conduct[s] business in the U.S. under SM Line Corporation, with its principal corporate office at 1750 East Northrop Boulevard #140, Chandler, Arizona 85286” (“U.S. Office”). CX_000002, Compl. ¶2; *accord* CX_000019, Answer ¶2 (admitted).

Response: Denied. The Arizona office address is 500 N. Juniper Dr #175, Chandler, Arizona 85226.

18. SM Line is a “vessel operating ‘ocean common carrier’ as that term is defined by 46 U.S.C. §40102 (7) and (18) and is subject to regulation by the Federal Maritime Commission (the ‘FMC’ or ‘Commission’).” CX_000002, Compl. ¶2; *accord* CX_000019, Answer ¶2 (admitted).

Response: Admit.

III. SM LINE'S MOVEMENT OF SEA CARGO

A. Mechanics of SEA Shipments

19. For the shipments at issue, SEA cargo was shipped by foreign affiliates of SEA, which contracted with and paid the freight to SM Line for the transportation services provided; SEA did not contract with SM Line. CX_002293-95, SEA 143(b)(6) Dep. Tr. 46:3-48:9.

Response: Denied as stated. Admit that SEA is not the party that signed the Service Contracts with SM Line, but clarifies that it is one of the many Samsung entities who shipped under the terms of the SM Line Service Contracts filed with the Federal Maritime Commission. While shipping under these contracts, SEA realized the benefits of their terms and conditions and was thereby in turn subject to the obligations of the Service Contracts. SEA also actively participated in the contract negotiation through its Samsung-affiliated companies that were the signatories to said service contracts.

“

“ :

...

[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]”

SM Line_0163856, RX_0004489; SM Line_0163861, RX_0004494

...

Identical languages identifying “the Parties”, and SEA as named affiliates in the said contract are found in all other SM Line service contracts that were filed with FMC. Please reference 2021 Service Contracts with S [REDACTED] (“[REDACTED]”), RX_0004506, RX_0004511; 2022 Service Contract with [REDACTED], RX_0004523, RX_0004530; and 2020 S [REDACTED], RX_0004523; 2021 Service Contract with [REDACTED], RX_0004546; 2022 Service Contract with [REDACTED], RX_0004567.

20. The ocean freight associated with the SEA shipments was not paid by SEA and is not in dispute in this FMC proceeding. CX_000931; CX_000937, Lee Dep. Tr. 67:8-13; 73:15-20.

Response: Admit as to the ocean freight not being in dispute in this FMC proceeding. SM Line cannot confirm or deny the remainder of the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

21. The vast majority of SEA shipments with SM Line moved under store door terms, also known as carrier haulage. CX_002637; CX_002706, Rapske Dep. Tr. 25:8-16; 94:3-15.

Response: Denied as stated. Store door move does not mean carrier haulage. Admit that in case of carrier haulage, an ocean carrier is typically responsible to manage and control

[REDACTED]

[REDACTED].

CX_004969.

A similar language is found in one of the SM Line's rule tariffs.

Rule Name: CUSTOMER NOMINATED TRUCKER FOR STORE DOOR DELIVERY

When Customer (including but not limited to shipper, consignee, or any other interest party (e.g. owner of the cargo) nominates its own trucker(s) (hereinafter "CNT") or prefers to use particular trucker(s) (hereinafter "PT") instead of trucker(s) appointed by Carrier (hereinafter "house trucker") for certain door delivery(s) to a cargo receiver, the following terms and conditions shall apply:

1. Carrier will only act as the agent for the customer for purposes of arranging the trucking, and the trucking service is between the trucker and Customer.

2. Even though Carrier's base rates may be inclusive of inland services (e.g. SDD (store door delivery rates)), if CNT or PT imposes a drayage or fuel rate increase, or other charges or fees, any such new or additional amounts shall solely be with Customer.

[...]

6. If CNT or PT does not or refuses to pick up nor take possession of the applicable containers within the given free time for any reason (including but not limited to change(s) in rates or lack of drivers, any risks or costs (including but not limited to DEM/DET) that occur during this time of the trucker's non-performance shall solely be with Customer.

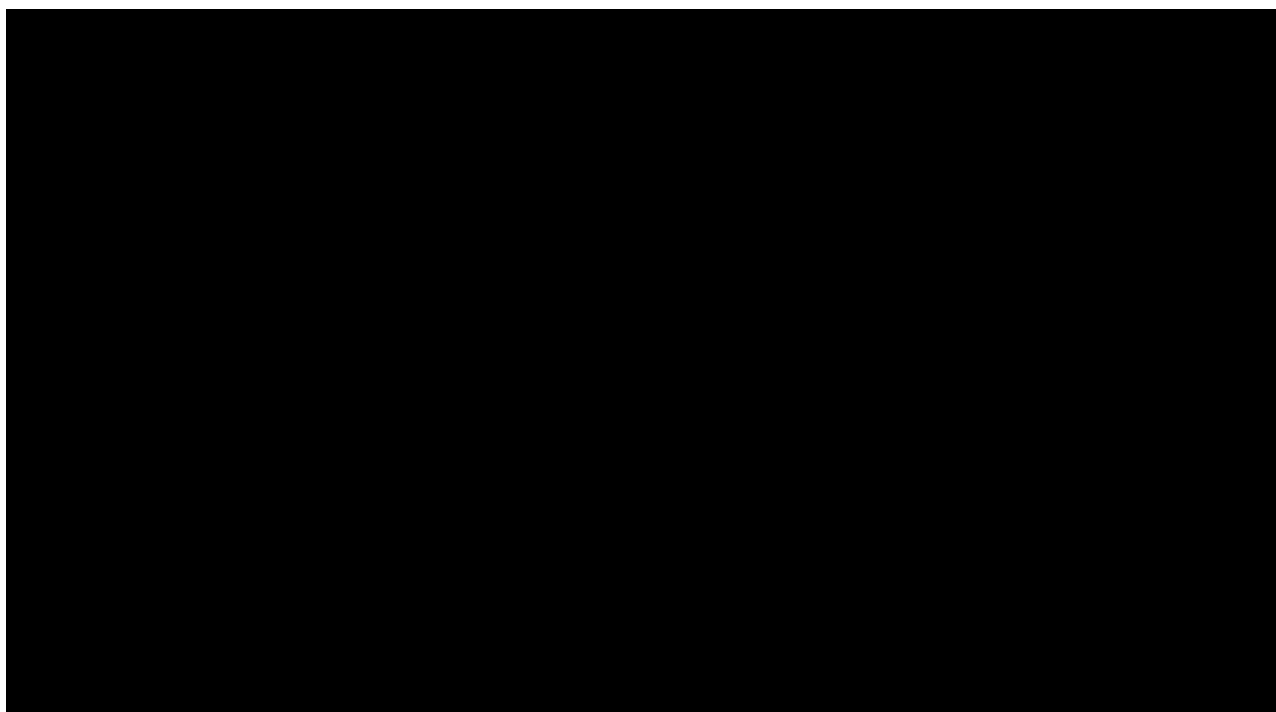
7. Customer, with thirty (30) day prior written notice, may opt out of CNT or PT arrangement and request for Carrier to use Carrier's house-trucker(s). Carrier, at its

exclusive discretion and availability of trucking service provider, may agree to such request. Any cost (including but not limited to increased rates, and any DEM/DET during the time) of hiring and utilizing different truckers shall solely be with Customer.

8. This term shall not be subject to any amendment or modification except by clearly agreed upon and executed agreement by Carrier and Customer.

RX_0004483 – 84, SM Line Tariff Rule SMLine_700

Further, SEA's own "[REDACTED]" Manual acknowledges this critical distinction.



RX_0001199

Some of the key provisions for the services of "CNT" state –

- "[REDACTED].
- "[REDACTED]
[REDACTED]

- “ [REDACTED] .
- “ [REDACTED] .

Some of the key provisions for the services of “House Trucker” state –

- “ [REDACTED] ”
- “ [REDACTED] ”
- “ [REDACTED] ”
- “ [REDACTED] ”
- “ [REDACTED] ”
- “ [REDACTED] ”

RX_0001199.

In cases that SEA nominates CNTs to complete the trucker movement of goods, SEA also undertakes to instruct the CNTs in their handling of the movement of SEA shipments, with detailed instructions and explanations, including but not limited to directing the CNT about the timing of delivery as well as the manner of delivery (live load versus drop and pick), as well as the order in which the cargo was moved by the CNT (including prioritizing other cargo over cargo), and instructing delivery on a timeline that resulted in demurrage or other costs (as an example, by instructing truckers to pre-pull the container since the container has no place to go and/or to avoid demurrage). At times, this kind of email instruction was sent from SEA to the CNT without SM Line being in copy. RX_0003708 - 3711.

SEA constantly instructed its CNTs with detailed in-land transportation services.

“Important New Notes: ... “* All ACCESSORIAL CHARGES need approval from SAMSUNG.”

“Unloading: Lowe’s will unload the units at 72-96 hours from the drop date. If container is not empty after 72-96 hours, please communicate to SAMSUNG.”

“Vendor Compliance: the loads must be delivered before the RDD [“Required Delivery Date”] or within the RDD to avoid the penalty for being late.”

RX_0003645

“Port/ Rail LFD: loads must be prepulled before the LFD. Send the break down (prepull rate/ storage rate and drop date), for approval.”

“Per Diem: if empty is not returned due to trucker’s negligence (not monitoring, oversight and etc), trucker will be liable.”

***Id.* RX_0003646.**

22. Under store door terms, cargo moves under a through bill of lading whereby the ocean carrier bears the responsibility as the common carrier for both the ocean and inland transportation of the cargo, which inland transportation could involve rail, trucking or both. CX_000007-08, Compl. ¶¶31-33; CX_004452, Smith Report ¶17; CX_004328, Expert Report of John McCown dated Feb. 21, 2024 (“McCown Report”), ¶3.

Response: Denied as stated. Repeats and incorporates our responses made in PFF nos. 21 and 89 herein.

Both of SEA’s experts failed to address or reference store-door deliver term as claimed in this PFF, including but not limited to distinguishing CNT and House Trucker situations. Admit as to a “pure” store door situation that would hold a carrier generally responsible for handling the ocean and inland transportation. Denied as to a carrier’s responsibility in a store door situation in which a carrier is using a customer’s nominated or preferred trucker (CNT). SEA’s own “Direct Ship Operation” Manual and actual practice support the very legal and

commercial implications and responsibilities between a customer's CNT and carrier's House Trucker cases even though they both may fall in a case of store door delivery term. (RX_0001199).

23. Inland transportation costs, including D&D charges, are the ocean carrier's responsibility, except in limited circumstances where a delay in the shipment was actually caused by the consignee (*e.g.*, SEA cannot receive a container otherwise ready for delivery). CX_002643-44; CX_002650, Rapske Dep. Tr. 31:11-32:12; 38:11-18; CX_002378; CX_002382-83, SEA 143(b)(6) Dep. Tr. 131:9-23; 135:12-136:3; CX_004333-34, McCown Report ¶20.

Response: Denied as stated. Repeats and incorporates the responses to PFF no. 21 herein. Admitted that the language cited was accurately transcribed from Rapske's deposition. Denied that Rapske, 143(b)(6), and McCown's statements are correct because neither Rapske nor McCown cite evidence to support it. CX_002643-44; CX_002650, Rapske Dep. Tr. 31:11-32:12; 38:11-18; CX_002378; CX_002382-83, SEA 143(b)(6) Dep. Tr. 131:9-23; 135:12-136:3; CX_004333-34, McCown Report ¶20.

Rapske's statement of "we're not specifically going through, trying to determine fault on who it is" is a clear admission that SEA did not really consider any of the "circumstances" in determining the cause for as well as the legal liability of the validity of the D&D Charges. CX_002644, Rapske Dep. Tr. 32:6-10. Rapske in the same deposition admits that for certain charges, "we would have to look at the individual scenario" when he was asked "why do you think that SM Lines is responsible for those diversion charges?"CX_002641, Rapske Dep. Tr. 29:19-22. Further, when he was asked "And we'd have to look at that, I assume, container load by container load in order to determine why there were delays after it went out the gate

at the ocean terminal?” Rapske answered “[t]o get a specific reason on each of the containers, yes.” CX_002666 - 67 (Rapske Dep. Tr. 54:22-25 and 55:3-4).

Further, Logitech’s “Maritime transport contract quotation guide” to carries, including SM Line clearly state that D&D charges are not part of the all in rates. Year 2020 through 2022 the “maritime contract guide” are similarly worded, including the part that D&D is not included in the “rates.” – “[REDACTED]” RX_0002949. This is consistent with SEA’s own “Direct Ship Operation” Manual that lists D&D charges is something that SEA is trying to avoid D&D costs. RX_0001199.

B. SEA Relied on SM Line for Store Door Service to Deliver Goods to American Consumers

24. Based on anticipated consumer demand for home appliance products, purchase orders (“POs”) are placed with overseas factories for the manufacturing and production of said products. CX_002396, SEA 143(b)(6) Dep. Tr. 149:18-22.

Response: Denied as stated because the cited testimonies did not produce relevant documents to support the claim in this PFF. The year 2022 is known as an “overstocking year” (“Retailers were saddled with surplus inventories during the COVID-era economic recovery and into the post-pandemic period. To wit, total retailer inventories reportedly rose by \$78 billion to around \$740 billion over the course of 2022 — an increase of about 12%.”) <https://www.supplychaindive.com/news/Retail-inventory-2022-2023/650119/>, <https://members.asicentral.com/news/newsletters/promogram/november-2023/suppliers-are-working-through-overstock->

[issues/#:~:text=Retailers%20were%20saddled%20with%20surplus,an%20increase%20of%20about%2012%25.](#)

25. SEA is designated by the shippers as the consignee of the designated bills of lading. CX_002721, Rapske Dep. Tr. 109:10-11; CX_000007, Compl. ¶27.

Response: Admit that SEA is named as the consignee in the applicable bills of lading, but avers that there is insufficient evidence in the record to support or refute the remainder of the claims set forth in this PFF.

26. SEA does not contract with ocean carriers, like SM Line, for the transportation of its goods; rather, the service contract for the transportation of goods destined for SEA is between SM Line, on the one hand, and foreign Samsung affiliates, such as Samsung SDS Global Asia Pte. Ltd. (“SDS”) or Samsung Electronics Logitech Co., Ltd. (“Logitech”), on the other. CX_002295; CX_002446, SEA 143(b)(6) Dep. Tr. 48:2-9; 199:5-9; CX_002713; CX_002738-39, Rapske Dep. Tr. 101:2-10; 126:24-127:6.

Response: Denied as stated. Repeats and incorporates the responses made to PFF no. 19 herein. While SEA is not the party that actually signed the Service Contract with SM Line, it is one of the named Samsung entities who shipped under the terms of the SM Line Service Contracts that were filed with the Federal Maritime Commission. By shipping under the contracts, SEA realized the benefits of these terms and conditions and was accordingly subject to the obligations of those Service Contracts. SEA also actively participated in the contract negotiation through its Samsung-affiliated companies that were the signatory to said service contracts. SEA communicated through SDS and Logitech and SEA closely participated in the service contract with SM Line through SDS and/or Logitech. RX_0002925 - 26 (English

translation doc to be used); RX_0002931 - 32 (English translation doc to be used); RX_0002935 - 41 SM Line_0156482 (English translation doc to be used).

27. SM Line could contact the Inbound Team and the Direct Shipment Department with respect to inbound shipments. The Inbound Team would handle shipments whose endpoint destination was typically a SEA distribution center, and the Direct Shipment Department would handle shipments for a SEA customer's warehouse. CX_003292-93, P. Kim Dep. Tr. 166:18-167:11.

Response: Denied as stated. The cited testimony does not support this PFF. The cited testimony is, in its entirety, SM Line counsel's line of questioning to Mr. Kim. Questions are, of course, not testimony nor evidence. There is no testimony regarding the claims in this PFF.

28. Samsung SDS America ("SDSA") took over the inland transportation shipment operation when SEA changed its shipments from door moves to CY moves between 2021 and 2022, and is responsible for reviewing and paying the invoices from the truckers under CY moves. CX_002361-62, SEA 143(b)(6) Dep. Tr. 114:2-115:7; CX_004456-57, Smith Report ¶24; CX_004469-70, Smith Report ¶48.

Response: Admit that the quotation in this PFF has been accurately transcribed from the Exhibit found at CX_004730, K.K. Choi Dep. Ex. 8 at p.4; CX_004730, K.K. Choi Dep. Ex. 8, p.4. Admit that generally an "all-in" ocean freight rate for a door delivery term includes the trucker and the railroad delivery fees in addition to the ocean freight rates. Repeats and incorporates our responses to PFF no. 21 and no. 30.

Deny the remaining claims in PFF. SEA's service contract agent Samsung Electronics Logitech ("Logitech")'s contract guideline supports SML's position in that the "all-in" rate did not include any accessorial charges, including demurrage and detention charges.

Title of the guideline says “Korea Departure and Arrival Contract Briefing Session Maritime transport contract quotation guide” in which contains supporting statement.

“The contract freight rate includes all incidental expenses (excluding diversion/detention/demurrage)” RX_0002949, 2020 version of the contract guideline, p.4.

Almost identical languages exist in 2021 and 2022 contract guides as well. RX_0002973, 2021 contract guide; and RX_0002994, 2022 contract guide. Further, SEA’s own employees admits that SEA is responsible for accessorial and other charges to the truckers and railroads. CX_003044 - 45, Maria Fernando Tr. 115:19-116:4

Q. What about the trucker’s storage fees? Are they broken out on the bills from the truckers?

A. That’s basically -- that’s for Samsung because those are accessories already.

Q. I am sorry. The pre-pull.

M. Fernando

Is that also an accessorial charge?

A. Yes.

CX_003047, Maria Fernando Tr. 118:17-118:25

Q. Who would pay for the bobtail if it’s a CNT movement?

A. If it’s a CNT move, then it’s Samsung, and then what’s going to happen for house trucker, I think the steamship line will talk to us, and then we will approve it. And then they will pay the house trucker. And then the steamship line will bill Samsung.

SM Line also advised as a part of 2022 service contract bidding in its September 2021 email to [REDACTED] (ocean pricing team that handles the ocean service contracting) the following –

“ [REDACTED]

- [REDACTED]
[REDACTED].
- [REDACTED]
[REDACTED]”

RX_0002888.

29. Ocean freight, in connection with the carriage of SEA cargo, was fully paid to SM Line and is not disputed in this FMC proceeding. CX_000931; CX_000937, Lee Dep. Tr. 67:8-13; 73:15-20.

Response: Admitted as to the ocean freight not being in dispute in this FMC proceeding, but cannot confirm or deny the remainder of the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

30. The inland transportation rates, i.e., the trucker and the railroad fees, are included in the “super all-in” ocean freight door term rates that are negotiated by foreign SEA affiliates in Korea. SEA does not pay the trucker or railroad fees. CX_002317-18, SEA 143(b)(6) Dep. Tr. 70:16-71:7; *See, also*, CX_004730, K.K. Choi Dep. Ex. 8 at 4 (“If the final destination is an Inland point, the rate is “all-in” meaning it is inclusive of destination Inland Haulage, THC, DOC, T1 Fee, W/F, ISPS, Port charge and all/any other destination surcharges.”).

Response: Denied as stated. Repeats and incorporates the responses made to PFF nos. 19, 21, and 28.

Admitted that the quotation in this PFF has been accurately transcribed from the exhibit found at CX_004730, K.K. Choi Dep. Ex. 8 at 4. Admitted that generally an “all-in” rate set for a door delivery term includes the trucker and the railroad delivery fees. Denied as to the remaining claims in PFF. In the same agreement, exhibit 8, the service requirement

distinguishes demurrage and detention charges from “all-in” rates. “In the event that containers are utilized by Samsung beyond the specified Demurrage and Detention free time, Carrier will charge Samsung Demurrage and Detention charges as per the Carrier’s governing tariff.” *Id.* CX_004732, Ex. 8 at 5 Section 4.1.12 (p. 5 as noted on the document but p. 6 of 15). And “the Carrier’s governing tariff” is very clear. RX_0004483 - 84. Please see our responses provided in PFF no. 21.

Further, SEA’s own employee admits that SEA is responsible for accessorial and other charges to the truckers and railroads:

Q. What about the trucker’s storage fees? Are they broken out on the bills from the truckers?

A. That’s basically -- that’s for Samsung because those are accessories already.

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M. Fernando

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CX_003044 - 45, Maria Fernando Tr. 115:19-116:4

Q. Who would pay for the bobtail if it’s a CNT movement?

A. If it’s a CNT move, then it’s Samsung, and then what’s going to happen for house trucker, I think the steamship line will talk to us, and then we will approve it. And then they will pay the house trucker. And then the steamship line will bill Samsung.

CX_003047, Maria Fernando Tr. 118:17-118:25.

Samsung SDS Co., Ltd. (“SDS”) explained this point about “per diem” charges not being a part of “rates” to SEA when this very question asked.

SEA: “What do you mean by “Per Diem, it can be changeable subject to marker situation and is not contractual cost.” I thought we have a contract rate with all SSL. Even we have contracted rate, we still need to pay based on SSL / market situation rate?”

SDS responds “Per diem is not contract cate. carrier has their own tariff as per their policy and terminal.”

RX_0001188.

31. Before August 1, 2022, SM Line moved cargo for SEA on store door terms such that SEA understood SM Line to be responsible for handling the movement of the goods from pickup points overseas to the U.S. endpoint. CX_002539-40, J. Choi Dep. Tr. 39:23-40:9.

Response: Denied as stated. “Pickup points” and “endpoint” are not defined nor explained by the SEA deponent as cited in the transcript. The cited transcript also does not support the claim made in this PFF. Repeats and incorporates the responses made to PFF no. 30. Admit to the extent that, if SML agreed to provide the door delivery term with its house trucker to complete cargo movements on behalf of SEA, it could generally be said to be “responsible for handling the movement of goods” as described. Denied to the extent that, particularly in contexts where SEA nominated a CNT to handle the in-land transportation of SEA goods, SEA took control, and managed CNTs in their handling of the movement of cargo with detailed instructions.

Q. When it came time to tell the trucker to go to the Samsung warehouse, who made that phone call to the trucking company? Did you do that as dispatcher?

A. I am -- yeah. I am doing the phone call to tell them to move to Samsung warehouse when I got the permissions from the upper level that they are saying, hey, this is not -- or because Best Buy going to reject or something like that. So yeah.

Q. Okay. Thank you.

And did you ever have to do that with a house trucker?

A. I would not know how to answer that because I don't really get involved with house truckers.

RX_0000933, Kim Huynh Tr. 84:3-84:16.

32. During the Relevant Time Period, SEA relied on SM Line to deliver the containers to their final locations on time and efficiently. CX_002270, SEA 143(b)(6) Dep. Tr. 23:5-11 (SEA corporate witness Mr. Jeung Choi testifying that “[i]t was more of [SEA] relying on the carrier to deliver the containers [to SEA’s customers and warehouses] on time.”); CX_002302, SEA 143(b)(6) Dep. Tr. 55:14-18 (“A door term means that the shipp[ing] line[] has the responsibility to ship the container from origin pickup to the final destination, and so the shipping liner is responsible for those charges.”); *see also* CX_002706, Rapske Dep. Tr. 94:3-7 (“Well, without getting too animated about the situation is we – basically, we were paying door-to-door, which is supposed to be the gold standard for the steamship lines to manage drayage for us, and, quite frankly, it all failed.”); *see also* CX_002706, Rapske Dep. Tr. 94:12-15 (“The burden was all on us. We were paying the steamship line for the service. They failed. So we had to take it back internally to manage it ourselves.”).

Response: Denied as stated. Repeats and incorporates our responses to PFF no. 30 herein. Admitted that the language in this PFF quoted from Rapske’s deposition has been accurately transcribed. Denied as to the legal conclusion of the deponent that it was “a door term” because at least since 2019 SEA was clearly aware of the industry practice and the contractual provision regarding who is responsible for “per diem” charges and by way signing the CNT agreement, agreed that in the event of CNT, SEA agreed to be responsible for the inland transportation move along with all other liabilities and charges. RX_0001188 (email

cited in response to PFF no. 30), and CX_004969 (“Request to Use a Customer Nominated Trucker”).

33. SEA did not have the infrastructure to manage inland transport of containers after they were discharged at marine or rail terminals. CX_002360-62, SEA 143(b)(6) Dep. Tr. 113:5-115:14; CX_002680-81, Rapske Dep. Tr. 68:22-69:4.

Response: We can neither admit not deny this PFF there is insufficient cannot confirm or deny the remainder of the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

34. For example, SEA did not have a dispatch operation to schedule trucking appointments with regard to any truckers. CX_002308; CX_002320, SEA 143(b)(6) Dep. Tr. 61:18-19; 73:19-22; CX_002850-51, Goedinghaus Dep. Tr. 76:24-77:1; 77:5-7.

Response: Denied as stated. Repeats and incorporates our responses to PFF no. 21. Further, SEA’s had employees whose job was to dispatch truckers, and manage CNTs.

Q. All right. And could you explain to us exactly what it is that you coordinate?

A. I was a documentation expert, as, like, sending out the BOL, packing list, to the carrier; and then, later on, *I was moved to a different task as a coordinator, which is dispatching the truckers, and then coordinate with the carrier, steamship line, to work with the movement for Samsung.*

RX_0000865 – 866, Kim Huynh Tr. 16:22-17:4

Q. Your job is to select the CNT trucker and assign them the job[?] *emphasis added*)

A. Yeah.

RX_0000908, Kim Huynh 59:20-59:22

36. SM Line managed inland transportation of the cargo through its equipment team (“Equipment Team”). The Equipment Team managed the volume of imports being out-gated and monitored the volume of equipment being returned, as well as monitoring when equipment was out-gated beyond its free time and sending out reminders to return it. CX_001090-91, Solarez Dep. Tr. 21:6-22:12.

Response: Admit that SM Line has a team that are generally referred to as “equipment team” and that the team may get involved in a certain aspect of import operations. Denied to the remaining PFF as the cited testimony was actually about questions and answers about demurrage and detention disputes and not related to the claims made in this PFF.

37. When a store door container arrives at the port, SM Line issues a work order to the truckers and directs them to take the containers from the port or the terminal and deliver them to the customers’ inland destinations. CX_003173-74; CX_003174-75, P. Kim Dep. Tr. 47:23-48:10; 48:23-49:4.

Response: Admits the fact that SM Line issued a work order. Denied that SM Line “directed” them to take the container and deliver them to the customers’ inland destination. Repeats and incorporates our responses to PFF nos. 21, 28 and 30 herein.

38. When SEA was compelled to undertake aspects of inland transportation responsibility in order to mitigate SM Line’s failures to perform and obtain delivery of its cargo, it created a new department to manage the transportation. CX_002555; CX_002587-88, J. Choi Dep. Tr. 55:6-12; 87:17-88:9.

Response: Admitted that SEA was always involved in inland transportation. Denied as to the remaining claims in this PFF. Repeats and incorporates our responses to PFF nos., 21, 28, and 30 herein. SEA’s own “Direct Ship Operation” Manual and practices of

instructing CNT supports that SEA was responsible for inland transportation performed by its CNT. RX_0001195, 1199. SEA's dispatcher was sending detailed inland transportation instruction to its CNTs, such as PBI and Gold Point, in 2019 as well as in 2022. (RX_0003634, RX_0003648, and RX_0003708).

39. While SM Line handled SEA cargo on store door terms until August 2022, all shipments thereafter were transitioned to CY terms. CX_002539-40, J. Choi Dep. Tr. 39:23-40:15.

Response: Denied as stated. The evidence cited does not support this PFF. In the cited transcript, SEA's witness testified that "I was brought on August 1st, 2022, and that was when we had started the CY shipments, right?" CX_002539 - 40, J. Choi Dep. Tr. 39:25 – 40:3. Admit that SEA started the transition to more of "CY/CY terms" in 2022. We note that the transition was not a sole decision of SEA. But rather SM Line notified that due to the problems with CNT, SM will want to participate in the next bidding in the CY/CY terms.

SM Line wrote to Samsung SDS (ocean pricing department that handles contracting work), "[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]" RX_0002902.

40. Under CY terms, SM Line is the common carrier only for the ocean transportation, which terminated when the container was discharged and available for pickup at the destination

port. CX_001134-35, Solarez Dep. Tr. 65:12-66:15; CX_002368, SEA 143(b)(6) Dep. Tr. 121:6-10; CX_004337-38, McCown Report ¶133.

Response: Denied as stated. Admitted that in a “CY/CY term,” the responsibility of SM Line ends when a container was delivered to the port or the rail ramp and that once a container arrived at these locations, SEA assumed responsibility for further inland moves for the containers. (“If it was a CY term, then the shipping liner is only responsible up to the point that it gets to the CY, and then from the CY and after, that would have to be SDSA or SEA’s responsibility.”). CX_002368, SEA 143(b)(6) Tr. 121:6-10; CX_000410, K.K. Choi Tr. 57:11-14 (“when it comes to CY move, as I said earlier, the carrier is going to move the cargo to the terminal or to the CY only.”).

41. For shipments under CY terms, the consignee would be responsible for dispatching the trucker to pick up the container from the terminal at which it was discharged and transporting that container inland on the final leg of carriage. CX_003170-71, P. Kim Dep. Tr. 44:17-45:5.

Response: Admit.

C. SM Line’s Obligations as a Common Carrier

42. In contrast, for store door moves, SM Line as an ocean common carrier arranges inland transportation to the shipments’ ultimate destination. CX_001998-99, Li Dep. Tr. 32:21-33:7; CX_002302; CX_002312; CX_002317-18; CX_002367-68, SEA 143(b)(6) Dep. Tr. 55:13-18; 65:9-17; 70:10-71:7; 120:25-121:10; CX_002644, Rapske Dep. Tr. 32:4-12; CX_004333; CX_004334; CX_004342-43, McCown Report ¶¶19, 22-23, 42-45.

Response: Denied as stated. Repeats and incorporates our responses to PFF nos., 21, 28, 30, and 34 herein. SEA’s witness and SEA’s expert failed to address or reference store-door delivery term as claimed in this PFF, including but not limited to distinguishing CNT

and House Trucker situations. Admit as to a “pure” store door situation that would hold a carrier generally responsible to handle the ocean and inland transportation. Denied as to a carrier’s responsibility in a store door situation in which a carrier is using a customer’s nominated or preferred trucker (CNT). SEA’s own “Direct Ship Operation” Manual and actual practice are consistent in that there exists different legal and commercial implications and responsibilities between in-land transportation moves by customer’s CNT and by carrier’s House Trucker cases, despite the fact that they are both initially referred as “store door” move. RX_0001199 and RX_0003601.

43. The trucker on a store door move can be either a house trucker or a customer nominated (or customer preferred) trucker (“CNT”). CX_002313-14, SEA 143(b)(6) Dep. Tr. 66:22-67:3; CX_001134, Solarez Dep. Tr. 65:6-10.

Response: Admit.

44. Any charges resulting from SM Line’s failure to properly handle or deliver cargo to the inland destination are SM Line’s responsibility. CX_004841-43, Solarez Dep. Ex. 19; CX_004333; CX_004334; CX_004342-43, McCown Report ¶¶20, 23, 45.

Response: Denied as stated. Repeats and incorporates our responses to PFF nos., 21, 28, 30, 34, and 42. SEA mischaracterizes the exhibit used in the Solarez deposition because the said exhibit 19 is about SM Line’s internal discussion about whether to continue to guarantee rail charges to alleviate delivery issues for one of its customers (SEA) even if it something that SM Line does not have to do for its customer. (“As known to all, situation is getting worse but most CNT customers are enjoying their privilege without being charged.”) CX_004841, SM Line_0120733, Solarez De. Ex. 19 p.1.

45. During the Relevant Time Period, SM Line knew of its obligations to pay for the demurrage and detention (“D&D”) charges that accrue on store door moves and sought to minimize such moves. CX_004841, Solarez Dep. Ex. 19 at 1 (internal SM Line email dated June 18, 2021 stating (“[a]s known to all, situation is getting worse but most CNT customers are enjoying their privilege without being charged. Please have internal communication [sic] to minimize or stop door (including CNT) shipment until further notice.”)).

Response: Denied as stated. Repeats and incorporates our responses to PFF nos., 28 and 30 herein. SEA mischaracterizes the exhibit referenced in the Solarez deposition because that exhibit (19) refers to SM Line’s internal discussion about whether to continue to guarantee rail charges to alleviate delivery issues for one of its customers (SEA) even if it something that SM Line does not have to do for its customer. SEA’s cited exhibit does not support the claims raised in this PFF.

IV. SM LINE’S USE OF CUSTOMER NOMINATED TRUCKERS

46. A CNT is a trucker that a shipper/consignee may recommend or nominate to an ocean carrier to handle the inland transportation on a through bill of lading. CX_000409-10, K.K. Choi Dep. Tr. 56:23-57:14; CX_002367-68, SEA 143(b)(6) Dep. Tr. 120:25-121:10.

Response: Denied as stated. Repeats and incorporates our responses to PFF nos. 48 and 89 herein. K.K. Choi’s testimony is mischaracterized. CX_000411 - 12. The cited transcript of SEA’s 143(b)(6) witnesses Jeung Choi’s testimony did not mention a CNT situation. SEA admitted and confirmed that CNT is not an option but a requirement and communicated this very point directly to SM Line. (“

_____”

RX_0002936, SM Line_0156184 (English translation document). As another example, SM Line cannot issue Work Order unless Samsung customer provide the CNT information to SM Line. RX_0002932.

47. SM Line is not required to use a CNT that SEA has recommended or nominated; rather, SM Line evaluates and makes the decision whether to accept or reject a CNT. SM Line can reject a CNT recommendation. CX_000413-14, K.K. Choi Dep. Tr. 60:21-61:25; CX_002352, SEA 143(b)(6) Dep. Tr. 105:6-13; CX_004805, Solarez Dep. Ex. 12 at 1 (“Longdo is Samsung’s preferred trucker to Manteca, CA. As per email below, Samsung sent the delivery info directly to Longdo Trucking. But per SELRKT, it’s our choice to use any trucker to this location.”).

Response: Denied as stated. Repeats and incorporate our responses to PFF no. 21, 28, 30, and 46 herein. The exhibit referenced in Solarez deposition is mischaracterized. The cited Solarez exhibit refers to emails about setting up SEA’s CNT because this particular service “door move” lane was initially not set up for CNT and not by a house trucker. “To Longdo Trucking. I don’t see CNT is setup, please advise your rate so I can get it setup and issue work order.” CX_004805 and CX_004811.

Also, the cited transcripts of SM’s witnesses K.K. Choi are similarly mischaracterized. Choi’s answer is specifically “No” to various assumptions and questions by SEA’s counsel:

“Q. No? I thought that was your explanation.

Could you try one more time to explain that first explanation?

A. So there was a -- we needed the container to be delivered. I asked SM Line, for example, at one point, hey, what are our options here? And they said, you can terminate the container CY at the port and have another trucker come in and you can handle that drayage aspect of it, even though it was a door move to our hub.

It was a forced hand, right. So we would have to divert it. Technically, converting it from a CY move to a door move is a diversion.

Q. Right. Now I see.

And the diversion charge would be the cost of the trucker taking it from the pier to the door, because, otherwise, it would have been included in the house charge?

A. It would have been included in the contract, yeah, to door.

Q. In the contract. All right. And so that I understand.

Lets move down to dry run.”

CX_000413, K.K. Choi Dep. Tr. 60:1-60:23.

48. The operations team in SEA’s logistics department maintains a list of potential CNTs and recommends a particular CNT “based on the past performance or past experience of delivering into the locations of [SEA’s] customers.” CX_002351, SEA 143(b)(6) Dep. Tr. 104:12-19.

Response: Denied as stated. Repeats and incorporates the responses to the PFF nos. 21, 28, 30, 46 and 48 herein.

Again, SEA is less being truthful here because SEA had may more reasons than just the “familiarity” as the reason for selecting a trucker as one of its CNTs. SEA sought ‘loyalty’ and “cooperative attitude” as well as capacity issues. Below sample email is about SEA wanting to nominate one trucker as its CNT when there was already another CNT trucker designated for that given lane as set by Samsung. But SEA is objecting to SDS on such as arrangement and insisting in using another CNT, and claiming that “as long as the truckers’ rate “go with the rate”, SM is expected to use a trucker of Samsung’s choice.

SEA’s email to SDS:

“

[REDACTED]

[REDACTED]

RX_0003715

[REDACTED]

[REDACTED]

SEA's eventual email to SDS

“ [REDACTED] ”
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED]

[REDACTED]
[REDACTED] ”

RX_0003712

SEA did not simply suggest or recommend. It required a CNT. RX_0002925-26
(English translation document).

49. SEA “recommend[s],” but is “not mandating to use” CNTs because they are familiar with SEA’s warehouses and customers’ facilities. CX_001139, Solarez Dep. Tr. 70:1-17; CX_002351-52, SEA 143(b)(6) Dep. Tr. 104:20-105:13.

Response: Denied as stated. We repeat the response to PFF Nos. 46 and 48 herein. SEA’s “Direct Ship Operation” Manual lists many reasons for choosing the CNT method as opposed to the House Trucker method of performing a door delivery. The Solarez deposition testimony cited in this PFF has nothing to do with the claim made in this PFF. The cited Solarez transcript is about rail storage charge issues and has no bearing on CNTs or its familiarity. The cited transcript of the SEA 143(b)(6) witness refers to an answer that counsel moved to strike as the answer was not responsive. Even if the answer were to be accepted, the testimony is misleading because the SEA corporate designee witness seems to suggest that because the truckers are familiar with these delivery locations, they are merely recommending them. This is contrary to the actual practice wherein SEA requires and expects its carrier, like SM Line, to use a CNT unless their basic qualifications are met. These basic qualifications have been duly discussed by deposition witness Christopher Solarez. CX_001193 – 94, Solarez Dep. Tr. 124:14-125:23 and 126:5-11, and CX_001195 – 96, 126:22-127:5; *see also* RX_0003717 (“I [REDACTED] [REDACTED]”) As stated in our response in PFF no. 46, reference RX_0002925-26 (English translation document) SEA required that its CNT provide the service.

In this communication, SEA is asking to nominate Goldpoint as its CNT when the system/service contract (by Samsung) already named a trucker as Samsung’s CNT for a given

route. SEA is objecting to SDS and insisting on using its CNT, asking “Have you reached out to SM Lies to ensure that Gold Point receives the WOs?” RX_0003722.

50. SM Line, not SEA, must approve using the CNT, and SM Line, not SEA, hires the CNT before moving any SEA shipments. CX_002637-39, Rapske Dep. Tr. 25:17-27:17; CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004805, Solarez Dep. Ex. 12 at 1; CX_001369, Askins Dep. Tr. 74:15-74:19.

Response: Admit that SM Line had to register the CNTs to SM Line’s system so that the CNTs can receive the work orders and get paid for their service (i.e. freight charges). Denied as to the remaining claims in this PFF. Repeats and incorporates our responses to PFF nos., 21, 28, 30, 46, 48, and 49 herein. SEA is misunderstanding, if not intentionally misleading, the facts surrounding how a CNT is appointed and is utilized. The CNT list is provided by [REDACTED] and [REDACTED] during the contract negotiation and are only changed at the instruction of the customer, SEA (albeit communicated at times through [REDACTED] or [REDACTED] and sometimes directly to SM Line). RX_0003729 - 22 and RX_0004174-75.

SEA again either misunderstands or deliberately misconstrues the facts here. The cited exhibit from the Solarez deposition is actually about an inland transportation lane that was not initially set up for a CNT, but SEA wanted to appoint one of its CNTs for that lane. That is why SM Line was discussing information (including the final rates) about the CNT so that SM Line can put them into the system to generate a work order and the payment system. CX_001369 (p. 4-5).

51. SEA typically “introduce[s] SM Line and the [CNT], and they work out the details,” without “[SEA getting] involved.” CX_002848-49, Goedinghaus Dep. Tr. 74:24-75:23.

Response: Denied as stated. SEA’s actual practice of engaging and utilizing CNTs and asking SDS/Logitech to talk to SM Line would contrast this assertion in this PFF. Repeats and incorporates our responses to PFF nos. 48, 49, and 50 herein,

52. SEA does not know the “contract terms between [SM Line] and [the CNT].” CX_002320-21, SEA 143(b)(6) Dep. Tr. 73:12-74:2; CX_002848-49, Goedinghaus Dep. Tr. 74:24-75:23; CX_002645, Rapske Dep. Tr. 33:3-23.

Response: Denied as stated. SEA was closely involved with negotiating the contract terms and updating relevant issues (such as CNT designation), sometimes directly and sometimes through [REDACTED] and [REDACTED]. Repeats and incorporates our responses to PFF nos. 21, 28, 30, 48, 49, and 50 herein.

SEA knew that SM Line only has limited roles (for example, that SM Line can’t get rates from a CNT. RX_0003712. SEA was in clear communication with [REDACTED] regarding CNT issues. (“SEA is requesting to proceed with Gold Point.... We [REDACTED] will be discussing with SEA about this matter.”). RX_0002926 (English translation document).

53. All truckers – whether CNTs or house truckers – must meet SM Line’s “contract requirements” to be approved, which includes insurance coverage, interchange agreements, and rates. CX_000225-27, SM Line 143(b)(6) (Session II) Dep. Tr. 176:6-178:6; CX_004848-60, Askins Dep. Ex. 3.

Response: Admitted to the fact that SM Line does have basic qualification standards. Denied as to the remaining claim as incomplete as claimed. The cited exhibit from the Askins deposition is about SEA’s CNT discussing rates and charges. That exhibit has nothing to do with factors that SM reviews before registering them in its CNT registration system.

SM Line’s qualification standards have been testified by SM Line’s employees.

Q. When there is a CNT for a shipper, does SM Line have any involvement in approving or vetting the trucker?

A. When we receive the CNT request from a shipper, if that CNT trucker is registered on the UIIA, and also if the trucker has proper insurance, we check on that. To that extent, we check on those things.

CX_000413-14, K.K. Choi Tr. 60:21-61:6.

54. SM Line may reject a CNT if the CNT is not a signatory to the Uniform Intermodal Interchange and Facilities Access Agreement (“UIIA”). CX_002017, Li Dep. Tr. 51:13-16; CX_001206, Solarez Dep. Tr. 137:12-18.

Response: Admit.

55. A CNT negotiates its rates with SM Line, and SM Line may reject a CNT if it believes the rates are too high. CX_004816, Solarez Dep. Ex. 13 at 1; CX_002985-86, Fernando Dep. Tr. 56:7-57:20.

Response: Denied as stated. SEA is misquoting the witness testimony. Fernando Dep.

Tr. 56:12-20 actually reads:

Q: So your responsibility is with the CNT truckers?

A: Our responsibility is to gather the information only from the nominated truckers, and then we provide the rates, and then the rates – we don’t have any say there. If the steamship line said its too high, we don’t have any say on that.

CX_002985.

There exists no record of evidence of SM Lien actually rejecting a CNT unless the CNT failed to provide rates. As an example, SM Line wrote to [REDACTED], “[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]” SM Line further stated that “[REDACTED]

[REDACTED]

[REDACTED]” [REDACTED] forwarded this email to SEA on the same day. RX_0002931 - 32 (English translated version).

56. While the rates for a CNT are generally higher than those of a house trucker, SM Line “has the final decision if [it is] going to use the CNT or not.” CX_003041-42, Fernando Dep. Tr. 112:25-113:23.

Response: Denied as stated as the CNT rates can be higher but also lower than the rates of House Truckers. RX_0004274 (excel document). SM Lines is expected to use CNT or shipper-appointed truckers. Numerous emails support this position including the following email, stating: “[REDACTED]

[REDACTED]

[REDACTED]” RX_0002936 (English translation). Repeats and incorporates responses to PFF nos. 54 and 55 herein.

57. The ocean freight charges, which SM Line negotiated with the foreign shippers, were for “super all-in” door moves, including “the ocean freight [charges] and the trucker and the railroad fees” as well as “other destination charges like terminal handling.” CX_002317-18, SEA 143(b)(6) Dep. Tr. 70:3-71:7.

Response: Admit that the “all in” charges for store door moves generally include ocean freight and in-land transportation service rates. Denied as to the remaining claims in this PFF. Repeats and incorporates our responses to PFF nos. 21, 24, 28, and 30 herein. For avoidance of doubt, we would like to point out that “other charges” do not include demurrage and detention charges, per diem (which would include terminal storage charges), as well as accessorial charges. Samsung’s contract guidelines clearly stated [REDACTED]

[REDACTED]. SEA witnesses also admitted that accessorial charges are the responsibility of SEA. CX_003044 - 45, Maria Fernando Tr. 115:19-116:4, CX_003047, Maria Fernando Tr. 118:17-118:25.

As stated in previous PFF responses herein, [REDACTED] confirms this point, “[REDACTED]
[REDACTED]” RX_0001188.

58. If a CNT meets SM Line’s “contract requirements” and is approved by SM Line, SM Line would then enter into an agreement with the CNT. CX_001102, Solarez Dep. Tr. 33:2-15.

Response: Admit that SM Line has to register the CNTs to SM Line’s system so that the CNTs can receive the work orders and get paid for their service (i.e. freight charges). Denied as to the remaining claims. Repeats and incorporates our responses to PFF nos., 21, 31, 35, and 49 herein. See also RX_0003721-22 and RX_0004174-75.

59. There is no separate transportation agreement between any CNT and SEA; the contractual arrangement for the movement of cargo was handled entirely by SM Line. CX_002989-90, Fernando Dep. Tr. 60:8-61:2; CX_002308-09, SEA 143(b)(6) Dep. Tr. 61:21-62:14.

Response: Denied as stated. Repeats and incorporates our responses to PFF nos., 21, 31, 35, and 49 herein. RX_0003703 shows that CNT was not getting paid so the CNT refused to carry its shipments.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

RX_0003703.

60. Benefits of using CNTs includes optimizing delivery for customers with specific requirements given that CNTs, based on past experiences, knew the routes and were familiar with the warehouse and any customer-specific requirements. CX_000416, K.K. Choi Dep. Tr. 63:2-11; CX_002637-39, Rapske Dep. Tr. 25:17-26:7; CX_001195, Solarez Dep. Tr. 126:6-17; CX_004008-09, McCown Dep. Tr. 57:25-58:13.

Response: Admit as to a CNT being familiar with the warehouse and customer. Denied because CNT is a requirement by the customer and benefits Samsung. Further denied insofar as additional relevant benefits, namely benefits to the customer, are not outlined herein. Repeats and incorporates the responses to PFF nos. 46 and 48 herein. Further, SEA's "[REDACTED]" Manual lists multiple reasons and benefits for using CNT.

- "[REDACTED]"
- "[REDACTED]"
- "[REDACTED]"
- "[REDACTED]"

RX_0001199.

SEA's email to [REDACTED] about CNT is another example of SEA exercising its authority over CNT.

"[REDACTED]"

[REDACTED]

[REDACTED]

[REDACTED]

█ [REDACTED]

█

█ [REDACTED]

█ [REDACTED]”

RX_0003712.

61. For SM Line, there is no difference between a house trucker and a CNT from an operational standpoint. CX_002016, Li Dep. Tr. 50:1-18.

Response: Admit that SM Lines issues work order to both CNT and House Truckers. Denies that there is no difference between the two from an operational standpoint. Repeats and incorporates our responses to PFF nos. 21, 28, 35, 48, and 59 herein. RX_0003601-3602), and RX_0003703.

SEA’s own “Direct Ship Operation” Manual makes this very point that the operations of CNT and House Truckers are managed and controlled very differently. RX_0001199.

62. The utilization of a CNT did not require SEA to arrange the inland transportation of the cargo and did not change SM Line’s common carrier responsibility to transport the cargo. CX_001350, Askins Dep. Tr. 55:9-55:20.

Response: Denied. Repeats and incorporates our responses to PFF nos. 21 and 61 herein. Throughout the CNT service, SEA maintained the control of CNTs with constant and detailed delivery instructions. RX_0003705-3711; RX_0003645.

63. For both CNTs and house truckers, SM Line employees would send a notice of arrival, dispatch work orders, and send daily last free day notices to truckers. CX_001349-50, Askins Dep. Tr. 54:11-55:5.

Response: Admit that SM Line generally sends notice of arrival to customers as well as to truckers and last free day notices on a regular basis. Deny the remaining claims in PFF that oversimplifies the role of SM Line without supporting information.

64. Dispatching the work orders followed the same process regardless of whether the work was being performed by a house trucker or CNT. CX_000220, SM Line 143(b)(6) (Session II) Dep. Tr. 171:4-9; CX_002016, Li Dep. Tr. 50:11-18; CX_001347-48, Askins Dep. Tr. 52:17-53:1.

Response: Admit as to the timing of dispatching the workorder; however, denied as to the process of dispatching prior to issuing a work order. For a CNT, SM Line cannot issue a work order until SEA provided the delivery instructions. Much of the demurrage occurred because SEA did not timely provide delivery instructions, whereby work orders could not be issued. Denied as to the remaining claims of the PFF as the testimony is mischaracterized. Cited testimony refers to the form of the work order, not the process of dispatching the work order. CX_001347-48, Askins Dep. Tr. 52:17--53:1.

SEA's CNT instruction also addresses the work order issue.

“Work Order(W/O): Make sure to ACCEPT or REJECT the WO, if there's issue with WO or anything, please communicate with SAMSUNG.” RX_0003646. Please also see the following emails to see that SM Line cannot issue work order without the Delivery Order that is provided by SEA. RX_0004205; RX_0004479, and RX0002275,

65. All SM Line work orders specifically directed truckers to contact a designated SM Line employee, as the “person in charge” (“PIC”) of the work order as soon as possible if the order could not be completed timely. CX_004716, K.K. Choi Dep. Ex. 4; CX_003645-46, Clair Dep. Tr. (Vol. 2) 273:11-274:25.

Response: Denied insofar as this PFF is not supported by the cite to Exhibit 4 of the KK Choi deposition. This exhibit does not reference a work order nor being contacted by a trucker if there is an issue. This email refers to rail storage charges. Generally, admit as to the general practice that if the trucker was having a problem, SM Line is one of the contacts, but not the only contact. Repeats and incorporates the response to PFF nos. 21, 61, and 64 herein.

For a CNT, SEA directed the trucker to notify them immediately if there was an issue. RX_0003645-3646. Again, SEA's "Direct Ship Operation" Manual confirms that house truckers are managed by carrier and that CNTs were managed by SEA. RX_0001199.

66. For all store door moves, SM Line was responsible for paying the trucker – a CNT or a house trucker alike. CX_001360, Askins Dep. Tr. 65:15-21; CX_002000-01, Li Dep. Tr. 34:14-35:3.

Response: Admit paying the trucker the agreed trucking service rate but deny paying the trucker not any other charges, namely detention or demurrage as well as access partial charges. Repeats and incorporates the response to PFF nos. 19, 21, 24, 28, and 30 herein.

67. During the Relevant Time Period, for store door moves with a CNT involved, SEA had additional visibility and communication with truckers, but not additional financial and legal responsibility for the trucking carriage to the final, inland destination. CX_003010, Fernando Dep. Tr. 81:9-16.

Response: Deny. Repeats and incorporates the response to PFF nos. 19, 21, 24, 28, 30, 61, and 64 herein.

68. SM Line did not distinguish between house truckers and CNT truckers when issuing work orders to truckers, responding to trucker delivery problems, addressing requests for extensions

of last free day, handling requests to waive D&D charges, or escalating service issues or charge issues with truckers. CX_001349-52, Askins Dep. Tr. 54:11-57:20.

Response: Admit that SM Line issued the work orders to truckers to CNT and House truckers. Also admit that SM Line tried to provide good customer service by communicating with truckers for any operational issues. Denied as to the remaining part of this PFF. Repeats and incorporates the response to PFF no. 19, 21, 24, 28, and 30 herein.

69. SM Line had agreements with truckers that acted as both CNT truckers and house truckers for SM Line, including Gold Point and PB Industries (“PBI”). CX_000221; CX_000234, SM Line 143(b)(6) (Session II) Dep. Tr. 172:15-23; 185:7-14; CX_001185, Solarez Dep. Tr. 116:4-10; CX_004765, Solarez Dep. Ex. 9 at 2 (identifying Gold Point as a house trucker).

Response: Deny, if the trucking service agreement is a CNT, that agreement would not be with SM Line. Repeats and incorporates the response to PFF nos. 19, 21, 24, 28, and 30 herein.

70. Gold Point and PBI were SM Line house truckers in 2017, before they were nominated as CNTs on certain routes for SEA cargo. CX_000221, SM Line 143(b)(6) (Session II) Dep. Tr. 172:3-23.

Response: Denied as stated, this PFF mischaracterizes the cited testimony. Admit that Gold Point and PBI performed service as House Truckers for other customers. They were not house truckers for any SEA in-land transportation services. CX_000221, SM Line 143(b)(6) (Session II) Dep. Tr. 172:3-23. (“As I said earlier, PBI and Gold Point, they also are house truckers of SM Line. So there’s a separate house trucker agreement, yes. But when it comes to CNTs and with respect to the customer, which is SEA in this case, there are rates for SEA’s warehouse, and Gold Point and PBI would provide those rates, which would be

included in the ocean freight rates as reflected on the service contract, and based on that, we provide quotes.”).

Also, we note that PB Industries and Gold Point Transportation were unfailingly the top two biggest truckers for SEA (in volume) between 2018 and 2021. RX_0004591 (excel document).

71. Gold Point and PBI transported a minority of SEA containers during the Relevant Time Period: in 2020, 20% and 16% respectively, in 2021, 15% and 15% respectively; and in 2022, 18% and 0%, respectively. CX_004547, SM Line 143(b)(6) (Session II) Dep. Ex. 3; *see also* CX_000233-34, SM Line 143(b)(6) (Session II) Dep. Tr. 184:9-185:14 (testifying as to SM Line 143(b)(6) (Session II) Dep. Ex. 3).

Response: Denies as to the characterization of these percentages of containers being a minority of containers. Considering that SM Lines only serviced east coast only (CX_001355, Askins Tr. 60:3-8), and that Gold Point is known as a Southern California drayage carrier and PB Industries as Midwest and South East regions, the two truckers carried were major carriers for SEA.

Gold Point Transportation:

“About

Gold Point Transportation is a major drayage carrier in Southern California & has been providing service from the POLA, POLB & rails.
<https://www.crunchbase.com/organization/gold-point-transportation>.

PB Industries Inc.:

“PBI has been servicing international community since 1985 throughout Midwest and South East regions.” <https://pbindustries.com/news/news-first-intermodal-carrier-p-b-industries-inc-joins-the-blockchain-in-trucking-alliance-bit.com>.

As far as SM Line’s accounting records are concerned, Gold Point paid a great majority of the Demurrage charges to SM Line, and PB Industries and Gold Point, combined, paid the great majority of the Detention charges. RX_0004697 (excel document), (“DMIF-DTIC Summary”).

72. During the Relevant Time Period, SM Line understood that it was responsible for providing chassis and ensuring the containers were available for pickup on both store door and CY moves, irrespective of use of a CNT. CX_000097-98; CX_000169, SM Line 143(b)(6) (Session I) Dep. Tr. 69:25-70:2; 141:9-11; CX_001201, Solarez Dep. Tr. 132:9-17; CX_001999, Li Dep. Tr. 33:8-19; CX_000064, SM Line 143(b)(6) (Session I) Dep. Tr. 36:15-18.

Response: Admit as to SM Line being responsible to make chassis available to truckers in door moves. Denied as to the remaining claims in this PFF. There were many reasons why the containers were not being picked up even though there was no chassis issues.

SEA was causing its own problems by creating a major backlog on at the rail terminal, SM Line had to email the gravity of the situation to SEA’s counterparty in Korea (i.e. [REDACTED]). “On August 17, despite requesting a prompt pick-up for Chicago CY’s undelivered container, as of August 24, 27 containers, including the additional brought in, were confirmed to be in On Chassis status and not yet shipped. As previously mentioned, non-exportation of containers in the ‘On chassis’ state hinders the use of limited chassis, and hinders the overall cargo shipping.”

To this email, [REDACTED] replied **“Currently, the volume is far too high in Chicago, so that it is physically difficult for CNT to withdraw the entire volume through payment. We are working to respond quickly, including setting up additional warehouses locally, so that we can export the products as quickly as possible.”** RX_0002917 – 23, SM Line_0166860 (English translation version).

This self-inflicted problems were happening in Dallas rail yard (where one of SEA’s main distribution centers/ warehouses), tens of containers were sitting unclaimed for more than 50 or 60 days. SM Line wrote to SDS “Today, we received a list of long-term cargo in Dallas CY (Rail Ramp) from our U.S. branch. Together with the rail transport company’s request for removal (shortage of CY field), chassis occupancy (on-chassis) is also becoming a problem. Accordingly, please refer to the list below, check the removal (pick-up) schedule and reply to us.” RX_0002894 - 95, SM Line_0156606 (English translation version).

73. CNTs looked to SM Line for direction at key points in the arrangement of inland delivery process. CX_004871-910, Gaston Dep. Ex. 8 (Gold Point looking to SM Line for guidance when trucker was experiencing delays due to chassis shortage issues, limited appointments, and closed area restrictions).

Response: Admit that SM Line was one of the parties that received notice of issues; but denied as to the characterization of SM Line giving direction to CNTs and SEA has not demonstrated any relevant information to support this claim.

74. Under store door moves, if a CNT could not move a SEA shipment for lack of capacity to handle it or due to a chassis shortage, SM Line understood that it had the responsibility to procure another trucker to deliver SEA cargo without needing an approval from SEA to do so. CX_002026, Li Dep. Tr. 60:4-12.

Response: Denied as stated. The cited testimony is also being mischaracterized and is trying to confuse that SM Line's House Trucker move is the same as SEA's use of CNT in the event of "lack of capacity" issues. SEA is generalizing "store door moves." There are two terms, pure door and CNT, each of which has different legal implications in terms of control and responsibility. Repeats and incorporates our responses to PFF nos., 21, 28, 30, 46, 48, and 49 herein. SM Line's Store Door Responsibilities Did Not Change When Using CNTs.

75. For a store door move, SM Line is the common carrier for both ocean and inland transportation. CX_000423-24, K.K. Choi Dep. Tr. 70:24-71:10.

Response: Denied as stated. There are two types of door moves. Repeats and incorporates our responses to PFF nos., 21, 28, 30, 46, 48, and 49 herein

76. Under store door terms, the responsibility of inland movement of cargo remained with SM Line until the goods were delivered. CX_000382, K.K. Choi Dep. Tr. 29:10-16; CX_000912-13, Lee Dep. Tr. 48:21-49:5; CX_001368, Askins Dep. Tr. 73:11-20.

Response: Denied as stated. Under pure door, SM Line would be responsible. Under CNT door, SM Line is not, SM Line has a limited role. Repeats and incorporates our responses to PFF nos., 21, 28, 30, 46, 48, and 49 herein

77. Whether a house or CNT trucker was used by SM Line, SEA understood that it was not responsible for cargo damage during the transportation because the responsibility remained with SM Line under store door moves. CX_002345-46, SEA 143(b)(6) Dep. Tr. 98:3-99:10.

Response: Denied as stated. SEA has not alleged any cargo damage in its complaint. CX_000009-000016. Repeats and incorporates our responses to PFF nos., 21, 28, 30, 46, 48, and 49 herein.

78. Under store door moves, SEA understood that SM Line was responsible for demurrage charges because SM Line was “responsible to gate [SEA containers] out.” CX_002323, SEA 143(b)(6) Dep. Tr. 76:17-23.

Response: Denied. Repeats and incorporates our responses to PFF nos. 19, 21, 24, 30, 46, 48, and 49 herein SEA’s contract guide (aka Request for Proposals), tariffs, as well as its own “Direct Ship Operation” Manual and service contract process expressly and uniformly confirms that SEA would be responsible for demurrage charges. RX_0001199.

79. If a SEA container was not out gated within free time, SM Line did not waive or pay the demurrage charges and required SEA to arrange for payment directly to the terminal before the container would be released. CX_001700; CX_001734, Gaston Dep. Tr. 47:7-11; 81:15-23.

Response: Admit as to the general practice that a carrier would ask the shipper to arrange payment directly to the terminal for any demurrage/terminal storage charges. Denied to the extent that, under certain circumstances, SM Line waived or stopped the clock for those days that SEA or its agent could not pick up the container.

It should be noted that SEA /CNT has the ability to directly contract the terminal to extend the Last Free Day (LFD). The terminals have extended the LFD whenever warranted.

Without copying in SM Line, SEA’s CNT (Gold Point) directly contacted an ocean terminal (TTI) seeking to extend LFD on a container claiming accessibility (appointment issues). TTI agreed to extend the LFD and assisted with the appointment issue (i.e. waived appointment). RX_0001602 – 10; RX_0001461; RX_0001440; RX_0001458; RX_0001539; RX_0003565 - 66 (in all cases LFD was extended because container(s) was/were not accessible, and appointment were exempted when needed).

SM Line's testimony is consistent with the overall practice of assessing demurrage and detention charges (by carriers) as well as per diem (by terminals).

Q. Were you involved in communication with truckers who had problems in performing the work order or otherwise had issues?

A. Yes.

Q. And what was the scope of that responsibility?

A. If the trucker had an issue getting an appointment at the warehouse, if they had an appointment issue at terminal, whatever -- whatever the trucker needed, we extended that courtesy. We always were there to help.

CX_001350, Askins Tr. 55:9-17

Repeats and incorporates our responses to PFF nos., 19, 21, 28, 30, 46, 48, and 49 herein.

80. SEA paid demurrage charges imposed by SM Line (and/or SM Line's terminal subcontractors) because SM Line did not pay them, and doing so was the only way to get containers moved out of the terminal. CX_002277; CX_002279; CX_002414-15, SEA 143(b)(6) Dep. Tr. 30:12-16; 32:5-14; 167:13-168:14.

Response: Denied as stated. SEA asked SM Line to guarantee demurrage. SM Line obliged. SEA was able to pick up a lot of containers from the terminal without paying demurrage and/or terminal storage charges. SM Line paid those charges and sought reimbursement from SEA to which SEA paid with thanks. RX_0004643 - 46.

SEA was requesting this demurrage guarantee to solve its own operational issue and to save cost. In its email to SM Line, SEA wrote “

[REDACTED]

[REDACTED]

[REDACTED]

83. Two SM Line “Request to Use a Customer Nominated Trucker” forms (“CNT Form”) were signed by SEA in 2017. CX_003181, P. Kim Dep. Tr. 55:13-23; CX_002334-36, SEA 143(b)(6) Dep. Tr. 87:6-89:8; CX_004545-46, SM Line 143(b)(6) (Session II) Dep. Ex. 2.

Response: Admit.

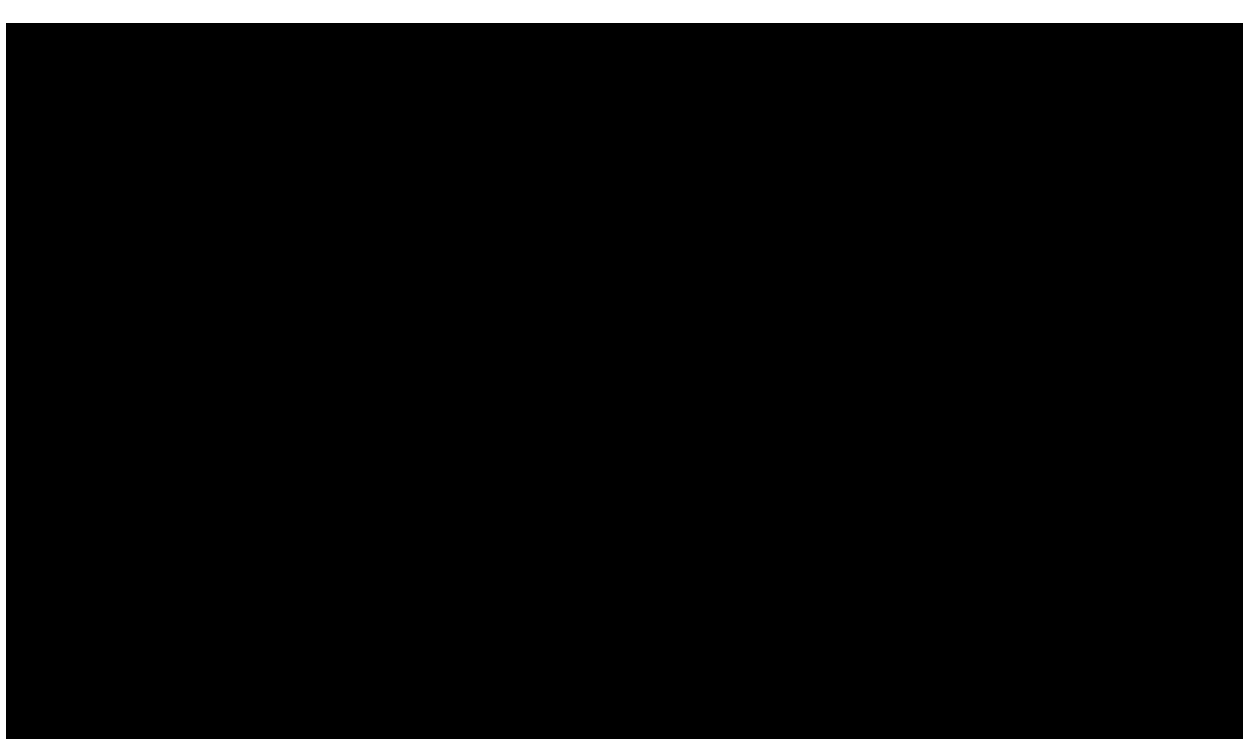
84. The CNT Form was filled out by a former SEA employee, Ms. Maria Kristina Fernando, and signed by Peter Kim based on his understanding that it was to recommend a CNT to handle a particular lane to SM Line. CX_003180; CX_003181, P. Kim Dep. Tr. 54:12-16; 55:13-23; CX_004545-46, SM Line 143(b)(6) (Session II) Dep. Ex. 2.

Response: Denied in that the evidence cited does not support this PFF.

85. If the CNT Form was meant by SM Line to have binding, legal effect, the multi-step internal processes for SEA require submitting the form “through legal and have a legal seal mark, and the legal team would have to approve first, and then secondly, it would have to have been signed by either an executive of SEA, meaning VP level and above.” CX_002338, SEA 143(b)(6) Dep. Tr. 91:2-11.

Response: Denied as stated; admit as to the accuracy of the transcript, but deny as to the binding effect as well as to the general practice of 2017.

According to SEA’s own Direct Ship Operation manual dated September 2019 (RX_0001191), Peter Kim is a manager that oversees eight (8) different divisions all below him. He stands at the top of the entire “Direct Ship” Organization of SEA.



RX_0001193.

86. Peter Kim was a Senior Manager for SEA in 2017. CX_003148-49, P. Kim Dep. Tr. 22:21-23:14.

Response: Admit.

87. Peter Kim did not have authority to execute contracts on SEA's behalf. CX_002337-38, SEA 143(b)(6) Dep. Tr. 90:22-91:11.

Response: Denied. Repeats and incorporates the response to PFF no. 84 herein.

88. The CNT Form was not countersigned by anyone at SM Line. CX_004545-46, SM Line 143(b)(6) (Session II) Dep. Ex. 2.

Response: Admit.

89. SM Line's internal policy manual for CNT nominations expressly states "[p]lease note that CNT Approvals will only be valid for the life of the S/C. Once expired, CNTs will no

longer be valid. A new request will be required when new service contracts are made to ensure that trucking costs are properly covered.” CX_005575, SM Line_0058956 at SM Line_0058960.

Response: Admit to the accuracy of the quote, deny as to the characterization of the cited manual because the premise and the content of the “manual” is about rates of CNTs. CX_005575, CX_005578 - 79.

90. In accordance with SM Line’s policy manual, the two CNT Forms were not effective during the Relevant Time Period. CX_005575, SM Line_0058956.

Response: Denied. We repeat and incorporates our responses in PFF 232 herein. Nothing in CX_005575, CX_005578 – 79 supports the that this “form” titled [REDACTED] [REDACTED] Agreement is not effective during the Relevant Time Period. To the contrary, the documents and practices actually created an expectation of the legal terms and condition between the parties when a shipper or owner of the cargo uses CNT. CX_005575, CX_005578 - 79. Also, the nearly identical (if anything more broadly construed) terms exist in SM Line tariff rule. RX_004483 – 84, (“Tariff Rule Code SMLM-700/ Rule Name: CUSTOMER NOMINATED TRUCKER FOR STORE DOOR DELIVERY”); which is a provision that has been incorporated into a service contract. RX_0004495. The applicable service contract number is clearly referenced/named on the front of the Bill of Lading SEA’s Expert Report Ex. 4 (SM Line Bill of Lading front page) RX_0004263, SM Line_0097029.

The “Conditions of Carriage” of the Seaway bill terms also clearly state that “This Waybill, which is not a document of title to the Goods, is subject to the terms and conditions, liberties, and exceptions of the Carrier’s standard bill of lading and tariff, copies of which may be obtained from the Carrier’s office and those of his authorized agents, and to the provisions

set out below.” RX_0002301-02, SM Line_0184142 – 23, SEA’s Expert Report Ex. 5 p. 1. (“Seaway Bill Terms and Conditions.”)

91. No CNT Forms for the Relevant Time Period (i.e., 2020-2022) were produced in this case by SM Line. CX_000215-17; CX_000235-38, SM Line 143(b)(6) (Session II) Dep. Tr. 166:5-168:14; 186:6-189:4.

Response: Admit.

V. THE PANDEMIC CAUSED INCREASED CONSUMER DEMAND FOR HOME APPLIANCES

92. On March 11, 2020, the World Health Organization declared that COVID-19 was officially characterized as a pandemic. CX_005609, <https://www.who.int/director-general/speeches/detail/who-director-general-s-opening-remarks-at-the-media-briefing-on-covid-19---11-march-2020>.

Response: Admit as stated.

93. The pandemic caused a surge in consumer demand for SEA home appliances such as refrigerators, ranges, microwave ovens, and washing machines, when consumers found themselves spending more time at home with greater disposable income. CX_001163-64, Solarez Dep. Tr. 94:15-95:14; CX_004454-55, Smith Report ¶21; CX_005615, Nora Naughton & Austen Hufford, *Why You Might Have Trouble Getting the Refrigerator, Can of Paint or Car You Want*, WALL ST. J. (October 25, 2020), <https://www.wsj.com/articles/factories-rush-to-keep-up-with-post-lockdown-shipping-11603627201>.

Response: Denied. The Smith Report does not support the claim made in this PFF. The cited articles speak for themselves.

94. SEA was motivated to meet the increased demand in the most efficient way possible during the pandemic. There were around 300-350 containers that moved in and out of the warehouse facilities on a weekly basis during the height of the COVID-19 pandemic. Usually, the amount was around 200-250. SEA would quickly react to warehouse space issues and established multiple overflow locations. CX_002670-75, Rapske Dep. Tr. 58:16-59:24; 60:4-16; 60:24-61:23; 62:19-63:9; CX_004458-59, Smith Report ¶28.

Response: We can neither admit not deny this PFF there is insufficient cannot confirm or deny the remainder of the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

95. There was no need to incentivize SEA to move its containers from port terminals and railheads to its warehouses or to its customers; indeed, SEA's concerns about the interruptions in their supply chain to its U.S. customer base made moving its inbound containers a priority over everything else, including forming a task force in the midst of the crisis to address the fact that SEA was "bleeding money" over the ocean carriers' refusal to perform under their store door agreements. CX_002414-15, SEA 143(b)(6) Dep. Tr. 167:13-168:14 ("So I told you the priority was to move the containers. It wasn't – of course, bleeding money or the cost wasn't as important as much – but at that point of time, the containers weren't moving, and that was a priority for Samsung. So to your point, the importance was, let's get these containers moving first. That was the priority at that time."); CX_002435-36, SEA 143(b)(6) Dep. Tr. 188:24-189:8 ("Yes. Of course, our SDSA organization was raising issues on demurrage and detention [being charged by SM Line], but mostly because we need to gate them out and have the products flow.").

Response: SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

VI. SM LINE'S INLAND TRANSPORTATION FAILINGS

96. In response to increasing SM Line performance failures, delays, and charges, SEA undertook mitigation efforts to get its cargo delivered from SM Line. These efforts included making arrangements to lease chassis from truckers who would pick up shipments from terminals at SEA's own cost, due to SM Line chassis shortages. CX_002822-23, Goedinghaus Dep. Tr. 48:3-49:15.

Response: Denied as to the characterization of SM Line performance failures, delays and/or charges; denied as to the characterization of the chassis shortage being SM Line's. Denied as to the assertion that SEA always undertook mitigation efforts.

97. SEA created a weekly report which highlighted SM Line's delayed and aging containers. The report includes information on how many containers are and were in detention or demurrage that week. The report and potential solutions were discussed at a weekly meeting at a manager level. CX_002629-30, Rapske Dep. Tr. 17:3-8; 17:21-18:10; CX_002592-93, J. Choi Dep. Tr. 92:6-93:6.

Response: SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute. The cited testimony does not support the claims in this PFF. SM Line has not received copies of said weekly reports to able to confirm or deny their existence. SEA's own witness CNT trucker has a standing instruction from SEA to provide daily reports of SEA's own report of how many containers are delivered for all carrier. RX_0003698. For SM Line's excel document, only delivery information was mentioned. RX_0003702 (excel document). RX_0000928, Kim Huynh Tr. 79:8-13.

98. As an ocean carrier contracting for a store door move, SM Line understood that it was responsible for arranging inland transportation to the ultimate destination. CX_000381-83,

K.K. Choi Dep. Tr. 28:4-23; 28:25-29:16; 29:18-30:25; CX_001114, Solarez Dep. Tr. 45:18-20; CX_001998-99, Li Dep. Tr. 32:21-33:7; CX_002539-40, J. Choi Dep. Tr. 39:23-40:9.

Response: Denied as stated; for a pure store door move SM Line would be responsible, but for CNT it would not. Repeats and incorporates the responses to PFF nos. 21, 28, 30, 46, 48, and 49 herein.

99. SM Line understood its obligation under a store door move, and knew of trucker shortages, but forced SEA to be responsible for all D&D charges during the Relevant Time Period because of SEA's use of CNTs. *Compare* CX_001193-94; CX_001200, Solarez Dep. Tr. 124:14-125:2; 131:8-19 (discussing all-inclusive rate as "once the move is done, there wouldn't be any additional charges [to the consignee] for the trucker – the CNT trucker [–] to charge their customer [i.e., the consignee] ever during the term of the contract"), *with* CX_004800, Solarez Dep. Ex. 10 at 7 ("please make it clear that trucker and customer should resolve any and all charges up to and including: prepull, yard storage demurrage and any other costs between them. SM Line will not prepay cover and bill these the charges later to the customer"); CX_002052-53, Li Dep. Tr. 86:15-20; 86:24-87:16; CX_003083-84, Fernando Dep. Tr. 154:20-155:7.

Response: Denied. Repeats and incorporates our responses to PFF nos. 19, 21, 28, 30, 46, 48, and 49 herein. *See also* RX_0003644-3646 and RX_0003699-3701.

100. SM Line, as the ocean carrier, was responsible to ensure trucker availability, whether it did so by paying higher rates or taking other steps within SM Line's control and discretion. CX_001195-99, Solarez Dep. Tr. 126:18-130:1; CX_004816, Solarez Dep. Ex. 13 at 1; CX_003084, Fernando Dep. Tr. 155:19-25.

Response: Denied as stated. SM Line was responsible for providing and ensuring trucker availability for a pure store door move but not for a CNT move. Repeats and incorporates our responses to PFF nos. 19, 21, 28, 30, 46, 48, and 49 herein.

101. During the Relevant Time Period, due to driver shortages, truckers would sometimes reject work orders entirely. CX 002055-56, Li Dep. Tr. 89:23-90:1.

Response: Admit that there were driver shortage issues. Denied as to the remaining claims in this PFF. There are emails evidencing that SEA's payment issues were causes for these driver issues. ("Polly Trans advising SM Line [REDACTED] [REDACTED] RX 0003703.

Also, at some point, even Gold-Point was discussing the payment issues involving SEA.

(“ [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]” RX_0002899 (English translated

version).

102. SM Line's U.S. Office employees did not receive any specific instructions on how to respond to problems such as congestion and labor shortages, but instead only "tr[ied] to operate normally." CX_002054, Li Dep. Tr. 88:17-23; *see also* CX_001183-84, Solarez Dep. Tr. 114:20-115:11.

Response: Denied; this PFF mischaracterizes the witness'(Li) testimony. Cited testimony does not support this PFF.

103. On many occasions, when SM Line could not locate a trucker, or thought that it would be too expensive to provide a trucker for SEA cargo, SM Line informed SEA that the move should be changed or diverted to a CY move instead. CX_001256-57, Solarez Dep. Tr. 187:16-188:7; CX_004802-03, Solarez Dep. Ex. 10 at 9-10 (internal SM Line emails dated August 27, 2021 and August 28, 2021, respectively) (“... Plus with the chassis shortages, empty return problems and tight truck capacity we should not take these destinations for Samsung on house trucker moves. We won’t be able to handle it” and “CNT should be mandatory or book on CY basis and allow [SEA] to arrange their own trucking.”); CX_002178-79, Han Dep. Tr. 75:15-76:2.

Response: Denied, this PFF mischaracterizes the cited testimony.

104. When truckers informed SM Line that they would not be responsible for demurrage arising due to issues such as no appointments and chassis shortages, SM Line instructed the truckers to look to SEA since “[REDACTED]” CX_001256-57, Solarez Dep. Tr. 187:24-188:7; CX_004846, Solarez Dep. Ex. 28 at 3; CX_005581, SM Line_0059050 at SM Line_0059053.

Response: Denied as stated; SM Line provided waiver and stop clock whenever there was an appropriate and timely request for the same. Repeats and incorporates the responses to PFF nos. 19, 21, 28, 30, and 79 herein.

As an example, upon hearing from SEA’s CNT about container availability issue, SM Line contacted UPRR and asked and obtained the waiver of storage charges. RX_0001667 – 1674. Many case exists for the terminal to extend the LFD and exempt the appointment as well. RX_0001440; RX_0001961; RX_0001458; RX_0001461 - 62; RX_0003565; RX_0004619.

More notably, some of the containers were not being picked up by CNT simply because CNTs did not know what to do as they could not deliver nor store them at their yards. SM

Line sends numerous reminders of LFD on tends of containers not being picked up at rail storage facility (all on chassis).

SEA asks PBI “why these loads are not picked up until now?”

PBI answers “

" (emphasis added). RX 0001759 - 1831.

Further, SM Line supported SEA to obtain “peel off” (aka “free flow”) process ensures the containers are available for pickup without making appointments. SEA took advantage of this peel off with terminals so that SEA does not have to make appointment with the terminal. There are costs with this peel off program (charged by the terminal). (SEA was bringing in 300 containers and wanted to put them in Free Flow. And Gold Point confirms that “the customer will approved the Free Flow.” RX 0003549 - 3561.

However, in case of a peel off program, a CNT cannot selectively retrieve a container that they want. The CNT should take a container that is readily available (sitting on top of stack) RX 0003694 (“[REDACTED]”)

...”).

B. Port/Terminal Congestion and SM Line's Response

105. Regardless of whether a move was a store door move or CY move, SM Line was responsible for ensuring that containers are made available for pickup. CX_000093; CX_000098, SM Line 143(b)(6) (Session I) Dep. Tr. 65:12-15, 70:3-6.

Response: Denied as stated. Some containers were not available for pick up because SEA failed to provide delivery instructions. Repeats and incorporates the responses to PFF nos. 79, 103 and 276 herein.

106. For store door moves, SM Line was responsible for arranging the removal of the cargo from the port. CX_000912-13, Lee Dep. Tr. 48:21-49:5; CX_001998-99, Li Dep. Tr. 32:21-33:7.

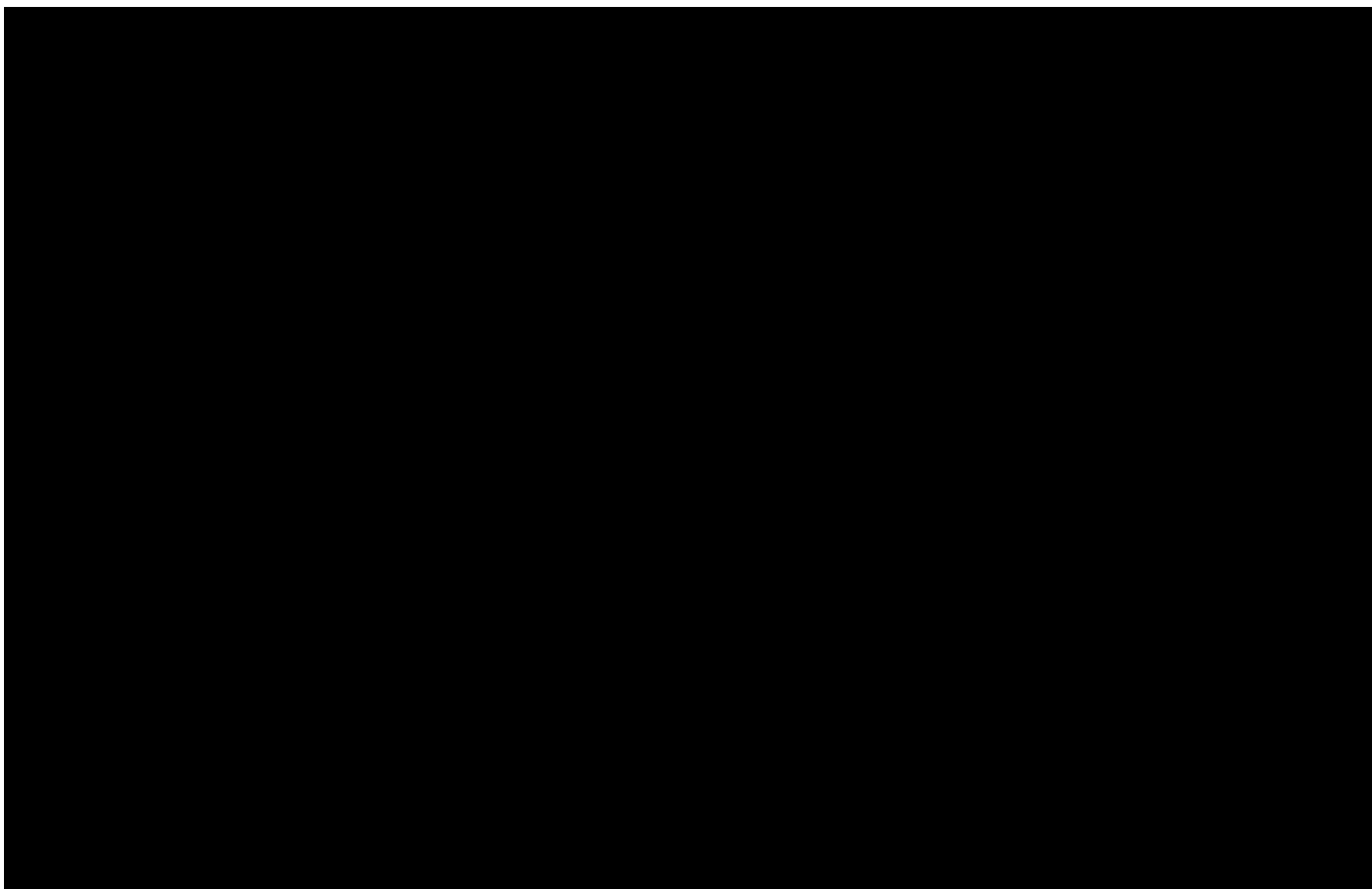
Response: Denied as stated, it is unclear what SEA is referring to as "cargo." Should SEA be referring to loaded containers, under a pure store door move, SM Line would be responsible for arranging the removal. Under a CY move or CNT move, SM would not. Repeats and incorporates the responses to PFF nos. 21, 28, 30, 46, 48, 49, 79 and 103 herein.

107. SEA was not responsible for arranging removal of cargo on store door moves, and SEA was not permitted to pick up the cargo without SM Line's express permission. CX_000068; CX_000093; CX_000098, SM Line 143(b)(6) (Session I) Dep. Tr. 40:2-8; 40:10-13; 65:12-15; 70:3-6.

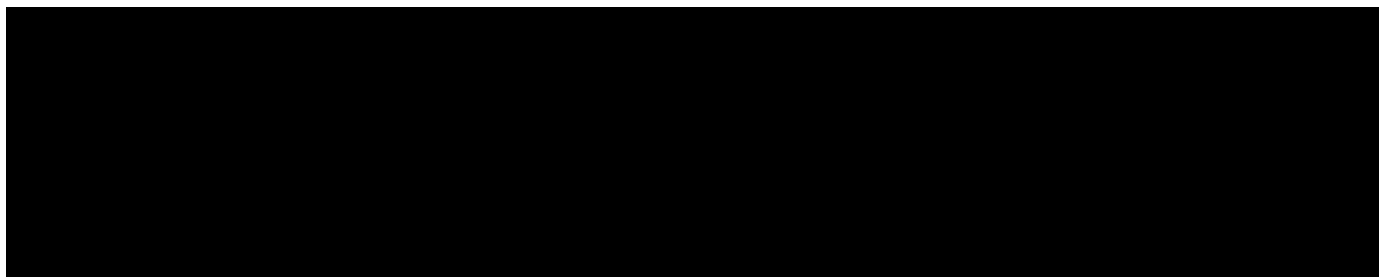
Response: Denied as stated, it is unclear what SEA is referring to as "cargo." Should SEA be referring to loaded containers, under a pure store door move, SM Line would be responsible for arranging the removal. Under a CY move or CNT move, SM Line would not. Repeats and incorporates our responses to PFF nos. 21, 28, 30, 46, 48, 49, 79, 103 and 276 herein.

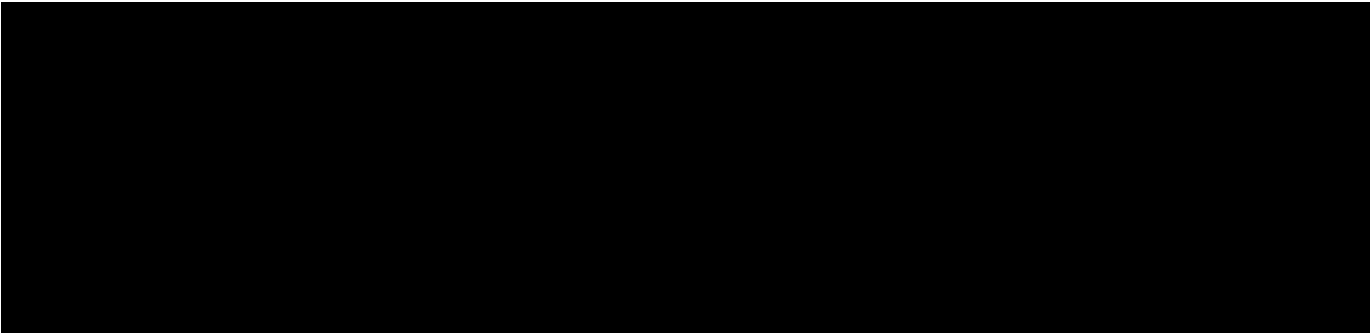
108. The marine and inland rail terminals where SM Line moved SEA cargo were “subcontractors of SM Line.” CX_000080, SM Line 143(b)(6) (Session I) Dep. Tr. 52:6-8; 52:1617.

Response: Admit as to the marine and inland rail terminals being subcontractors, but marine and inland rail terminals have their own right and ability to charge and collect their own storage charges, among other fees and expenses. As examples, a contract between SM Line and SSA Terminals Pier A in California says



For a rail company, a similarly independent contract/tariff terms exist. (“Union Pacific Mater Intermodal Transportation Agreement (MITA)).





109. SM Line was responsible for the policies and practices that the terminals follow when assessing demurrage. CX_000168, SM Line 143(b)(6) (Session I) Dep. Tr. 140:5-16; CX_000494, K.K. Choi Dep. Tr. 141:17-24.

Response: Denied as stated. Repeats and incorporates the responses to PFF nos. 19, 21, 24, 28, 30, 61, 79, 103 and 276 herein.

110. When a terminal is congested and a container is not available for pick up, SM Line should waive or cancel the charge. CX_001576-78, Ma Dep. Tr. 66:19-68:19; CX_001714-15, Gaston Dep. Tr. 61:20-62:6; CX_001124-25; CX_001128, Solarez Dep. Tr. 55:7-56:25; 59:8-14.

Response: Admit, so long as the attempt for pick undertaken. Repeats and incorporates our responses to PFF nos. 19, 21, 24, 28, 30, 61, 79, 103 and 276 herein.

111. When a terminal is closed, a container pickup is not possible, so SM Line should have stopped the D&D clock. CX_001124-25, Solarez Dep. Tr. 55:7-19; 56:14-22; CX_001579, Ma Dep. Tr. 69:5-12; CX_001343, Askins Dep. Tr. 48:14-25.

Response: Admit as stated. Repeats and incorporates our responses to PFF nos. 19, 21, 24, 28, 30, 61, 79, 103 and 276 herein.

112. SEA has no control over appointment availability at the terminal. CX_002876-77, Goedinghaus Dep. Tr. 102:10-103:1.

Response: Denied as stated, SEA was given an access to pick up their container without having to make appointment. Repeats and incorporates our responses to PFF nos. 79 and 103 herein.

113. SM Line has the contractual relationship with the marine terminals and therefore can request the terminal to extend the last free day (“LFD”) and clear storage. CX_001723-24, Gaston Dep. Tr. 70:20-71:13; 71:19-24.

Response: Admit insofar as there is a contractual relationship between SM Line and certain marine terminals; denied as to the ability to request an extension of last free day and clear storage. Repeats and incorporates our responses to PFF nos. 79 and 103 herein.

114. According to SM Line, a container is considered available if customs is cleared and the container is “ready for pickup.” CX_002081-82, Li Dep. Tr. 115:12-116:3.

Response: Denied as stated, this PFF mischaracterizes the cited testimony. Even though a container is available, it may not be ready for pick up if SEA did not provide the necessary information (e.g delivery order) to SM Line. To SM Line, in the event that a container is not being picked up even though it is available, depending on a reason for such situation, a different response would be warranted. Li’s testimony is consistent with this view.

Q. If there’s issues, would it automatically waive charges with demurrage and detention?

A. It depends on the case. You know, it’s case by case.

CS_002082, Tianjin Li Tr. 116:22-25.

Another SM Line testimony supports our response.

Q. In that situation, do you know what the FMC’s position is on charging or accruing demurrage on a day when a container is not available for pickup?

- A. I wouldn't know what -- the FMC's specific position on that. However, pursuant to the newly revised rules, if the container is not available per the rules, then we at SM Line do not charge for those containers.

CX_000474 – 75, K.K. Choi Tr. 121:18-122:4.

115. SM Line employees testified that SM Line's practice, if there were no appointments at the terminal, was that SM Line still considered the container available for pickup because SM Line contended that the lack of appointments "is the terminal's issue, not SM Line's issue." CX_002081-82, Li Dep. Tr. 115:12-116:3; *see also* CX_001128, Solarez Dep. Tr. 59:8-19 (stating that terminal congestion would not warrant a "stop clock" on demurrage because it "is something that's out of our control.").

Response: Denied, this PFF mischaracterizes the cited testimony. SEA had the ability to pick up containers (peel off/free flow) without making appointments. Repeats and incorporates our responses to PFF nos. 79 and 103 herein.

116. SM Line employees testified that SM Line's practice, for issues beyond a customer's control, like lack of appointment availability, was not to automatically waive D&D charges. CX_002082, Li Dep. Tr. 116:9-25; CX_001599-600, Ma Dep. Tr. 89:21-90:3; CX_001128, Solarez Dep. Tr. 59:8-19.

Response: Denied as this PFF mischaracterizes the testimony and as to SM Line's practice, the waiver of D&D is a case specific determination based on the review of each container. Repeats and incorporates our response in PFF no.113 herein. SM Line maintained a reasonable and fair procedure for reviewing a case for a D&D charge waiver.

- Q. Okay. What is the policy related to port congestion and demurrage incurred?

- A. If the port is congested, then the demurrage is waived.

CX_001706 – 07, Gaston Tr. 53:23-54:1

Another employee also addressed the D&D charge waiver to be on a case-by-case basis.

Q. Okay. If a terminal posts availability to accept empties online but a trucker or a customer says there are no appointments available, how does SM Line respond?

A. Just respond to them by the case by case basis that we would go in and review and contact the terminal to see if there are appointments still available or not. So it all depends, case by case basis.

CX_001601 – 02, Chian Ma Tr. 91:19 – 92:3.

Q. Okay. Whenever charges are waived like that, what is generally -- how does that happen? Is it a finding that it was incorrectly billed, or how do you determine that?

A. Normally, when there's a dispute, the dispute will indicate the reason, and then the -- I will just do research based on their reason and validate it and then it gets waived.

CX_001781, Gaston Tr. 128:17-24.

117. When SM Line received complaints from SEA or a trucker that there was terminal congestion preventing the return of equipment, SM Line's response was frequently that the issue was "outside of [SM Line's] control" and therefore the LFD would not be extended, and SEA had to pay the demurrage for SM Line to move the container. CX_004844-47, Solarez Dep. Ex. 28; CX_004911-18, Gaston Dep. Ex. 17; CX_001128, Solarez Dep. Tr. 59:8-19.

Response: Denied as stated, this PFF mischaracterizes the cited testimony. SM Line waived detention charges when an empty container could not be returned and was appropriately disputed or reported to SM Line. Repeats and incorporates our responses in PFF no. 79, 113 and 115 herein.

We again note that even with SM Line available to provide assistance, SEA /CNT has the ability to directly contract the terminal to extend the Last Free Day (LFD). And the terminals have extended the LFD whenever warranted.

Without copying in SM Line, SEA's CNT (Gold Point) directly contacted an ocean terminal (TTI) seeking to extend LFD on a container claiming accessibility (appointment issues). TTI agreed to extend the LFD and assisted with the appointment issue (i.e. waived appointment). RX_0001602 – 10; RX_0001461; RX_0001458; RX_0001539; and RX_0003565 – 66, (in all cases LFD was extended because container(s) was/were not accessible, and appointment were exempted when needed).

Again, upon hearing from SEA's CNT about container availability issue, SM Line contacted UPRR and asked and obtained the waiver of storage charges. RX_0001667 – 1674. Many case exists for the terminal to extend the LFD and exempt the appointment as well. RX_0004452; RX_0004619..

C. Empty Return Restrictions and SM Line Responsibility

118. SM Line designates the location where consignees and truckers can return an empty container. CX_001127-28, Solarez Dep. Tr. 58:16-59:7.

Response: Admit as to the general practice, SM Line has made exceptions to the general practice and has demonstrated flexibility and openness to alternative locations. Solarez 162:21-163:14

119. SM Line only offered equipment returns at marine terminals. CX_001127-28, Solarez Dep. Tr. 58:10-59:7.

Response: Denied. No evidence was cited to support this PFF.

120. If there was an empty return restriction, such as no available appointments or dual transactions (i.e., swapping an empty container for a full one) required, SM Line's stated policy was that it should inactivate, or cancel, the detention charge. CX_001576-78, Ma Dep. Tr. 66:19-68:5; CX_001129, Solarez Dep. Tr. 60:7-20; CX_004863-68, Ma Dep. Ex. 7.

Response: Admit with regard to the examples referenced in this PFF. Denied as to the remaining claims in this PFF.

121. SM Line could issue a “stop clock” when terminals were not accepting empty equipment and were shutting SM Line out of the terminals. CX_001216, Solarez Dep. Tr. 147:1-8; CX_001596-600, Ma Dep. Tr. 86:12-87:12; 87:17-88:6; 89:10-15; 89:21-90:3; CX_001343, Askins Dep. Tr. 48:14-25.

Response: Admit as stated.

122. In 2020, SM Line only allowed its equipment to be returned to a marine terminal and only had one location in Los Angeles and Long Beach to return empty containers. SM Line admits that this return location would experience challenges since “the terminal has been struggling with yard space”, but it would not stop the clock unless the terminal was not accepting equipment at all. CX_004869-70, Gaston Dep. Ex. 6; CX_001479-81, Askins Dep. Tr. 184:18186:2; CX_004861, Askins Dep. Ex. 10; CX_001127-29, Solarez Dep. Tr. 58:3-60:6.

Response: Denied as stated, this PFF mischaracterizes the Askins deposition testimony cited. The Askins deposition testimony also mentions that whenever a customer seeks help for additional return space, SM Line would contact the terminal so that the customer finds room to return the container. CX_001350, Askins Tr. 55:9-17

123. If a container accrued detention before it was returned, the detention invoice would be issued automatically a day after the empty container was returned to the terminal. CX_001529-30, Ma Dep. Tr. 19:10-20:2.

Response: Admit.

124. There is no verification or review by a SM Line employee before a D&D invoice is issued. CX_001529-30; CX_001543, Ma Dep. Tr. 19:10-20:2; 33:1-15.

Response: Denied as to the characterization of verification. “[SM Line] would ask our team, the operation team’s help to verify the invoice and interface the invoice for them to process the payment”. CX_002073 – 74, Tianjin Li Tr. 107:25-108:8

125. SM Line did not review invoices unless they were disputed. CX_001582; CX_001583, Ma Dep. Tr. 72:7-25; 73:9-11.

Response: Denied. Ma’s testimony is being mischarized. CX_001582; CX_001583, Ma Dep. Tr. 72:7-25; 73:9-11. Mr. Ma is clear on this invoice verification point – “[SM Line] would ask our team, the operation team’s help to verify the invoice and interface the invoice for them to process the payment”. CX_002073 – 74, Tianjin Li Tr. 107:25-108:8

126. Only the Network Operations Team (known as SELCON) in SM Line’s Korea HQ could approve a stop clock. CX_001597-98, Ma Dep. Tr. 87:17-88:2; CX_01391-93, Askins Dep. Tr. 96:14-98:20 (“send[ing] a request to our head office to issue the stop clock in our system when the terminal was not accepting consignees and/or closed.”).

Response: Admit to the fact that SELCON has approval authority. Denied as to the characterization of SM Line’s general detention and demurrage review process. Repeats and incorporates our responses in PFF no. 79, 113, 115, and 116 herein. Both HQ and regional office have discretion to review and determine the resolution.

Q. Can you explain to us your understanding of the discount procedure of demurrage and detention charges at SM Line, depending on the amount?

A. As indicated on this chart or table -- so if the amount is less than 1500 per container, then the original head office withdrawn -- the head of the regional office in the U.S. has the discount authority. If it’s more than \$1500, but less than \$3,000, in my position, my position has that authority for discounts. And if it exceeds \$3,000 per container, then it is to be reported up to the CEO and has to get his approval.

CX_000603 – 04, Hyun-Yon Jung Tr. 37:25-38:14

127. Unless a terminal was actually closed or not accepting equipment, SM Line would not suspend the running of free time, i.e., SM Line would not issue a stop clock to prevent charges accruing. CX_001128, Solarez Dep. Tr. 59:8-14.

Response: Denied as stated.

128. If the terminal was open, but with long lines preventing a trucker from accessing the terminal, SM Line did not believe a stop clock was warranted. CX_001128-29, Solarez Dep. Tr. 59:24-60:6.

Response: Denied as this PFF mischaracterizes the cited testimony.

D. Rail Movements for SM Line Moves of SEA Cargo

1. Contractual undertakings by SM Line on store door moves

129. SM Line subcontracts with rail carriers in the U.S. to provide inland rail service for its through bills of lading. CX_000493-95, K.K. Choi Dep. Tr. 140:7-142:25.

Response: Admit.

130. Union Pacific Railroad (“UPRR”) is a subcontractor of SM Line. CX_000493-95, K.K. Choi Dep. Tr. 140:7-142:25.

Response: Admit.

131. SEA does not have a contractual relationship and is not otherwise tied to the railroads, as the *only* contractual relationship is between the railroads and SM Line. CX_000495, K.K. Choi Dep. Tr. 142:7-25; CX_002747, Rapske Dep. Tr. 135:2-12.

Response: SM Line cannot confirm or deny the remainder of the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

132. SM Line is responsible for the practices of its subcontractors that result in the assessment of demurrage charges. CX_000168, SM Line 143(b)(6) (Session I) Dep. Tr. 140:11-16.

Response: Deny. SM Line demurrage charges are different from the storage charges that marine terminals and rail terminals charge and collect, respectively, per their own respective rules and tariffs.

133. The rail carriers issue bills of lading to SM Line for rail carriage, which list SM Line as the shipper. CX_000171-72; CX_000173, SM Line 143(b)(6) (Session I) Dep. Tr. 143:24-144:5; 145:1-6.

Response: Admit as to the general practice. It should be noted that on the same rail bill of lading, SEA would be named as the ultimate consignee as well as the beneficial owner.

- <https://www.cn.ca/en/ebusiness/content/help-files/ebusiness-helpfiles-shipping-instructions/patterns-blocks/parties-to-the-shipment> (“Ultimate Consignee. Further than the Consignee, this is the party who will ultimately receive the good.”).
- <https://www.up.com/customers/mexico/ams/index.htm>
- <https://www.ecfr.gov/current/title-15/subtitle-B/chapter-I/part-30/subpart-A/section-30.6>
- <https://public.railinc.com/sites/default/files/documents/Railroad%20Waybilling%20Best%20Practices.pdf>, Railroad Waybilling Best Practices (Railinc) (“Ultimate Consignee (UC) – In rail transportation, this party is a non-rail destination, used in intermodal shipments to relay the party name and address beyond the rail destination. The ultimate receiver of the shipment.”)

134. SM Line was aware of the last free days of all containers at rail terminals and would send reminders to the truckers on containers exceeding free time at rail ramps. CX_001094-95, Solarez Dep. Tr. 25:5-10; 25:22-26:5; CX_001349-50, Askins Dep. Tr. 54:11-55:5; CX_002134, Han Dep. Tr. 31:4-22.

Response: Admit.

135. SM Line is responsible for making containers available for pick up at the rail terminals. CX_001147-48, Solarez Dep. Tr. 78:17-79:22.

Response: Denied as stated. While SM Line works with the rail terminal to make the container available, there are many factors, namely shipper's (like SEA) or trucker's (CNT) that go into shipper's or trucker's ability to pick up the container. Repeats and incorporates the responses to PFF nos. 79 and 103 herein.

136. SM Line is responsible for ensuring that chassis are available to truckers on all store door moves. CX_000097-98; CX_000169, SM Line 143(b)(6) (Session I) Dep. Tr. 69:25-70:2; 141:9-11; CX_001092, Solarez Dep. Tr. 23:9-25.

Response: Admit that SM Line is generally responsible to ensure the chassis availability, denied as to the characterization of SM Line's responsibility regarding all store door moves.

137. If there was a chassis shortage and containers could not be placed directly on a chassis at rail terminals, containers would be stacked at the rail terminal and would not be available for pickup. CX_000496-97, K.K. Choi Dep. Tr. 143:21-144:15; CX_001131-32, Solarez Dep. Tr. 62:17-63:12.

Response: Admit.

138. According to an SM Line witness, railroad lines would refuse to extend the last free day at rail terminals because the railroad would claim that delays at the rail terminals were "out of their control." CX_001131-32, Solarez Dep. Tr. 62:17-63:12.

Response: Denied as stated, the cited testimony does not support the claims in this PFF.

139. The term “rail storage” refers to the daily charge that railheads charge for containers which remain at their facilities past their allotted free days (which free period typically is 48 hours). CX_001145-46, Solarez Dep. Tr. 76:25-77:9 (“Once [a container arriving by rail] exceeds that [48 hour free] time, the container goes into what is called rail storage. It is much like demurrage. Basically, the rail starts charging per day for the containers sitting there beyond their free time.”); *see also* CX_002425-26, SEA 143(b)(6) Dep. Tr. 178:22-179:6 (described by SEA’s Mr. Jeung Choi as a type of demurrage but “it’s labeled as rail storage ... [f]rom an aggregate grouping level it falls under demurrage.”); *accord* CX_004462, Smith Report ¶34(b) (defining “Rail Storage” as “amount charged to store containers at a rail facility beyond the allotted free days”) (citing Container Xchange, [container.xchange.com](https://www.container-xchange.com/blog/whats-the-difference-between-demurrage-and-storage-charges/), April 24, 2023 (<https://www.container-xchange.com/blog/whats-the-difference-between-demurrage-and-storage-charges/>)).

Response: Admit as to the general definition of rail storage; denied as to the remaining claims in the PFF. The citations referenced are insufficient to support testimony regarding the rail storage practice.

140. Despite the shortage of chassis, SM Line would not clear the rail storage even though it was responsible for providing chassis. CX_001228, Solarez Dep. Tr. 159:2-21.

Response: Denied; the evidence cited does not support this PFF. The cited evidence refers to weather-related terminal closure circumstances. Repeated and incorporated our responses in PFF nos. 144, 145, and 147 herein.

SM Line made itself available to assist whenever it was notified of chassis issues.

CX_001209, Solarez Tr. 140:9 - 25.

Q. Okay. In your response -- SM Line cannot extend last free day as the notifications were sent in plenty of time to the trucker so arrangements could be made. What do you mean by that?

- A. For containers ingating in Vancouver traveling down to Chicago or Detroit, I gave them a daily in transit report. That way they were acutely aware of what was headed their direction so they could be prepared by reserving chassis prior to container arrival, so that, on arrival date, they had a chassis available. That was the responsibility of the trucker to do so.”

CX_001438, Askins Tr. 143:5-16.

We note that in quite a few cases, the chassis shortage resulted from customers (like SEA) who did not pick up the container mounted on chassis in time. After seeing SM Line’s repeated (about 28 emails of) LFD reminders of tends of containers sitting idle on, SEA asks PBI “why these loads are not picked up until now?”

PBI answers “

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]” RX_0001759 - 1831.

There are several emails that SM Line sent to SEA’s Korea counter party notifying them of the containers not being picked up even when they are on chassis. Because of the seriousness of this issue (mounted container not being picked up), at some point, SM Line notifies them that it will suspend SEA to keep bringing in shipments to Chicago area (where the rail terminal is) due to congestion issues that SEA created. It appears that SEA’s own warehouse was having capacity issues. (“

[REDACTED]

[REDACTED]

[REDACTED]
[REDACTED]”) RX_0001128-1158.

141. Between 2019 and 2020, SEA was not compelled to pay rail storage charges. CX_005437, Smith Report, Ex. 2.

Response: Denied. SEA remained responsible to pay rail storage charges if warranted.

Repeats and incorporates our responses to PFF nos. 79 and 103 herein.

142. Commencing during the pandemic, inland railheads like Chicago’s Union Pacific Joliet Ramp began to stack containers upon their arrival by rail as there were not enough chassis on which the arriving containers could be placed directly upon chassis, yet free days would still not be extended for those containers. CX_001129-32; CX_001145-46, Solarez Dep. Tr. 60:22-63:12; 76:23-77:16.

Response: SM Line cannot confirm or deny this PFF because outside of the general practice, SM Line does not know exactly when and how a rail carrier charged or waived the storage charges.

143. At one point, the container volumes at the railheads and delays in releasing containers became so severe that SM Line “pleaded and begged” with the Union Pacific Railroad to waive the accumulating rail storage charges, in response to which the railroad agreed for a period of time to limit rail storage charges per container to \$2,450. CX_001147-48, Solarez Dep. Tr. 78:21-79:9.

Response: Admitted insofar as SM Line made a good faith effort to protect the interest of the shipper. There may be individual actions taken by Union Pacific. But with respect to the \$2,450 cap, this was done to all users of the rail terminal. This announcement was made publicly.

2021

announcement.:

<https://www.up.com/customers/announcements/intermodal/internationalrulesandprovisions/IM2021-105.html>

2022

announcement:

<https://www.up.com/customers/announcements/intermodal/internationalrulesandprovisions/IM2022-92.html>

144. Prior to 2021, SM Line refused to extend the last free day or waive demurrage charges when containers were stacked at the rail terminal and the trucker could not pick up the container. CX_001227-28, Solarez Dep. Tr. 158:4-159:21. SM Line passed on all charges despite the container not being available for pick up. *See, e.g.*, CX_001126; CX_001127, Solarez Dep. Tr. 157:19-23; 158:4-7; CX_004834-40, Solarez Dep. Ex. 17.

Response: Denied as this PFF mischaracterizes the cited testimony. Rail storage charges are independently assessed and collected by the rail terminal in their sole discretion. CX_000493 – 94, K.K. Choi Tr. 140:22-141:15 (“The railroad company, the rail company does collect those storage charges directly, and it is governed by the governing role of the rail company, and it’s the rail company’s decision.”). CX_001145, Solarez Tr. 76:10 – 11, (“Well, to clarify, it’s rail storage, not demurrage. We don’t charge demurrage at the rail locations.”).

145. SM Line, exerting its negotiating power as the contractual counterparty, ultimately negotiated with its subcontractor Union Pacific Railroad to cap rail storage charges to not more than \$2,450 per container. CX_001446-48, Askins Dep. Tr. 151:9-153:19; CX_001147-48, Solarez Dep. Tr. 78:18-79:18; CX_004752-53, Solarez Dep. Ex. 4 at 1-2; CX_004919-68, Li Dep. Ex. 2.

Response: Admitted as to the contracting counterparty to the rail terminal and that they negotiated the aforementioned cap, however, denied as to the characterization of exerting

negotiating power. UP makes a public announcement that they, in July 2021 which carried through to 2022, cap all rail storage charges until a container is mounted on a chassis for all customers, not exclusively SM Line. Customers are carriers, shippers and truckers. Repeats and incorporates the responses to PFF nos. 79 and 103 herein.

146. If a container at a rail terminal was not accessible for pick up, SM Line “expected,” but did not confirm, that the railroad would extend the container’s last free day (“LFD”) and not charge storage. CX_001130-31, Solarez Dep. Tr. 61:21-62:11.

Response: Admit with the understanding that the shipper or trucker made a fair attempt to pick up the container. Upon hearing from SEA’s CNT about container availability issue, SM Line contacted UPRR and asked and obtained the waiver of storage charges. RX_0001667 – 1674.

More notably, some of the containers were not being picked up by CNT simply because there was no means to put them or delivery them. SM Line sends numerous reminders of LFD on tends of containers not being picked up at rail storage facility (all on chassis).

SEA asks PBI “why these loads are not picked up until now?”

PBI answers “





.” (emphasis added) RX_0001759 -
1831.

147. For both house truckers and CNTs, when a container was not available for pick up, SM Line routinely required consignees to pay rail storage charges. CX_002077, Li Dep. Tr. 111:11-24.

Response: Denied as this PFF mischaracterizes the cited testimony. The witness in this transcript was addressing a specific email about a container that UP railroad says gate is open and truckers are free to pick up but discussing their access issue.” SM Line, whenever warranted sought to assist to either have rail waive the storage charges or paid for them.

“

” RX_0001832 - 84.

148. If a container accrued demurrage charges at a rail terminal, SM Line did not evaluate the reason for the delay resulting in the charges before requiring that SEA pay the charges. CX_002077, Li Dep. Tr. 111:11-24.

Response: Denied as stated, this PFF mischaracterizes the cited testimony. Rail storage charges are independently assessed and collected by the rail terminal. SM Line does not charge nor collect liner’s demurrage at a rail terminal. Repeats and incorporates the answers in PFF no.147.

Also, upon hearing from SEA’s CNT about container availability issue, SM Line contacted UPRR and asked and obtained the waiver of storage charges. RX_0001667 – 1674.

There are several emails that SM Line sent to SEA’s Korea counter party notifying them of the containers not being picked up even when they are on chassis.

At some point, SM Line notifies them that it will suspend SEA to keep bringing in shipments to Chicago area (where the rail terminal is) due to congestion issues that SEA created. It appears that SEA's own warehouse was having capacity issues. (" [REDACTED] [REDACTED] [REDACTED] [REDACTED] ") (emphasis added) RX_0001128-1158.

149. Amongst other causes for delays at the rail terminals, the rail terminal would "stack" containers (i.e., place them on one another) if no chassis were available and then later fail to cooperate in the subsequent mounting of stacked containers on chassis when they would become available, and would also refuse to allow external chassis from entering their facility so that the consignee could remove its containers from the rail terminal. CX_002439-41, SEA 143(b)(6) Dep. Tr. 192:9-194:13.

Response: Denied as stated. The cited testimony does not support the claims in this PFF.

150. SM Line would sometimes dispute the rail charges, but if the railroad declined to waive them, the consignee (here, SEA) was held responsible for paying rail storage charges. CX_002078, Li Dep. Tr. 112:5-20.

Response: Admit as stated.

151. SM Line frequently rejected requests to clear rail storage and extend the LFD when there was congestion or chassis shortages at the rail terminal, because SM Line claimed that it "can't absorb any rail storage." CX_004834-40, Solarez Dep. Ex. 17.

Response: Denied as this PFF mischaracterizes the testimony cited. The rail terminal, in its sole discretion, bills, charges and collects rail storage charges. Repeats and incorporates our response to PFF nos. 79, 103, 139 and 267.

In some cases, CNTs were under a false assumption of chassis issues. SEA has not reached out to SM Line for help. RX_0001680. SEA failed to demonstrate that SM Line failed to act reasonably and fairly in its dealing with alleged situations.

152. SM Line forced SEA to pay all rail storage before SM Line would permit release of containers at rail terminals. CX_002663-64, Rapske Dep. Tr. 51:20-52:11.

Response: Denied as the cited testimony does not support this PFF. The cited testimony does not use the word “forced,” nor describe the payment as such. Cited testimony refers to the billing parties of rail terminal, there is no mention of SM Line forcing SEA to pay the rail storage.

153. As a result of SM Line’s position, in just a six-month period in 2021, SEA was compelled to pay about \$2 million in rail storage charges. CX_005437, Smith Report, Ex. 2.

Response: Denied. The cited exhibit does not sufficiently support this PFF. Further denied as to the characterization of “compel to pay.”

E. Chassis Shortages and SM Line’s Derogation of Duties

154. SM Line understood that it was contractually obligated to provide chassis for all moves where SEA was the consignee, including CNT store door moves, house trucker store door moves, and CY moves. CX_000097-98; CX_000169, SM Line 143(b)(6) (Session I) Dep. Tr. 69:25-70:2; 141:9-11; CX_001375, Askins Dep. Tr. 80:12-25.

Response: Denied, [REDACTED]

[REDACTED]

[REDACTED]. Repeats and incorporates our response to PFF nos. 79, 103, 139 and 267.

155. SM Line does not own its own chassis. CX_001091-92; CX_001210, Solarez Dep. Tr. 22:13-23:8; 141:12-14.

Response: Admit.

156. SEA neither owned its own chassis nor leased chassis from a chassis provider; ultimately, SEA leased chassis from individual truckers on a daily basis in order to transport containers out of the terminals as the steamship lines' chassis pools had no chassis to supply. CX_002822-23, Goedinghaus Dep. Tr. 48:1-49:11.

Response: Admit that SEA, as a shipper, generally does not own nor lease chassis. Denied as to the remaining allegations in this PFF. The cited transcript is insufficient to support this PFF. RX_0001832 – 24. SM Line _0127810 shows that whenever a shipper or shipper's agent timely sought assistance to secure a chassis, SM Line assisted.

157. SM Line's stated policy was to cover chassis charges. CX_001201; CX_001222, Solarez Dep. Tr. 132:9-17; 153:7-11.

Response: Admit that the rate included chassis charges when the service contract provided that SM Line was responsible to supply chassis.

158. SM Line contracted with TRAC Intermodal ("TRAC") to provide chassis to customers; there is no difference in the pool chassis TRAC provided to a CNT or house trucker – whether store door or CY move. CX_000171; CX_000173, SM Line 143(b)(6) (Session I) Dep. Tr. 143:9-11; 145:14-16; CX_001186; CX_001210-11, Solarez Dep. 117:4-5; 141:12-142:1; CX_001376-79, Askins Dep. Tr. 81:8-84:1.

Response: Denied insofar as some of the cited transcripts (i.e. Solarez; Askins) discuss completely irrelevant matters. SM Line also utilized a pool of pulls which allowed chassis from other suppliers to be utilized and supplied to customers whenever timely requested.

Q. SM Line has a contract with [REDACTED]?

A.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

CX_001379, Askins Tr. 84:9-24.

159. During the pandemic, SM Line experienced significant chassis shortages. CX_001092, Solarez Dep. Tr. 23:9-25; CX_004861, Askins Dep. Ex. 10.

Response: Denied to the extent that this PFF suggests SM Line was the only carrier that experienced significant chassis shortages during the pandemic. Admitted to the extent that the entire industry suffered significant chassis shortages during the pandemic. Many of the actual damages were actually caused by the customers. There are many containers that were mounted on chassis in rail storage facility and SEA/CNT did not pick them up – contributing to the chassis shortage issue that is complaining about.

RX_0001759 – 1831; RX_0001128-1158, CX_001438, Askins Tr. 143:5-16

Repeated and incorporated the responses in PFF nos. 144, 145, 147 herein.

It bears noting that SEA contributed to the chassis shortage issue by holding on to chassis well beyond the free time. CX_004313-14 and CX_004317, SM Line Expert Clair

Report pp.95-98 and 115- 117 (“96. While there may have been some issues at rail intermodal terminals with empty returns, SEA had much worse performance than the average of all other SM Line customers, supporting that this was primarily a SEA issue. In addition, if rail terminals were experiencing a chassis shortage, return of chassis and empty containers would have been a priority.” CX_004313-14.

[...]

“116. As shown in the table above under paragraph 95, SEA was consistently holding containers for much longer than the average of all other SM Line customers returning to rail facilities. In 2020, SEA average staying days for returns back to rail were twice the average of all other SM Line customers. By 2022, SEA’s average days had more than tripled from 6 to 19 days and were nearly five times the average of other SM Line customers.” CX_004317

160. It was SM Line’s policy to not allow truckers to use their own chassis. If an exception was made, SM Line instructed the trucker to bill SEA directly for the daily chassis fees, even though SM Line was responsible for providing chassis. CX_002027-28; CX_002028, Li Dep. Tr. 61:22-62:12; 62:14-22; CX_001426-29, Askins Dep. Tr. 131:18-134:25; CX_004848-54, Askins Dep. Ex. 3 at 1-7.

Response: Denied as stated. Solarez transcript p. 132, l. 14-21. SM Line tried to work with the shipper whenever there was significant chassis issues at rail terminal by allowing them to use their own chassis; but admits that SM Line encouraged truckers not use their own chassis because a private chassis actually caused more complications and costs to the shipper. CX_001212 – 13, Solarez Tr. 143:9-144:3 ; CX_001376 – 77, Askins Tr. 81:24-82:17.

161. Due to chassis shortages, SEA was often forced to prepull containers for storage at off-dock container yards at its own cost to avoid demurrage. CX_002670-71, Rapske Dep. Tr. 58:16-59:24.

Response: Denied as the evidence cited does not support the claims in this PFF. The cited transcript is talking about prepull charges. The same transcript demonstrates that SEA prepulled containers even when there were no chassis issues. Repeats and incorporates our response to PFF nos. 79, 103, 139, and 159 herein. CX_001376 – 77, Askins 81:24-82:12. Denied to the extent that the action is being characterized as “forced.” Pre-pulling containers to avoid demurrage is within SEA’s discretion pursuant to the service contracts.)

162. During the Relevant Time Period, SEA reached out to SM Line for assistance with chassis shortages, to no avail. CX_002070-71, Rapske Dep. Tr. 58:16-59:24.

Response: Denied. Repeats and incorporates the responses to PFF nos. 79, 103, 139, 158 and 160 herein. Often SEA or SEA’s trucker did not timely seek assistance rather waited until the free time had expired or the last moment before it expired.

163. Whether on a CNT or house trucker move, if a trucker contacted SM Line about chassis or operational issues, SM Line would try to communicate with TRAC. But because SM Line has a sole relationship with TRAC, neither the trucker nor SEA had the ability to resolve the issues with TRAC. CX_001188-90; CX_001190, Solarez Dep. Tr. 119:25-121:4; 121:11-17.

Response: Denied as stated. SM Line worked with a pool of pulls in order to secure chassis whenever timely requested. Repeats and incorporates the response to PFF nos. 79, 103, 139 and 267 herein. CX_001379, CX_001440, Askins Tr. 84:9-24, 145:19-25; CX_001189 – 90, Solarez Tr. 120:17 – 25.

164. SM Line's own equipment control manager admitted that during the Relevant Time Period, there was nothing a consignee like SEA could do to address or resolve a chassis shortage. CX_001189, Solarez Dep. Tr. 120:10-20.

Response: Denied. Repeats and incorporates the responses to PFF nos. 79, 103, 139, and 162 herein.

165. Due to SM Line's failure to provide chassis, SEA was forced to lease chassis from truckers for picking up shipments at terminals to mitigate the damages. SEA, which was not responsible for providing chassis, had to pay for such chassis on a daily basis at rates higher than what SM Line paid for chassis from chassis pools. CX_002822; CX_002822-23; CX_002842, Goedinghaus Dep. Tr. 48:3-17; 48:24-49:15; 68:20-22.

Response: Denied as stated. As outlined above in PFF Nos. 162 and 163, if SEA timely requested chassis assistance, SM Line provided chassis. Where SEA failed to timely notify SM Line of a chassis issue, SEA sought chassis assistance independently.

166. As a result of the chassis shortage and lack of available appointments, SEA's containers accrued even more charges. CX_002882-83, Goedinghaus Dep. Tr. 108:16-109:8; CX_004974, Goedinghaus Dep. Ex. 7 at 4.

Response: Denied. Repeats and incorporates the responses to PFF nos. 28, 30, 79, 103, 139 and 267 herein. Further denied as the evidence cited does not support the claims in this PFF. Whenever timely notified of an appointment issue, SM Line duly provided assistance including, but not limited to, finding them the necessary appointments, allowing SEA to pick up containers without having to make appointments (peel off program), and when appropriate, SM Line also waived the charges that were related to appointment issues. LFD was extended and the appointment was exempted on numerous occasions. RX_0001602 – 10;

RX_0001461; RX_0001458; RX_0001539; and RX_0003565 – 66, (in all cases LFD was extended because container(s) was/were not accessible, and appointment were exempted when needed.

Again, SM Line demonstrated clear records of 1) SM Line stopping the clock (not billed D&D charges) over [REDACTED] days (during the 2020-2022 reparation period) at any given port or terminal (implementing the stop clock for every single containers (SEA or others) being affected by the stop clock date will receive the benefit, which implies millions of dollars of non-billed D&D charges, RX_0004698 (excel) (“SML general stop clock days”); 2) during the same reparation period (2020-2022), SM Line provide additional [REDACTED] days worth of D&D “stop-clock” to SEA, in addition to the general Stop-clock, again implying millions of dollars of non-billed D&D charges, RX_0004707 (excel) (“SEA stop clock days”); and 3) SM Line further waived nearly [REDACTED] (billed but waived/wrote-off D&D charges) specific to SEA, RX_0004706 (excel) (“SEA waiver amount”) when warranted under the Shipping Act and OSRA.

VII. SM LINE’S D&D PRACTICES

A. The D&D Management Plan and its Many Iterations to Generate Revenue

167. SM Line adopted its initial Demurrage and Detention Management Procedure (“D&D Management Procedure”) at the formation of the company in 2017. CX_004549-77, SM Line 143(b)(6) (Session III) Dep. Ex. 1.

Response: Admit.

168. The stated purpose of the D&D Management Procedure was to “establish efficient working procedure for billing and collection of [D&D] charges, intending to improve equipment

turn-time and generate additional revenue.” CX_000107-08, SM Line 143(b)(6) (Session I) Dep. Tr. 79:21-80:3; CX_004693, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 4.

Response: Admit.

169. Charge “inactivation” was the term used by SM Line referring to the cancellation of D&D charges that should not have been charged. CX_000148, SM Line 143(b)(6) (Session I) Dep. Tr. 120:5-6; CX_001123, Solarez Dep. Tr. 54:11-23.

Response: Admit.

170. The D&D Management Procedure does not provide guidance on how to review claims for equipment damages, system errors and limitations, force majeure, or SM Line’s responsibility (i.e. vender service failures). CX_004710-12, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 21-23.

Response: Denied. Repeats and incorporates our response to PFF no. 267 herein. CX_004303-04, Clair Report ¶¶41-47.

171. A charge discount is a reduction in the amount of a D&D charge after the invoice has been issued. CX_004694, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 5.

Response: Admit.

172. The D&D Management Procedure has been updated five (5) times between 2017 to 2022. CX_004549-77, SM Line 143(b)(6) (Session III) Dep. Ex. 1; CX_004578-606, SM Line 143(b)(6) (Session III) Dep. Ex. 2; CX_004607-35, SM Line 143(b)(6) (Session III) Dep. Ex. 3; CX_004636-64, SM Line 143(b)(6) (Session III) Dep. Ex. 4; CX_004690, SM Line 143(b)(6) (Session III) Dep. Ex. 6.

Response: Admit.

173. In the original 2017 version of the D&D Management Procedure, requests for charge or inactivation were first considered by the regional office. CX_000270-71, SM Line 143(b)(6) (Session III) Dep. Tr. 213:12-16; 213:23-214:4; CX_004570-73, SM Line 143(b)(6) (Session III) Dep. Ex. 1.

Response: Admit.

174. Prior to November 2022, the U.S. regional office had approval authority for charge discount requests only up to \$500 per bill of lading, and approval for all charge discount requests over \$500 per bill of lading had to come from SM Line's Korea HQ. CX_000271-73, SM Line 143(b)(6) (Session III) Dep. Tr. 214:14-216:7; CX_004570-72, SM Line 143(b)(6) (Session III) Dep. Ex. 1.

Response: Admit to the extent that the detention and demurrage management procedure manual does state this; however, denied in that SM Line handled the detention/demurrage issues through a module. CX_000840 – 41, Kwang Soo Oh Tr. P. 127: 19- 128:6. SM Line managed the detention/demurrage invoice cancellations and charge discounts through a detention/demurrage module.

175. The D&D Management Procedure was revised in September 2020 (revision 3); but none of the revisions were made in response to the requirements set forth in the FMC's Interpretive Rule. CX_000274-75, SM Line 143(b)(6) (Session III) Dep. Tr. 217:13-218:1; CX_004607-35, SM Line 143(b)(6) (Session III) Dep. Ex. 3.

Response: Denied as stated. The evidence cited does not support the claims in this PFF.

176. In the 2020 revision of the D&D Management Procedure (version 3), all approval authority for discount requests that the regional offices previously had was removed, and all

approvals for discount or inactivation could only be approved at the Korea headquarters. CX_000275, SM Line 143(b)(6) (Session III) Dep. Tr. 218:2-22; CX_004628-30, SM Line 143(b)(6) (Session III) Dep. Ex. 3.

Response: Denied as stated. From operational and implementational point of view, US office still were involved in overall D&D charge and refund/waiver processes.

Q. Billing and collecting.

A. Billing and collecting occur in the field.

Q. How about discounts?

A. For discounts, it depends on the amount. The field also has some authority for discounts.

CX_000602, Hyun-Yong Jung Tr. 36:10-14.

177. The D&D Management Procedure was updated to its current version (version 5) in November 2022, and because of OSRA, it provided the head of the U.S. office approval authority for discount requests up to \$1,500 per container. CX_000303; CX_000304, SM Line 143(b)(6) (Session III) Dep. Tr. 246:11-24; 247:8-15; CX_004690, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 1.

Response: Admit that the procedure was updated at this time; denied as to the remainder of the claims in this PFF.

178. For discount requests above \$1,500, but below \$3,000, Mr. Hyun-Yong Jung (the head of Sales and Logistics in SM Line's Korea HQ) had the ultimate approval authority, and any requests above \$3,000 per terminal were required to be additionally approved by the SM Line CEO. CX_000305, SM Line 143(b)(6) (Session III) Dep. Tr. 248:20-23; CX_000603-08, Jung Dep. Tr. 37:25-42:6; CX_004707, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 18.

Response: Admit to the general practice of approval authority; but denied as to the remaining claims in this PFF.

179. For all charge inactivation requests, SM Line required approval from SM Line's Korea HQ; the U.S. office did not have approval authority for inactivation requests. CX_004709-12, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 20-23; CX_000272-73; CX_000275; CX_00276, SM Line 143(b)(6) (Session III) Dep. Tr. 215:19-216:7; 218:7-22; 219:9-22; CX_001157, Solarez Dep. Tr. 88:10-21 (explaining that the ultimate decision-maker on inactivation is always upper management: "It always requires their sign-off").

Response: Denied as stated. During the Covid there were various issues including personnel issues. So the some of the discretionary roles were moved to Korea office. ("[T]his was during the COVID pandemic situation. So United States, in general, was experiencing high turnover rate. There was this expression great resignation. And so, in that regard, there were difficulties to hire people in actuality. That was evident. And here, currently, as to the work method of the assessment method or collection method, which was done at the terminal, that work method is still ongoing or being maintained. CX_000145 – 46, SM Line (K.K. Choi) 143(b)(6) Vol. I, Tr. 117:20-118:4.

And certainly as the Covid season ended, the authority to the local office was officialized. ("But, with respect to the newly revised OSRA, the circumstances were such that we can anticipate more charge-related complaints from the customers. So in order to address that and either for me to make a decision on that as fast as possible, I was given the authority to handle these complaints up to \$1,500 at Phoenix RA. So I think that is what is meant by this.") CX_000303 – 04, SM Line (K.K. Choi) 143(b)(6) Vol. III, Tr. 246:25-247:15

180. Except for increasing the authority of the U.S. office to discount D&D charges from a cap of \$500 per bill of lading to a cap of \$1,500 per bill of lading, SM Line has not made any material changes to its D&D Management Procedure since the 2020 Interpretive Rule or OSRA in 2022. CX_000302-04, SM Line 143(b)(6) (Session III) Dep. Tr. 245:8-247:15; CX_004690, SM Line 143(b)(6) (Session III) Dep. Ex. 6; CX_004636-64, SM Line 143(b)(6) (Session III) Dep. Ex. 4.

Response: Admitted as to the procedure involving authority; but denied as to the remaining claims in this PFF. Context does matter in this case, especially along with our responses in PFF no. 178 herein. Repeated and incorporated our responses in PFF 187 herein. (“But, with respect to the newly revised OSRA, the circumstances were such that we can anticipate more charge-related complaints from the customers. So in order to address that and either for me to make a decision on that as fast as possible, I was given the authority to handle these complaints up to \$1,500 at Phoenix RA. So I think that is what is meant by this.”).

CX_000303 – 04, K.K. Choi 143(b)(6) Vol. III Tr. 246:25-247:15

181. After the November 2022 D&D Management Procedure revision, approval for any discounts of D&D charges above \$1,500 per bill of lading required approval from SM Line’s Korea HQ, and all decisions to stop clock or waive/inactivate D&D of any value required approval from SM Line’s Korea HQ. CX_004607, SM Line 143(b)(6) (Session III) Dep. Ex. 3 at 1; CX_000438-39, K.K. Choi Dep. Tr. 85:23-86:20.

Response: Admit as to the general approval process of stop clock and waiver of detention and demurrage charges.

182. Decisions on discounts were communicated via email, which was subject to SM Line's 90-day email deletion policy, and no separate records of these approvals were maintained. CX_000610-11, Jung Dep. Tr. 44:22-45:13.

Response: Denied as stated. The detention and demurrage waiver requests were managed and controlled by the detention and demurrage module. CX_000840 – 41, Kwang Soo Oh Tr. P. 127: 19- 128:6. Denied to the extent that detention/ demurrage waivers and discount were managed and controlled within the detention and demurrage module. *Id.* Denied as to the remaining claims in this PFF.

183. Pursuant to the D&D Management Procedure, the SELCON team was supposed to maintain records of D&D discount decisions, but Mr. Jung, who oversees SELCON, did not know whether SELCON did in fact maintain such records. CX_004690, SM Line 143(b)(6) Session III Dep. Ex. 6; CX_000611-12, Jung Dep. Tr. 45:21-25; 46:9-17.

Response: Denied as the cited testimony does not support the claims in this PFF. CX_000285, KK Choi 143(b)(6) vol. 3 Tr. 228:10-18. The cited testimony supports the fact that the modules handle the charge inactivation.

184. Mr. Jung did not rely on specific criteria to make decisions to approve or deny a discount request, nor did he consult his professional experience or written guidelines. CX_000615-16, Jung Dep. Tr. 49:18-50:7; 50:18-51:3. Mr. Jung did not make a responsibility determination about D&D discounts from the perspective of who was at fault. CX_000621-22; CX_000616-17, Jung Dep. Tr. 55:11-56:24.

Response: Denied as stated as this PFF mischaracterizes the cited testimony.

185. SM Line's U.S. office recommended inactivation of detention charges only in *extremely rare* circumstances, such as when a container was stolen or damaged at the port, and did

not inactivate D&D charges for any of the reasons for inactivation listed in the D&D Management Procedure. CX_000432-34, K.K. Choi Dep. Tr. 79:18-81:25; CX_000272-73; CX_000275; CX_00276, SM Line 143(b)(6) (Session III) Dep. Tr. 215:19-216:7; 218:7-22; 219:9-22; CX_001157, Solarez Dep. Tr. 88:10-21; CX_004709-12, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 20-23.

Response: Denied as stated as this PFF mischaracterizes the cited testimony.

186. When a container has an *unable to locate* (“UTL”) status or where there are no available appointments, if the D&D Management Procedure was properly followed, charges of that type would be covered by the list of reasons to inactivate charges and the charges should be cancelled. CX_000167-68, SM Line 143(b)(6) (Session I) Dep. Tr. 139:18-140:4; CX_004541-44, SM Line 143(b)(6) (Session I) Dep. Ex. 11 (email communication dated October 21, 2020); CX_004711, SM Line 143(b)(6) (Session III) Dep. Ex. 6 at 22.

Response: Admitted as stated.

187. Within SM Line, SELCON in Korea HQ was responsible for setting and managing SM Line’s D&D policy per the Management Plan. CX_001122-23, Solarez Dep. Tr. 53:21-54:1; CX_000456, K.K. Choi Dep. Tr. 103:5-19.

Response: Admitted as stated.

188. SM Line’s SELCON team created guidelines for managing D&D using SM Line’s ALPS system (“ALPS D&D Guidelines”). CX_000279-80, SM Line 143(b)(6) (Session III) Dep. Tr. 222:20-223:9; CX_004665-89, SM Line 143(b)(6) (Session III) Dep. Ex. 5.

Response: Admit as stated.; but denied insofar as this PFF suggests the D&D guidelines were the only controlling document.

SM Line maintained a reasonable and fair procedure for reviewing a case for a D&D charge waiver.

Q. Okay. What is the policy related to port congestion and demurrage incurred?

A. If the port is congested, then the demurrage is waived.

CX_001706 – 07, Gaston Tr. 53:23-54:1

Another employee also addressed the D&D charge waiver to be on a case-by-case basis.

Q. Okay. If a terminal posts availability to accept empties online but a trucker or a customer says there are no appointments available, how does SM Line respond?

A. Just respond to them by the case by case basis that we would go in and review and contact the terminal to see if there are appointments still available or not. So it all depends, case by case basis.

CX_001601 – 02, Chian Ma Tr. 91:19 – 92:3.

Q. Okay. Whenever charges are waived like that, what is generally -- how does that happen? Is it a finding that it was incorrectly billed, or how do you determine that?

A. Normally, when there's a dispute, the dispute will indicate the reason, and then the -- I will just do research based on their reason and validate it and then it gets waived.

CX_001781, Gaston Tr. 128:17-24.

Repeated and incorporated our responses in PFF nos. 78, 276 herein.

189. The ALPS D&D Guidelines provide guidance on the type of evidence to be included with a charge discount request. CX_000284-85, SM Line 143(b)(6) (Session III) Dep. Tr. 227:8-228:9.

Response: Denied as stated. The cited testimony has been mischaracterized. Choi's testimony is clearly in that what is "included" in the ALPS system that would include communication with customers, such as phone calls and emails in addition to the system

generated information such as the empty performance, ... additional evidence, and ... what the reasons were for the requests and the history of these requests for this customer, and... there are also additional evidence, as well. So this is how we evaluate these various cases. What we look at is the facts that have been found and also the reasons why these requests were made and also what kind of communications we have had with the corresponding customer. We are looking at all these things so that we can make a decision comprehensively. Based on that, we perform the assessment and we give approval.”) CX_000284-85, SM Line 143(b)(6) (Session III) Dep. Tr. 227:20-228:1, and 231:15-232:4).

190. SM Line was unable to confirm if ALPS D&D Guidelines existed for charge inactivation, and SM Line did not produce any written guidelines for charge inactivation using the ALPS system. CX_000282-83, SM Line 143(b)(6) (Session III) Dep. Tr. 225:20-226:15.

Response: Denied as this PFF mischaracterizes the cited testimony.

191. SM Line does not have any fixed or formal guidelines or standards that are applied when evaluating a discount or inactivation request. CX_000299, SM Line 143(b)(6) (Session III) Dep. Tr. 242:7-22; CX_004665-89, SM Line 143(b)(6) (Session III) Dep. Ex. 5.

Response: Denied as stated. SM Line had a guidelines or standards that provided for applying stop clock or inactivation. Same cite as next one. SMLine 0182979, SM Line provided at least 584 days’ worth of inactivation dates, most of them without the express request by customer.

192. A discount or inactivation will only be evaluated if a customer first expressly requests one. CX_001158, Solarez Dep. Tr. 89:8-23; CX_001582, Ma Dep. Tr. 72:15-18.

Response: Denied as stated. RX_0004707 (excel), SM Line provided at least [REDACTED] days’ worth of inactivation dates, most of them without the express request by customer.

193. The evaluation of discount requests was predominantly a commercial evaluation; whether the charge was consistent with the Incentive Principle was not a factor in the ALPS D&D Guidelines. CX_000290-91; CX_000304-05, SM Line 143(b)(6) (Session III) Dep. Tr. 233:19-234:15; 247:25-248:11.

Response: Denied as stated. The evaluation took in multiple factors, including all applicable regulations including the factors implicated by the applicable rules including the incentive principle. CX_004707, 004710-12, Demurrage and Detention Management Procedure, just to list SOME of the “Specific Reasons” columns are – bad weather, terminal strike, port close, vessel schedule change VVD change, space/weight control, vendor service failure (feeder/rail/truck (House Truck /Door Term Only), damage, EDI error, Op-MT case, EDI Error, etc.”).

194. SM Line personnel making D&D discount decisions did not consider which party was at fault for the circumstances giving rise to the charge: “I don’t think I have any recollection where I approached this [D&D] discount issue from a perspective of who is at fault.” CX_000621-22, Jung Dep. Tr. 55:11-56:24.

Response: Denied as stated as this PFF mischaracterizes the cited testimony.

195. The top three circumstances where SM Line inactivated, *i.e.*, waived, D&D charges were: (1) delay caused by congestion at the terminal, (2) unable to locate containers, and (3) differences existed in the calculation of the last free date between the terminal and SM Line’s system. CX_000149-50, SM Line 143(b)(6) (Session I) Dep. Tr. 121:9-122:4.

Response: Admit to the extent that this PFF reflects the top three reasons for inactivation of detention/demurrage charges.

B. 2022 DEM/DET Management Improvement Plan (SM Line_0178389)

196. In mid-2022, Mark Yoon-Jae Lee was the managing director and vice president of SM Line HQ. CX_000893-94, Lee Dep. Tr. 29:20-30:10; CX_000674-76, S.H. Kim Dep. Tr. 21:5-23:6; CX_000618; CX_000618-19, Jung Dep. Tr. 52:15-53:5.

Response: Admit to the general time frame and the position that Mr. Lee held at said time.

197. At that time, Mr. Lee noticed that SM Line was facing significant issues collecting D&D in the U.S. CX_000674-76, S.H. Kim Dep. Tr. 21:5-23:6.

Response: Denied as this PFF mischaracterizes the cited testimony. Mr. Lee's testimony was about "those problems that occurred in the United States in the America [sic] relating to demurrage and detention, and what we were thinking."

198. Mr. Lee directed Mr. Sung-Hyun Kim to research whether SM Line directly collecting D&D charges would reduce issues in collecting D&D. CX_000673-76, S.H. Kim Dep. Tr. 20:5-23:6.

Response: Denied as stated. Mr. Kim's testimony discusses how to alleviate and better manage general detention and demurrage issues in the U.S. *Id.* CX_000673-76, S.H. Kim Dep. Tr. 20:5-23:6.

199. Sung-Hyun Kim has been employed by SM Line since 2017 and was promoted to team manager of SELCON in January of 2023. CX_000665, S.H. Kim Dep. Tr. 12:4-9.

Response: Admit.

200. Members of the SELCON team in SM Line's Korea HQ created a Demurrage and Detention Improvement Plan for 2022, dated October 26, 2022 ("D&D Improvement Plan"). CX_000673; CX_000676, S.H. Kim Dep. Tr. 20:17-19; 23:7-11.

Response: Denied as stated. Mr. Kim was very clear that this was his work and his work alone on a personal level since he had time off on his hands. Mr. Kim’s testimony is very clear that he drafted this report on his own and in his own personal capacity when he had some time on his hands. He did not consult with anyone else. He admitted that his report was essentially rejected by Mr. Lee. CX_000676; CX_000682 – 83; CX_000691, Sung Hyun Lee Tr. 23:7-11; 29:17-30:11; 38:13-14.

201. The purpose of the D&D Improvement Plan was to “find an efficient alternative that can increase the proper profitability while avoiding [FMC] penalty risk.” CX_004743, S.H. Kim Dep. Ex. 2 at 2 (emphasis added).

Response: Denied as stated. Mr. Kim’s testimony is clear that it is intended to find a way to improve detention and demurrage issues in the U.S. CX_000674, Sung Hyun Kim Dep. Tr. 21:5 – 15.

202. The D&D Improvement Plan states “[t]o date, we have recognized DEM/DET as a means to increase the income amounts, collected the maximum amount from the shipper, and recovered more than the actual cost incurred...” CX_004743, S.H. Kim Dep. Ex. 2 at 2.

Response: Admit to the quote being an accurate transcription of the testimony.

203. SM Line’s D&D Improvement Plan identifies that SM Line externally messaged to shippers reasons for using D&D that were different than its “[a]ctual internal objectives” for using D&D. CX_004744, S.H. Kim Dep. Ex. 2 at 3; CX_000694, S.H. Kim Dep. Tr. 41:21-24; CX_000128-129; CX_000137, SM Line 143(b)(6) (Session I) Dep. Tr. 100:23-101:3; 109:17-22.

Response: Denied as stated as this PFF mischaracterizes the cited testimony.

204. The D&D Improvement Plan states SM Line’s “[c]urrent D&D work method” was to “seek the collection of all billable amounts.” CX_004744, S.H. Kim Dep. Ex. 2 at 3.

Response: Admit as to the quotation being an accurate transcription of the cited testimony.

205. The D&D Improvement Plan states that SM Line was “[p]ersuading external shippers” that the reason for SM Line’s D&D was to “[p]rice for the loss of the sales opportunity to induce quick return of equipment.” CX_004744, S.H. Kim Dep. Ex. 2 at 3.

Response: Admit as to the quotation being an accurate transcription of the cited testimony; denied as to the characterization of the reasons for the purpose of SM Lines detention and demurrage charges. To SM Line, the demurrage and detention represents a negligible amount – RX_0004729; Ki-Yong Kim Tr. 22:7-22:23 –

Q. “Mr. Kim, in terms of demurrage and detention, is it considered an additional revenue source for SM Line?

A. It covers about 3 percent of our total revenue. So it would not be the main, but if you’re talking about the kinds of revenue, it can be one kind of revenue.

Q. You said 3 percent. How did you calculate that?

A. Because the total revenue is reflected in our -- on our financial statements, and demurrage and detention is one of the accounts. These are divided up for various accounts. There’s revenue generated from transportation of cargos and there are different accounts. So if you do the calculation, approximately, it’ll be about 3 percent.”

And SM Line’s testimonies are consistent with this economic reality. CX_000107 – 110, SM Line 143(b)(6) Vol.I, K.K. Choi Tr. 79:25-81:3 (“the purpose [of demurrage and detention charges] is to generate additional revenue by making the containers return to be as fast as possible so that the turn time is made as fast as possible.”).

CX_000677, CX_000688, Sung-Hyun Kim Tr. 24:16-23 and 35:10-23 (“the demurrage and detention is serving as a means to motivate the shippers to return the equipment as soon as possible or as quickly as possible.” ... “So our company is a company engaged in logistics.

So we generate revenue by moving goods and cargos, and as is clearly indicated in the first portion of this document, it says, improve equipment turn time, and what this means is that we are increasing the revenue by doing so.”).

206. The D&D Improvement Plan contrasted SM Line’s external messaging with its “[a]ctual internal objectives” for D&D, which the D&D Improvement Plan stated was to “[m]aximize income by recognizing [DEM/DET] as an opportunity to generate additional income.” CX_004744, S.H. Kim Dep. Ex. 2 at 3. (emphasis added).

Response: Denied as this PFF mischaracterizes the cited testimony. See also the response to PFF Nos. 200 and 201.

207. The principal SELCON Team author of the D&D Improvement Plan, dated October 26, 2022, Mr. S.H. Kim, was promoted to team manager of SELCON in January 2023. CX_000684, S.H. Kim Dep. Tr. 31:5-13.

Response: Admit as to Mr. Kim being promoted in January 2023.

208. The D&D Improvement Plan was disseminated within SM Line management; K.K. Choi, the head of the U.S. office, confirmed having seen the Korean version. CX_000129-30, SM Line 143(b)(6) (Session I) Dep. Tr. 101:18-102:1.

Response: Admit that the document was rejected by Mr. Lee, not SM Line management, also admit that Mr. Choi saw the Korean version but only in preparation of his 143(b)(6) testimony. That is the first time Mr. Choi saw said document. CX_000117, CX_000160, SM Line 143(b)(6) Vol.1 – Tr. 89:14-20 and 132:1-10.

209. Following the D&D Improvement Plan, SM Line’s D&D Management Procedure was updated on November 18, 2022, increasing authority of the U.S. headquarters to discount D&D charges up to \$1,500 per bill of lading (up from \$500) and increasing the threshold requiring CEO

approval for discount requests to \$3,000 from \$1,500, and consistent with the D&D Improvement Plan, no other material changes to SM Line's D&D work method were changed. CX_000681-82; CX_000684, S.H. Kim Dep. Tr. 28:11-29:5; 31:2-4; CX_000684-85, S.H. Kim Dep. Tr. 31:18-32:4; CX_000129-30, SM Line 143(b)(6) (Session I) Dep. Tr. 101:22-102:1.

Response: Admit to the extent that the D&D improvement plan increased the authority of the US office; denied as to the remaining claims in this PFF. CXC_000303 – 04, SM Line 143(b)(6) Vol. III, K.K. Choi Tr. 246:25-247:15 (“But, with respect to the newly revised OSRA, the circumstances were such that we can anticipate more charge-related complaints from the customers. So in order to address that and either for me to make a decision on that as fast as possible, I was given the authority to handle these complaints up to \$1,500 at Phoenix RA. So I think that is what is meant by this.”).

210. SM Line's Management Procedure of Accounts Receivable directed the collection of D&D charges **regardless** of whether a charge was disputed. CX_005620, SM Line_0180243.

Response: Denied.

211. SM Line's form invoices state “[b]ased on the information available to SM Line as of the date of this invoice: SM Line's performance did not cause or contribute to the underlying invoiced charges.” CX_005574, SM Line_0022480.

Response: Admitted.

VIII. BILLING AND INVOICING PRACTICES

A. SM Line's Poor Management of Data Errors in D&D Invoicing Questions the Reliability of its Practices In Violation of the Shipping Act

212. SM Line's internal data management operating system, used for the automatic calculation of charges, is called the ALPS system. CX_000777-78, Oh Dep. Tr. 64:21- 65:11; CX_001003-04, Lee Dep. Tr. 139:17-140:5.

Response: Admit to the extent that ALPS is the internal data management operation system, but denied as to the characterization of an automatic calculation of charges. CX_001003 – 04, Sarah Lee Tr. 139:24-140:17 (“We have a two system, our own internal ALPS system, A-L-P-S, system. That’s where people create the invoices, and there’s an option to click the button, interface button, to our accounting system called Oracle ERP. So there’s an option -- you could click the button that ALP system’s invoice comes to ERP become an open invoice. So demurrage invoices, as soon as they made, they click the button, all become open invoices in accounting side. That’s why I was so involved, the pushing, involving the customer email sometimes at the money. But detentions, usually even though they’re open invoices in our system, they don’t interface to ERP.”)

CX_000779 – 80, Kwang soo Oh Tr. 66:19-67:1 (“So when it comes to the name ALPS, that is the name of the system, the total system, and, within the system, there are many modules. There’s a module related to pricing, there’s one related to detention and demurrage, and one related to terminals. These are all separated out. And people who have the company IDs can have access to these modules.”)

213. The ALPS system contains multiple modules, each of which addresses a different aspect of the container business. CX_000777-78, Oh Dep. Tr. 64:21- 65:11; CX_001003-04, Lee

Dep. Tr. 139:17-140:5; CX_000230-31, SM Line 143(b)(6) (Session II) Dep. Tr. 181:8-182:3; CX_001867-68, Yi Dep. Tr. 49:10-50:4.

Response: Admit as stated.

214. The ALPS system generates company invoices, including D&D invoices, and tracks the movement histories of containers. CX_001003-04, Lee Dep. Tr. 139:17-140:5; CX_001531-32; CX_001532-33; CX_001532-33, Ma Dep. Tr. 21:10-22:6; 22:23-23:2.

Response: Admit as stated.

215. The ALPS system is programmed to detect when containers have been returned. CX_001529-30, Ma Dep. Tr. 19:10-20:2.

Response: Admit as stated.

216. Ms. Yeon Hui Yi is Senior Manager in SM Line's U.S. office. CX_001882-83, Oh Dep. Tr. 64:21- 65:11.

Response: Admit.

217. Ms. Yi performs troubleshooting issues in the ALPS system when SM Line employees in the U.S. office encounter errors. CX_001887-88, Yi Dep. Tr. 69:21-70:19.

Response: Admit as stated to the extent the errors refer to errors in the ALPS system, with the exception of specialized errors which require the assistance of someone with more technical oversight and understanding. CX_001895 – 96, Yi Dep. Tr 77:23-78:25.

218. SM Line employees frequently contacted Ms. Yi regarding errors in the system and having to resolve the issues. CX_000792-93, Oh Dep. Tr. 79:13-21; 79:22-80:5. Ms. Yi directly performed "troubleshooting of the ALPS system when employees in the U.S. office encounter errors." CX_001896. Yi Dep. Tr. 78:2-25.

Response: Denied as to the characterization of “frequently,” but admit that Ms. Yi is the point of contact.

219. Larger system errors in the ALPS system, requiring assistance in the U.S., are submitted to SM Line HQ. CX_001895-96, Yi Dep. Tr. 77:23-78:25.

Response: Admit as to the general practice.

B. SM Line’s Hybrid Human/Automatic System for D&D Charging

220. The head of the SM Line office in Arizona, K.K. Choi, was not familiar with the detailed work process for preparing demurrage invoices, but understood that initially, the person who works on an invoice will send a **reminder** for the last free day to the customer, before the customer picks up the cargo. CX_000405-06, K.K. Choi Dep. Tr. 52:17-53:5. The demurrage invoice is issued when the cargo is picked up. CX_000408, K.K. Choi Dep. Tr. 55:3-8.

Response: Admit as to the general practice of issuing invoices and sending LFD reminders to customers, but denied as to the characterization of Mr. Choi’s understanding of the general “work process.”

221. Billing and collection of D&D at SM Line occurred initially at the field level, in the Arizona office. CX_000602; CX_000630-31, Jung Dep. Tr. 36:3-14; 64:25-65:6.

Response: Admit to the general practice of billing and collection of D&D.

222. SM Line had an inbound demurrage customer service team led by Joan Gaston. CX_000400, K.K. Choi Dep. Tr. 47:8-13.

Response: Admit as stated.

223. The inbound demurrage customer service team created invoices when demurrage occurred and zealously collected those invoices. CX_000401-02, K.K. Choi Dep. Tr. 48:20-49:4.

Response: Denied, demurrage is generally collected by the terminal. CX_001756, Gaston Tr. 103:13-20; CX_000754 - 55, KwangSoo Oh Tr. 41:25-42:3,, and CX_000898 – 99, Sarah Lee Tr. 34:22-25:7. And SM Line does not collect any demurrage charges at rail terminal. CX_000156 – 57, SM Line 143(b)(6) Vol. I – Tr.128:15-129:8.

224. Detention invoices are generated *automatically* and sent out via the ALPS system a day after the empty container has been returned without any human verification or oversight as to the accuracy of the amounts or responsible party. CX_001529-30; CX_001543; CX_001572, Ma Dep. Tr. 19:10-20:2; 33:1-15; 62:3-22.

Response: Denied as to the characterization of the description. Insert earlier answer re stop clocks and demurrage detention invoices generated.

225. SM Line’s system would automatically calculate detention based on customers service contract, tariff terms and if a stop clock has been applied. CX_001157-58, Solarez Dep. Tr. 88:22-89:23.

Response: Admit as stated.; but denied to the extent that Complainant suggests the cited Solarez testimony supports this PFF. SM Line confirms that in the ALPS demurrage and detention module, there is an inactivation function. And as responded in PFF no. 123 herein, SM Line’s operation team help to verify the invoice and interface the invoice for them to process the payment.” CX_002073 – 74, Tianjin Li Tr. 107:25-108:8

226. Invoices are not monitored for free time “because it’s all done through the ALPS system.” CX_001541, Ma Dep. Tr. 31:19-21.

Response: Denied as to the characterization of the manner in which free time is monitored. The ALPS system does require initial input by SM Line employees. Repeats and incorporate the responses to PFF no. 224 herein.

227. SM Line invoices did not include the mandatory minimum information required by OSRA. CX_004862, Ma Dep. Ex. 6; CX_005597, SEA_SMLINE_0020955; CX_005598, SEA_SMLINE_0020957; CX_005599, SEA_SMLINE_0020960; CX_005600, SEA_SMLINE_21148; CX_005595, SEA_SMLINE_0006648; CX_005596, SEA_SMLINE_0019862.

Response: Admit as to these invoices not containing all the information required under OSRA but further clarifies that these invoices were issued during the transition period. CX_005597, CX_005598, CX_005599, CX_005600, CX_005595, CX_005596. Moreover, admitted that SEA did not pay the invoices cited in PFF No. 227 and SM Line deems this invoice to be uncollectible under the “30 day invoicing” rule, 46 CFR §541.7. <https://www.federalregister.gov/documents/2024/02/26/2024-02926/demurrage-and-detention-billing-requirements>.

228. SM Line detention invoices that were sent out did not contain any information on how to dispute the invoice. CX_001589, Ma Dep. Tr. 79:5-8.

Response: Denied, the SM Line invoices were in full compliance of applicable rules including how the invoice can be disputed. As an example, please see RX_0004097 (dated July 2022), and RX_0004099 (dated August 2022). Please also reference the website - https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en.

229. When SM Line received payments for detention, SM Line employees would interface with the ALPS system to mark the payment as collected. CX_001576, Ma Dep. Tr. 66:1-10.

Response: Admit that when SM Line receives detention payments, SM Line will conduct the accounting by using or interfacing with ALPS as the main system.

230. The ALPS system kept records of the amount of detention that had been invoiced and collected. CX_001574, Ma Dep. Tr. 64:18-25.

Response: Admit that the records referenced in PFF No. 230 was kept in the ALPS system as the main system.

231. SM Line employees did not maintain system data on special discounting and billing particularities before issuing invoices. CX_001390, Askins Dep. Tr. 95:21-25; CX_001529-30, Ma Dep. Tr. 19:10-20:2.

Response: Denied, SM Line's system does maintain data that involves waivers, stop clocks and other "billing particularities." Further denied as the claims in this PFF are not supported by the cited testimony. CX_000285, K.K. Choi 143(b)(6) Vol. 3 Tr. 228:8-25 ("So, in the ALPS demurrage and detention module, there is an inactivation function.").

232. SM Line employees had different understandings of the proper parties to charge. CX_001569-71, Ma Dep. Tr. 59:13-61:16; CX_001397-99, Askins Dep. Tr. 102:2-104:4; CX_004690, SM Line 143(b)(6) (Session III) Dep. Ex. 6.

Response: Denied as to the mischaracterization of the testimonies cited in this PFF.

233. For example, while Mr. Chian Ma, an operations manager overseeing detention billing and collections in the Arizona office, understood that there was no relationship between detention and a tariff, Ms. Askins, another former SM Line employee who handled D&D disputes, understood that the tariff would apply if the contract did not specify otherwise. CX_001569-71, Ma Dep. Tr. 59:13-61:16; CX_001397-99, Askins Dep. Tr. 102:2-104:4; CX_004690, SM Line 143(b)(6) (Session III) Dep. Ex. 6.

Response: Denied this PFF mischaracterizes the cited testimony. The cited testimony supports that the tariff would be applied if there is no service contract, but sometimes the

tariffs were incorporated into the contracts. RX_0004495, [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

C. SM Line Lacked a Meaningful Dispute Resolution Process, Violating Both the Shipping Act and OSRA

234. Like all ocean carriers, SM Line has the discretion to waive D&D charges. CX_004298, Lee A. Clair Expert Report dated Feb. 21, 2024 (“Clair Report”), ¶24; CX_001608, Ma Dep. Tr. 98:2-24; CX_001706-07; CX_001792-93, Gaston Dep. Tr. 53:21-54:3; 139:25-140:18; CX_001097-98, Solarez Dep. Tr. 28:24-29:20.

Response: Admit as stated with regard to SM Line’s ability to waive SM Line’s own detention and demurrage charges; SM Line cannot speak to the practices of other ocean carriers.

235. SM Line chose not to waive the D&D charges assessed against and paid by SEA. CX_001714-15, Gaston Dep. Tr. 61:20-62:6; CX_001124-25, Solarez Dep. Tr. 55:7-56:25.

Response: Denied as the claims in this PFF mischaracterize the cited testimony. SM line waived [REDACTED] worth of detention and demurrage charges. Repeats and incorporates the responses to PFF nos. 227 and 276 herein.

236. SM Line did not have a written dispute resolution policy as oversight for D&D charges. CX_001582-88, Ma Dep. Tr. 72:7-78:14; CX_001335-37, Askins Dep. Tr. 40:6-42:1;

CX_001154, Solarez Dep. Tr. 85:4-16. Instead, SM Line would provide hands on training through on a case-by-case basis. CX_001154, Solarez Dep. Tr. 85:4-16.

Response: Denied as the cited testimony does not support the claims in this PFF. SM Line had written dispute resolution guidelines. Please also reference the website - https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en. Admit that SM Line handled detention and demurrage disputes on a case by case basis and provided hands on training for the same.

To SM Line, in the event that a container is not being picked up even though it is available, depending on a reason for such situation, a different response would be warranted. Li's testimony is consistent with this view.

Q. If there's issues, would it automatically waive charges with demurrage and detention?

A. No. It depends on the case. You know, it's case by case.

CX_002082, Tianjin Li Tr. 116:22-25.

Another SM Line testimony supports our response.

Q. In that situation, do you know what the FMC's position is on charging or accruing demurrage on a day when a container is not available for pickup?

A. I wouldn't know what -- the FMC's specific position on that. However, pursuant to the newly revised rules, if the container is not available per the rules, then we at SM Line do not charge for those containers.

CX_000474 – 75, K.K. Choi Tr. 121:18-122:4

Repeated and incorporated the responses to PFF no. 276 herein.

237. Invoices do not have any information about how to dispute an invoice. CX_001589, Ma Dep. Tr. 79:5-8.

Response: Denied as the cited testimony does not support the claims in this PFF. SM Line website also had information related to how to dispute an invoice. Repeats and incorporates our responses to PFF no 227 herein. As an example, please see RX_0004097 (dated July 2022), and RX_0004099 (dated August 2022). Please also reference the website: https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en.

238. D&D disputes are reviewed by separate departments. CX_001097; CX_001098-99; CX_001153, Solarez Dep. Tr. 28:20-24; 29:25-30:20; 84:4-15; CX_001704-05, Gaston Dep. Tr. 51:21-52:18.

Response: Admit that demurrage was mainly reviewed by one department and detention was mainly reviewed another department.

239. To initiate a dispute, a customer or trucker was forced to send an email to the detention group [at detgrpnj@smlines.com](mailto:at_detgrpnj@smlines.com) or the demurrage group [at phximport@smlines.com](mailto:at_phximport@smlines.com). https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en; CX_001582; CX_001583, Ma Dep. Tr. 72:7-25; 73:9-11; CX_001694; CX_001699, Gatson Dep. Tr. 41:8-21; 46:8-20.

Response: Admit that these email addresses were provided on the invoices.

240. The disputing party would have the burden of supporting its dispute rather than the issuer having information in support of the charge as saved, when issued. CX_001335-37, Askins Dep. Tr. 40:6-42:1; CX_001582-83, Ma Dep. Tr. 72:7-73:11; CX_001096-97, Solarez Dep. Tr. 27:5-28:17.

Response: Denied. This PFF is not relevant because SEA bears the burden of proving that its damages were proximately caused by SM Line's violations of the Shipping Act and to prove the amount of its damages with reasonable certainty.

241. SM Line's investigation into a dispute involved reviewing EDT data and then presenting its findings to management and making a recommendation. CX_001335-37, Askins Dep. Tr. 40:6-42:1.

Response: Admit that the investigation into a dispute involves investigating relevant and available data and presenting the finding to the management and making a recommendation.

242. Unless a customer sent in a dispute, charges would not be discounted or cancelled (or "inactivated" in SM Line parlance). CX_001158, Solarez Dep. Tr. 89:8-23; CX_001582, Ma Dep. Tr. 72:15-18.

Response: Denied as this PFF mischaracterizes the testimony cited. SM Line, without requiring a dispute by a customer; SM Line provided discounts, provided stop clock and applied waivers without requiring a customer sending in a dispute. As an example, please see RX_0004097 (dated July 2022), and RX_0004099 (dated August 2022). Please also reference the website - https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en.

Repeated and incorporated our responses in PFF no. 276 herein.

243. Despite the lack of a written method for customers to dispute charges, at least one SM Line employee recalls receiving disputed invoices from customers sometimes daily. CX_001589-90, Ma Dep. Tr. 79:9-80:1.

Response: Denied. The cited testimony does not support the claims in this PFF. Additionally denied as to the claim that there is no written method for customers to dispute charges. As an example, please see RX_0004097 (dated July 2022), and RX_0004099 (dated August 2022). Please also reference the website - https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en.

244. If the dispute is determined to be valid, the dispute is escalated to the head of the regional office to approve inactivation of the charge. CX_001590-91, Ma Dep. Tr. 80:2-81:13.

Response: Admit as to the general practice of approving inactivation charges.

245. According to another employee, the customer would have to appeal the rejection of the first dispute for it to be escalated to the head of the team with an appeal heard by the same person who first rejected the now disputed invoice. CX_001152-53, Solarez Dep. Tr. 83:8-84:15; CX_001594-95, Ma Dep. Tr. 84:22-85:23.

Response: Denied. The claims in this PFF mischaracterize the cited testimony.

246. After K.K. Choi, the head of the U.S. office, reviewed a dispute it would be sent to SELCON Korea HQ for review as well. CX_001112, Solarez Dep. Tr. 43:1-5.

Response: Denied in that the cited testimony does not support this PFF; the cited testimony relates only to whether Solarez had seen the detention and demurrage policy manual and when.

247. For demurrage disputes, after the head of the import team reviewed the dispute, they would have to be submitted to upper management in Korea for approval. CX_001098, Solarez Dep. Tr. 29:21-24.

Response: Admit as to the general practice of demurrage dispute per the detention and demurrage management procedure.

D. SM Line's Collections Internally and Implementing Guarantee Letter Requirements to Extract Payment of D&D Charges Or Face Punitive Cargo Hold

248. If a customer did not pay a D&D charge by the due date on the invoice, it was considered late and thirty days after the due date, the charge would be escalated to SM Line's

manager of finance and human resources at SM Line, Sarah Lee. CX_000884; CX_000885; CX_000888-89, Lee Dep. Tr. 20:20-25; 21:3-11; 24:22-25:19.

Response: Admit as stated.

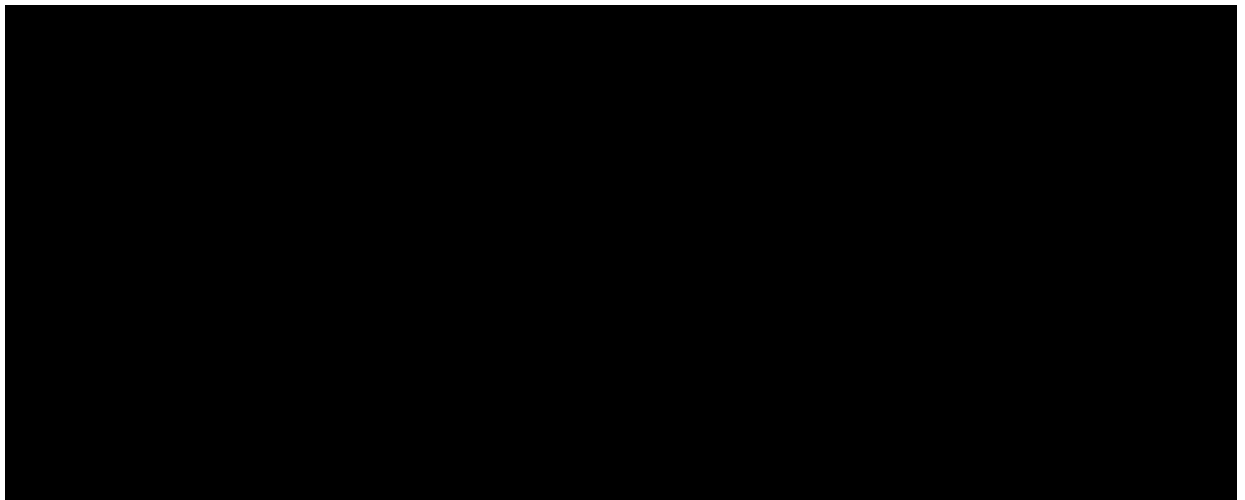
249. The escalation would occur regardless of the amount owed or the status of the customer. CX_000888-89, Lee Dep. Tr. 24:22-25:19.

Response: Admit as stated.

250. The SM Line AR team is responsible for collecting D&D charges, with SM Line considering D&D charges as revenue. CX_000887-88; CX_000890, Lee Dep. Tr. 23:24-24:18; 26:1-4.

Response: Admit that AR team was responsible for collecting D&D charges and admit that from the accounting perspective, D&D charges were considered revenue, but it is considered a miscellaneous revenue certainly not a main revenue. RX_0004671 – (“Management Procedure of Accounts Receivable”)

...



251. In connection with collection, the terminal charges demurrage in the first instance and the customer pays the charges directly to the terminal, with a portion of the payment being sent to SM Line a month later. CX_000899, Lee Dep. Tr. 35:8-18.

Response: Admit to the general practice that the terminal collects liner's demurrage as well as terminal storage charges, among other charges, where applicable. Admit also that terminal and SM Line do accounting of the payments received by the terminal. Denied as to the remaining claims in this PFF. CX_000899, Lee Dep. Tr. 35:8-18. Please also see CX_000899-900, Sarah Lee Tr. 35:24-36-22 ("Portland terminal decided not to collect the demurrage, so customer pays the Portland terminal demurrage to SM Line.")

252. SM Line operated a credit business as part of its collections operation, which Sarah Lee oversaw. This business included granting credits and setting credit rating criteria. CX_000890-91, Lee Dep. Tr. 26:5-14; 26:25-27:10.

Response: Admit that SM Line offered credit terms to their customers, but denied as to the remaining claims as it is unclear what is being alleged in the remainder of this PFF.

253. SM Line's Korean Headquarters made decisions about SEA's credit worthiness. CX_000891, Lee Dep. Tr. 27:2-21.

Response: Admitted as to the general practice of offering credit to its customer.

254. SM Line required SEA to guarantee D&D charges *before* it would allow cargo to be released. CX_001765; CX_001766; CX_001771-72, Gaston Dep. Tr. 112:13-21; 113:3-11; 118:20-119:7.

Response: Denied. The claims in this PFF mischaracterize the cited testimony. The cited testimony supports that it was actually SEA that asked SM Line for help in guaranteeing demurrages due to SEA and CNTs' pick up operations which benefitted from SM Line's

assistance. SM Line made a specific exception for SEA and agreed to this guarantee.

RX_0004463 – 64, (SEA write to SM Line “[REDACTED]

[REDACTED]”). SM Line made a specific exception for SEA and agreed to this guarantee. RX_0004448.

Regarding holding SEA cargo or credit, SM Line never did.

Q. Could you explain to me what freezing all credits for all other import cargo ocean freights entail?

A. Samsung Electronics has a 45-day grace period of payment credit time. Even if they pick up the cargo or deliver, we don’t ask them to pay for 45 days. However, if we have so many outstanding, we are not going to apply the credit anymore. They have to pay the payments before they pick up the cargo at the port. That’s what we are suggesting. We never enforced this. We are just, like, this may happen. So I -- we want -- because they’ve been ignoring our emails so long, just like last minute, this might happen if you don’t pay. That’s what our email is about, but we never froze anything.”

CX_001029, Sarah Lee Dep. Tr. 165:1-15.

Repeats and incorporates our responses in PFF no. 80 herein.

255. Charges had to be guaranteed through the exact date the trucker would pick up the container, otherwise the cargo would be held until the additional charges were guaranteed.

CX_001765; CX_001766, Gaston Dep. Tr. 112:13-21; 113:3-11.

Response: Denied as the claims in this PFF mischaracterizes the cited testimony. Terminals did not allow a customer to pay demurrage charges in advance, so it required that customer pays the demurrage on the date of pickup; however, because SEA was scheduling a pickup in advance, it asked SM Line to guarantee demurrage charges to the applicable terminal. SM Line agreed in order for SEA to be able to pick up container without having to incur additional delays, thereby avoiding additional charges.

256. For example, on September 3, 2021, a trucker was concerned that delays at the terminal due to appointment availability and congestion would result in additional demurrage charges. The trucker requested that SM Line guarantee the charges, which SM Line refused to do and passed on to SEA to guarantee. CX_004844-45, Solarez Dep. Ex. 28 at 1-2 (internal SM Line email dated September 4, 2021) (“[REDACTED] [REDACTED] [REDACTED]”).

Response: Denied, this PFF mischaracterizes the cited testimony. More importantly, there is no record of SM Line collecting any demurrage or detention charge in this case under the associated Work Order number PHX6894083. RX_0004145. This is [REDACTED] [REDACTED]’s shipment, not SEA’s shipment. RX_0004269.

And after cross checking against the economic damages report of SEA, Appendix B, Exhibit 1 (“SEA v. SM Line Inland Transportation Charges Paid by SEA on SM Line Shipments”) pp. 1-424, SEA does not appear to have paid any demurrage charges involving FENIX terminal (which is the terminal in Port of Los Angeles) in this cited case. Again, SEA failed to support its claim in this PFF.

257. SM Line demanded a “guarantee letter” from SEA that SEA would pay demurrage charges within three days after a container left port/was released. CX_001771-72, Gaston Dep. Tr. 118:20-119:7.

Response: Denied as to the characterization of a demand; denied as to the mischaracterization of the cited testimony. Admit that because SM Line was providing very unusual out of ordinary accommodation, SM Line sought to make sure that SEA timely paid the demurrages that SM Line would advance on behalf of SEA. SEA did not pay the agreed

demurrage for more than 6 months. Repeats and incorporates the response to PFF no. 80 herein.

258. If SEA did not agree to guarantee demurrage charges for cargo on a door move that was handled by a CNT, SM Line sought SEA's confirmation the door move would be switched to a CY move. CX_001256-57, Solarez Dep. Tr. 187:16-188:7.

Response: Denied the cited testimony does not support this PFF. In fact, the cited testimony does not exist as the Solarez transcript ends on page 182.

259. SEA issued a blanket approval for D&D charges to keep their goods moving. CX_002435, SEA 143(b)(6) Dep. Tr. 188:8-22; CX_002651, Rapske Dep. Tr. 39:2-23.

Response: Admit that SEA issued a blanket approval, but cannot admit or deny the remaining claims in this PFF based on the testimony cited in this PFF.

260. The blanket approval was necessary since SEA's regular approval structure was not able to handle the amount of pandemic-related surge of charges and there was no practical manner in which to challenge without cargo being held, because the steamship lines would ask SEA to pay first and then it could demand a refund. CX_002651; CX_002682-83, Rapske Dep. Tr. 39:2-23; 70:6-71:9.

Response: Admit that SEA's blanket approval to pay demurrage, detention, and other charges given to CNT without any formal approval of SEA and helped mitigate SEA's operational inefficiencies. CX_002651, Rapske Tr. 39:5-23 ("... we gave the approval for the team to approve paying detention and demurrage to get the product moving.")

SEA's own witness confirm the internal issues. "The reason why we have a blanket since we have so much emails and we are dealing with a lot of issues, we don't want to cause any delay anymore. That is why we gave the CNT, which is Gold Point, a blanket to pay on

our behalf, but it doesn't mean that we are agreeing that we should be be paying on that one. We are we are desperate to move our loads and the deliver loads to our customers.”
CX_003080 – 81, Fernando Tr. 151:22-152:8; and RX_00000013.

261. SEA's contacts at SM Line for invoice issues did not have the authority to override any decisions or invoices, and SEA had to pay the charges in order to keep the containers moving.
CX_002692-93, Rapske Dep. Tr. 80:23-81:14.

Response: Denied, the assertion put forth in this cited testimony is not supported by any evidence or facts.

E. SM Line's Admissions Against Interests in its SM Line D&D Responsibility Report as to its D&D Charging and Collections

262. Following receipt of SEA's Complaint in this matter, on April 27, 2023 SM Line performed an extensive analysis of the D&D charges invoiced to SEA (“SM Line D&D Responsibility Report”).

Response: Denied as to the characterization of the “responsibility report.” Admitted that on or about April 27, 2023, SM Line performed an informal internal analysis of the D&D charges invoiced to SEA. Denies the allegation that said analysis of the spreadsheet was extensive. Declaration of Woo Cheol Shin (“4. ... [SM Line's outside counsel suggested that] SM Line should conduct an early internal risk analysis of SEA's monetary claims seeking refunds for demurrage and detention charges paid by SEA to SM Line and by SM Line to other entities on behalf of SEA. 5. Mr. Choi instructed an employee (Ms. Yeonhui Yi) to review SM Line's internal data and create a spreadsheet to perform a summary report analysis (“Summary Spreadsheet”) of every charge that SM Line received from SEA or its agents, treating all such charges as refundable claims or transactions. 6. To the best of my

knowledge, the Summary Spreadsheet analysis was completed on or about April 27, 2023. 7. On or about May 31, 2023, Ms. Yeonhui Yi shared it with me at the instructions of Mr. Choi. I did not share it with anyone else, including other SM Line employees.” (emphasis added).

K.K. Choi Declaration (“4. ... [SM Line’s outside counsel suggested that] SM Line should conduct an early internal risk analysis of SEA’s monetary claims seeking refunds for demurrage and detention charges paid by SEA to SM Line and by SM Line to other entities on behalf of SEA. 5. I instructed one employee (Ms. YeonHui Yi) to review our internal data and create a spreadsheet to perform a summary report of every charge that SM Line received from SEA or its agents, treating all such charges as refundable claims or transactions. 6. This report (“Summary Spreadsheet”) analysis was completed on or about April 27, 2023.”)

Further, SM Line’s 143(b)(6) witness clarified on the document that “[i]f you look at this data, there is some difference as to the amount yet to be collected or uncollected. The details have been delineated on a quarterly basis, and there’s another difference which has to do with the third party. In this regard, the invoices have been issued but have not been collected.”

CX_000334, SM Line 143(b)(6) Vol.3 Tr. 277:2-12.

263. At the request of K.K. Choi (V.P. and U.S. Managing Director) and Woo-Cheol Shin (Korea HQ, Head of Legal & Claims), the SM Line D&D Responsibility Report was created by Sung-Hoon Lee, a SM Line IT employee. The SM Line D&D Responsibility Report was presented to Mr. Shin, SM Line’s Head of Legal & Claims in Korea, when it was completed. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7; CX_000309; CX_000312-15, SM Line 143(b)(6) (Session III) Dep. Tr. 252:19-24; 255:24-258:1; CX_005601-03, Decl. of K.K. Choi dated Jan. 31, 2024 (Dkt. No. 64); CX_005604-06, Decl. of Woo Cheol Shin dated Jan. 31, 2024 (Dkt. No. 65); CX_005607-08, Decl. of Wook Chung dated Jan. 31, 2024 (Dkt. No. 63).

Response: Denied as to the characterization of the “responsibility report.” Admit that the spreadsheet was requested by K.K. Choi and Woo-Cheol Shin. Denied the remaining claims of the PFF. Repeats and incorporates our responses to PFF no. 261 herein.

264. The analysis in the SM Line D&D Responsibility Report included identifying the reasons for the charges and which party bore responsibility for any charges that accrued. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7; *see also* CX_000309-10; CX_000317-18, SM Line 143(b)(6) (Session III) Dep. Tr. 252:19-253:16; 260:7-261:3.

Response: Denied as to the characterization of the “responsibility report”. The remainder of the PFF is also denied. The analysis was done as a highly informal stress test performed by one person in a vacuum with undue presumptions, and with only insufficient, immediately available data. Repeats and incorporates our responses to PFF no. 261 herein.

265. The data used in the SM Line D&D Responsibility Report included not only a breakdown of the charges, but also the backup documentation supporting the determination of the underlying cause of the charges, such as emails. *See* CX_000308-10; CX_000314-15; CX_000315-25, SM Line 143(b)(6) (Session III) Dep. Tr. 251:24-253:16; 257:21-258:1; 258:19-268:19.

Response: Denied as to the characterization of the “responsibility report.” Admit that the report had prematurely available information, certainly not enough back up documents that support the determination of any kind. This was prior to any meaningful discoveries by either party. Repeats and incorporates our responses to PFF no. 261 herein.

266. The SM Line D&D Responsibility Report, which identifies detention as “DTIC” and demurrage as “DMIF,” summarizes not only the underlying cause of the charges (such as port congestion and chassis shortage), but also amounts collected versus outstanding and type of move

(CY, CNT, or house trucker).² CX_000326-31, SM Line 143(b)(6) (Session III) Dep. Tr. 269:20-274:14.

Response: Denied as to the characterization of the “responsibility report.” Admit to the definitions or meanings of DTIC and DMIF. Denied as to the remaining claims in this PFF. Denied as to the analysis of the cause for those charges and the reliability and accuracies of the amounts for still uncertain, with undue presumptions, and at best premature and incomplete. Repeats and incorporates our responses to PFF no. 261 herein.

267. Column BK and BH reference whether the charges accrued due to port congestion, but that is just Mr. Choi’s “guess, but I think this is from the trucker emails. I think it just described what was indicated, just writing down what was indicated in the trucker emails. The port congestion, I think the trucker emails suggested that they couldn’t pick up the containers because the port’s congestion.” CX_000322, SM Line 143(b)(6) (Session III) Dep. Tr. 265:12-23.

Response: Denied as to the characterization of the “responsibility report” and as to the characterization of the testimony; admit that columns BK and BH are correctly quoted as found on the spreadsheet. Repeats and incorporates our responses to PFF no. 261 herein.

268. The SM Line D&D Responsibility Report identified purported evidence related to 62% of the listed charges; 38% of the charges had no associated evidence. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7.

Response: Denied as to the characterization of the “responsibility report.” Admit that the cited percentages are correctly quoted as found on the spreadsheet but denied as to the

² For CY moves, SEA incurred D&D and rail storage charges during and as a result of the transition from store door moves to CY moves and as a result of needing to build infrastructure to handle the CY moves. CX_004469-70, Smith Report ¶ 48; CX_004202-05, Smith Dep. Tr. 80:5-83:23.

accuracy and completeness of those figures. Repeats and incorporates our responses to PFF no. 261 herein.

269. For 63% of the demurrage charges, the remarks simply stated “No Reply” as evidence. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7.

Response: Admit that they are correctly quoted as found on the spreadsheet, but deny as to the accuracy and completeness of the information. Repeats and incorporates our responses to PFF no. 261 herein.

270. In the SM Line D&D Responsibility Report SM Line identifies a minimum of \$ [REDACTED] in D&D charges that are SM Line’s responsibility. A total of \$ [REDACTED] in D&D charges are identified as a “Samsung Operation Issue” and \$ [REDACTED] are identified as “Warehouse Issues”, a total of \$ [REDACTED] in D&D charges identified as SEA’s responsibility. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7.

Response: Denied as to the characterization of the “responsibility report.” Admit that they are correct quotes of as found on the spreadsheet, but denied as to the completeness and accuracy of the figures therein because, once again, each of these needs to be looked at closes on a case-by-case basis. The analysis was done prematurely, with undue presumptions, and prior to any meaningful and necessary document review and analysis. Repeats and incorporates our responses to PFF no. 261 herein.

IX. SM LINE’S D&D PRACTICES WERE UNTETHERED FROM THE SHIPPING ACT AND THE INCENTIVE PRINCIPLE

271. As an example of SM Line’s practices, SEA cargo moving under store door terms under B/L No. SEL1G1584603 arrived at the Port of Seattle in June of 2021. CX_004513, SM Line 143(b)(6) (Session I) Dep. Ex. 2.

Response: Admit that the BOL exists and calls for port of Seattle.

272. SM Line issued an arrival notice for the cargo with a notation that the cargo was a “DOOR” move. CX_004514, SM Line 143(b)(6) (Session I) Dep. Ex. 3 at 1. On June 21, 2021, SM Line issued a “Transportation Work Order” (“Work Order”) to the trucker Spirit Transportation System (“Spirit”). CX_004516-17, SM Line 143(b)(6) (Session I) Dep. Ex. 4.

Response: Admit that the Arrival Notice shows (ETA: 18 Jun 21 16:00 (DOOR)) and that SM Line issued a Work Order to Spirit on 6/21/2021. Id.

273. On June 25, 2021, Spirit emailed SM Line that they were having issues picking up cargo (including Container No. CAIU4347330) from the port due to stacked containers and chassis shortages. CX_004520-30, SM Line 143(b)(6) (Session I) Dep. Ex. 6.

Response: Admit that Spirit finally responded to SM Line’s multiple LFD reminder emails on June 25, 2021, but denied as to the characterization of the email. The email “

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].” Peel off pile benefits SEA so that trucker or CNT can pick up SEA container without making an appointment with the terminal; however, part of the peel off pile program a trucker takes whatever container that is readily available. That is why when SEA containers are in stacks, SEA/CNT cannot pick up a container that they want to. SEA asked for peel off option so they can pick up these containers without making an appointment. The subject container CAIU4347330, the last free day was June 25, 2021. The cited exhibit shows that SM Line sent the last free day reminder at least from June 21. However, SEA or the CNT does not respond to SM Line until the last day. A storage issue is cited but no specific harm is being

alleged therein because of equipment issues. SEA/CNT made no attempt to pick up the container prior to LFD. RX_0004149 – 59.

Repeats and incorporates our responses in PFF nos. 274 and 277 herein.

274. It was SM Line’s responsibility to provide chassis and ensure containers were available for pick up. CX_000097-98, SM Line 143(b)(6) (Session I) Dep. Tr. 69:25-70:6; CX_004520-30, SM Line 143(b)(6) (Session I) Dep. Ex. 6.

Response: Admit as to SM Line’s general responsibility to provide chassis when it is required to do so, denied that there was actual chassis issue in the cited case. Repeats and incorporate the responses to PFF nos. 103 and 276 herein.

275. SEA was assessed and paid \$[REDACTED] in demurrage to obtain the cargo’s release, \$[REDACTED] of which was SM Line demurrage and \$[REDACTED] in Port Demurrage, for the shipment. CX_000080-81, SM Line 143(b)(6) (Session I) Dep. Tr. 52:3-53:21; CX_004518-19, SM Line 143(b)(6) (Session I) Dep. Ex. 5; CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7; *see e.g.*, CX_005587-88, SM Line_0111320; CX_005589-90, SM Line_0111329; CX_005591-92, SM Line_0111349; CX_005593-94, SM Line_0111359.

Response: Admit as to the amounts are accurately quoted; denied as to the remaining claims in this PFF. Again, in this case, SM Line sent container four arrival notices and reminders on 6/21, 6/22, 6/23, 6/24, 6/25/2021 to SEA’s CNT/Spirit Transport. Spirit Transport has not responded at all. Spirit has not made any attempt to pick up the container either. On 6/25/2021, Spirit responds to SEA by saying “[REDACTED]

[REDACTED]
[REDACTED]
[REDACTED]”

We note that “peel off” program allows you to pick up a customer’s container WITHOUT having to make any appointment. (please reference our response in PFF no. 103 herein). And yet, only on the last free day, Spirit Transport says it will try to pick up the container today. Spirit Transport does not clearly mention that it is having an actual chassis shortage issue but just says “chassis are a short commodity.”

SM Line’s response is fair and reasonable in that “

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED].” (emphasis added) RX_0004149 - 59.

This container was eventually picked up on 7/12/2021. RX_0004443. However, importantly, other than that one email from its CNT, SEA has not demonstrated that this container CAIU4347330 had any chassis or accessibility issues.

276. The charges were incurred due to chassis shortages. CX_004714, SM Line 143(b)(6) (Session III) Dep. Ex. 7.

Response: Denied. There is no record of this container having an actual chassis shortage issue. Repeats and incorporates our response to PFF no. 274 herein.

277. SM Line’s D&D practices did not take into account the requirement in the FMC’s May 2020 Interpretive Rule that D&D charges be levied only when they will encourage the flow or fluidity of cargo through ports and storage facilities, which was implemented as an effort to prevent ocean carrier from profiteering. CX_CX_001755, Gaston Dep. Tr. 102:13-18; CX_001170, Solarez Dep. Tr. 101:14-18.

Response: Admit to what the FMC’s interpretative rule provides for, namely requiring carriers to have reasonable and fair detention and demurrage charging policies and practices. Denied that that was violated in this case. There are records of 1) SM Line stopping the clock (not billed D&D charges) over [REDACTED] days (during the 2020-2022 reparation period) at any given port or terminal (implementing the stop clock for every single containers (SEA or others) being affected by the stop clock date will receive the benefit, which implies millions of dollars of non-billed detention and demurrage charges, RX_0004698 (excel) (“SML general stop clock days”); 2) during the same reparation period (2020-2022), SM Line provide additional [REDACTED] days worth of D&D “stop-clock” to SEA, in addition to the general Stop-clock, again implying millions of dollars of non-billed D&D charges, RX_0004707 (excel) (“SEA stop clock days”); and 3) SM Line further waived nearly \$[REDACTED] dollars (billed but waived/wrote-off D&D charges) specific to SEA, RX_0004706 (excel) (“SEA waiver amount”) when warranted under the Shipping Act and OSRA.

SM Line waived \$[REDACTED] of U.S. import customer detention and demurrage charges combined in Q4, 2021 and Q1, 2022. In these same two quarter, SM Line had D&D collectons of \$[REDACTED]. RX_0004704. See also, CX_004304, Clair Report PP.44-47.

Per the FMC rules and practices, each case should be reviewed on a case-by-case basis. SEA has failed to prove that SM Lines’ D&D policies and practices violated Shipping Act/OSRA on a case-by-case basis and that such violation to unlawfully profited itself.

278. Some SM Line employees, including those who issued and collected D&D invoices, did not receiving training on the Shipping Act or OSRA. CX_001416-18, Askins Dep. Tr. 121:24-123:8; CX_001560; CX_001561-63, Ma Dep. Tr. 50:1-17; 51:1-53:13 (quoting “I didn’t review [the Shipping Act materials] as much as I should have.”), while some senior personnel claimed

awareness of and familiarity with the FMC's 2020 Interpretive Rule. CX_000474-75, K.K. Choi Dep. Tr. 121:18-122:21; CX_000807-09, Oh Dep. Tr. 94:14-96:14.

Response: Denied as stated, but admit that a minority of witnesses deposed in this matter have suggested that they do not recall receiving training or that they did not review the referenced materials. The majority of the witnesses confirm their training on Shipping Act or OSRA:

CX_001690, Gaston Tr. 37:16-23 –

Q. Okay. And are you familiar with the FMC's interpretive rule on demurrage and detention that was passed back in May 18, 2020?

A. Yes.

Q. Was there any training related to that rule?

A. Yes.

CX_000808 – 09, Kwangsoo Oh Tr. 95:23-96:5 –

A. There were trainings that were provided to the employees relating to OSRA and the interpretive rules in 2022.

Q. Were these trainings conducted at the same time?

A. [sic] Yes, the same time.

CX_000920, Sarah Lee Tr. 56:10-24 –

Q. Do you get regular training at SM Line?

A. Yeah.

Q. Can you just describe to me what they entail? Just general description would be fine.

A. Other than HR training, we do OSRA training and OSIPITA (ph) training and other, you know, the optics training.

Q. And you mentioned OSRA as in the Ocean Shipping Reform Act, O-S-R-A; is that correct?

A. Correct.

Q. Training on the OSRA, what form does it take? Is it an online lesson? In-person teaching?

A. In person teaching, email, notification. Sometimes, you know, they're publishing articles.

Q. Okay. Just breaking it down. In person, how frequent is that?

A. Once or twice in 2020.

CX_000454 – 55, K.K. Choi Tr. 101:7-102:3 –

A. There wasn't anything in-person during that period, but when the OSRA in 2022 became active around that time, there were some separate trainings that we provided internally.

Q. Could you clarify whether in the period of 2020 and 2021 if you are saying there were no trainings during that period, but there were then trainings later with OSRA '22. Is that what you are saying?

A. What I am saying is that 2020 and 2021, we were still in COVID situation. So there was no in-person training, but, in '22, the situation relaxed a bit, so there was in-person training that was provided.

Q. What was the nature of the training that was not in-person in 2020 and 2021?

A. Mostly e-mails relating to the relevant law revisions and industry articles. Those things were shared.

Chian Ma Tr. 52:20 - 53:7 –

Q. The interpretive rule on demurrage and detention under the Shipping Act that was contained in the federal registrar dated May 18th, 2020.

A. There was no formal training.

Q. Was there an informal training?

A. There was no training whatsoever regarding that.

Q. Right.

A. Bulletin materials that were sent via FMC or OSRA.

Q. Okay. Do you recall receiving a bulletin about the interpretive rule?

A. There's was the [sic] emails that were sent with the links to the FMC, yes.

CX_001172 – 73, Christopher Solarez Tr. 103:14 – 104:7 –

Q. And when it was passed, was there ever any discussion or training at SM Line related to OSRA?

A. Yes.

Q. Okay. And who did the training?

A. Our counsel -- legal counsel, Mr. Wook Chung.

Q. Was it for everybody? Was it...

A. It was for those that it affected directly, I felt like, but not everybody in the company attended.

Q. Okay. Was this in person?

A. Yes.

Q. Online?

A. In person and I believe we had an online session, too.

Q. Did anybody from your team participate?

A. Yes.

Q. Okay. When was the training? Was this pre transition for you or –

A. It was pretransition. I was still doing detention at the time.

CX_001417, Andrea Askins 122:20-23 –

Q. Do you recall any specific training regarding OSRA?

A. I recall receiving emails talking to us about OSRA and forwarding, like, links and things like that so we could read about it.

CX_000637 – 38, Hyun Yong Jung 71:23-72:11 –

Q. Have you received any training regarding the Shipping Act at SM Line?

A. When you say the Shipping Act, are you also including OSRA '22?

Q. I can't answer that. I'm just asking you the question. So go ahead.

A. There was some training that I received regarding OSRA 22.

Q. Was the training done by Mr. Chung, Wook Chung?

A. Correct.

Q. Was it one time or more than one time, the training that was?

A. I remember it was more than one time.

279. SM Line has not changed its policies to comply with FMC guidance since the fall of 2022. CX_001563-64, Ma Dep. Tr. 53:15-54:6.

Response: Denied. SM Line has complied with FMC guidance, not only with respect to invoices processes but also dem det resolution processes. Repeats and incorporates our responses made in PFF nos. 7, 227, 276, and 277 herein. CX_001092-93, Solarez Tr. 23:8-24:2.

X. DURING THE PANDEMIC, SM LINE REAPED UNPRECEDENTED LEVEL OF PROFITS STEMMING FROM D&D CHARGES AND PRACTICES

280. SEA experienced a negligible amount of D&D charges in 2019 in comparison to 2020-2022. CX_002631, Rapske Dep. Tr. 19:20-25.

Response: Admit that's SEA's detention and demurrage charges were lower in 2019 than in 2020-2022 but denies the characterization that the amount was negligible. RX_0004608, SM Line_0178385

281. In comparison with 19 other ocean carriers, SEA experienced a similar amount of D&D charges they used. CX_002635-36, Rapske Dep. Tr. 23:18-24:4.

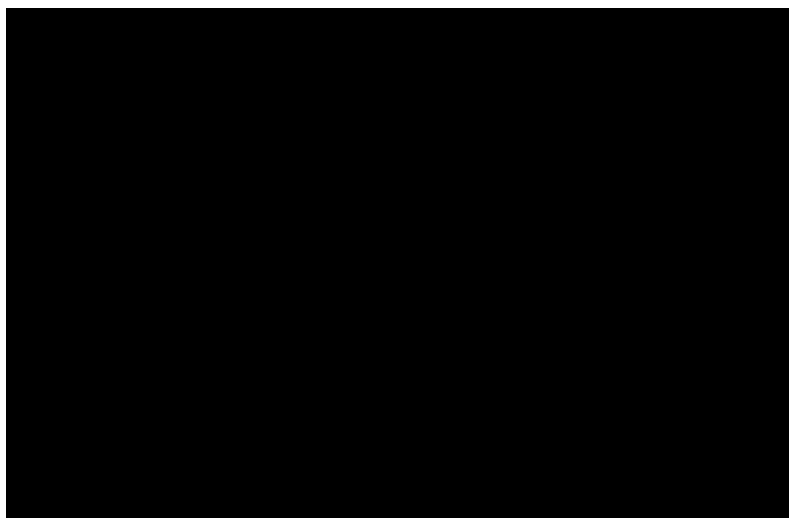
Response: Denied as it is unclear what is being asserted in this PFF, specifically "a similar amount of D&D charges they used." The cited testimony does not support this PFF. The witness testimony appears to claim that SEA experienced similar detention and demurrage charges issues as all other 19 carriers. SEA's own document shows that SM Line

carried about █% of their ocean transportation contract. RX_0003734, SEA_SMLINE_0068404, (Excel: Tab: “Sheet 2”).

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282. SM Line’s actual financial results during the Relevant Time Period, when compared with overall industry results, show that SM Line outperformed the overall industry during that time period. CX_004344, McCown Report ¶49.

Response: Denied. Clair Rebuttal Report ¶.

283. SM Line’s performance in 2021 was very noteworthy. Its net income that year rivaled other ocean carriers while in 2019, pre-pandemic, SML performed worse than the industry. CX_004344-45; CX_004346, McCown Report ¶¶50 (Table 1), 52.

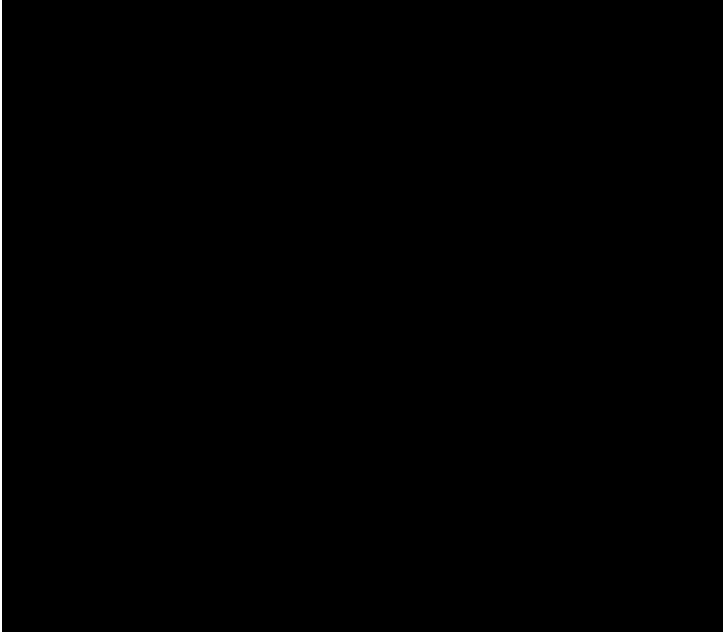


Response: Denied in that the cited testimony and table do not support the claims in this PFF. McCown’s calculations contain math errors, specifically he created a percentage change from a negative number to a positive number. Clair Rebuttal Report ¶.

284. SM Line’s income from D&D relative to its overall revenue significantly and disproportionately outperformed the top 9 ocean carriers (which represent 75.5% of the total container shipping industry revenue between 2020 and 2022). CX_004348, McCown Report ¶55.

Response: Denied. Clair Rebuttal Report ¶.

285. The scope of SM Line's collections practices were particularly noteworthy, SM Line's D&D collections as a percent of revenue substantially higher than the industry average as measured by the FMC data on the top nine carriers. CX_004349, McCown Report ¶56. The data is set forth in the table below. CX_004348, McCown Report ¶55, Table 3.



Response: Denied. Clair Rebuttal Report ¶.

286. As confirmed by the FMC, the data on the top 9 ocean carriers collected by the FMC is worldwide, not for the U.S. trade only. CX_005613, Email Communication between Holland & Knight and the Federal Maritime Commission dated Mar. 5, 2024.

Response: Denied in that this PFF mischaracterizes the FMC findings. In his rebuttal report, McCown mixes up US trade and global trade data. The detention and demurrage in the rest of the world wasn't nearly as high as it was here. Moreover, McCown uses US trade when analyzing SM Line's data and global trade when analyzing the other ocean carriers. Clair Rebuttal Report ¶.

287. The SM Line D&D practices unnaturally buoyed SM Line's entire business perspective, "when accounting for all other major factors which would impact significant revenue growth." CX_004354, McCown Report ¶66.

Response: Denied. See response to PFF No. 288.

XI. LIABILITY-RELATED EXPERT INDUSTRY EXPERIENCE IS UNEQUAL

A. The Shipowning Expertise of SEA's Expert McCown is Extensive

288. SEA's liability expert, Mr. John McCown, has over four decades of operating and investment experience in the container shipping industry and holds marine-related patents associated with cargo handling and vessel propulsion. CX_004328, McCown Report ¶2.

Response: Denied. Mr. McCown had no "operating" experience while employed by McLean Industries/U.S. Lines, which went bankrupt in 1986. See McCown Resume. Mr. Clair summarized his lack of relevant experience in his rebuttal report. Clair Rebuttal Report ¶. His tenure at Trailer Bridge is also insufficient to qualify Mr. McCown as an expert in this case. Trailer Bridge dealt with barges, rather than ships with holds, and the fleet was composed of domestic containers rather than international containers. Clair Rebuttal Report ¶.

289. His shipping expertise began with U.S. Lines, one of the largest container shipping companies in the world. CX_004328-29, McCown Report ¶4.

Response: See Response to PFF No. 288.

290. In the 1990s, he co-founded Trailer Bridge, a U.S. flagged container carrier operating seven vessels and offering a completed customer integrated service. CX_0044328-29, McCown Report ¶4. This included door to door service by contacting with railroads for inland carriage. CX_004328-29, McCown Report ¶¶4-5.

Response: See Response to PFF No. 288. There is not enough evidence supplied to admit or refute whether Mr. McCown co-founded Trailer Bridge.

291. From a financial perspective, Mr. McCown managed a significant portfolio of container shipping focused assets, \$20 billion in total, at Paulson & Co, which necessarily required a continued laser focus on containerized shipping business practices and services in the industry. CX_004328-29, McCown Report ¶¶4-5.

Response: Denied in that Mr. McCown's investments do not impact his ability to understand these practices or this industry. Clair Rebuttal Report ¶.

292. His monthly publication analyzing U.S. container shipping by way of volumes and quarterly analysis of financial performance based on financial disclosures to the public are widely viewed and respected in the industry. CX_004331, McCown Report ¶10.

Response: Denied. Clair Rebuttal Report ¶.

293. Mr. Malcolm McLean, the inventor of containerized shipping, trusted Mr. McCown so much, after decades working together with business interests for U.S. Lines and Trailer Bridge, that he named Mr. McCown as the executor of his will. CX_004366, McCown Report Appendix 1, at 40.

Response: Denied in that the claims cited in this PFF are irrelevant. U.S. Lines went bankrupt while Mr. McCown was there and Trailer Bridge went bankrupt shortly after Mr. McCown's tenure there. Moreover, Trailer Bridge does not and cannot compete in the market SM Line is in, just as SM Line is prohibited by law from competing in Trailer Bridge's market. Clair Rebuttal Report ¶.

294. With regard to industry views on D&D charges, historically, pre-pandemic, SM Line followed industry standard practices for store-door terms on SEA shipments in that it had

responsibility for not only the inland move of goods but also any D&D and other accessorial charges, except in very limited consignee-controlled circumstances. CX_004333-34, McCown Report ¶20.

Response: Deny.

295. Notwithstanding its historical practice, Mr. McCown observed that beginning in late 2020, SM Line's practice changed and it started charging D&D and other accessorial charges to SEA in increasingly large amounts despite the bills of lading terms still being door-based. CX_004334, McCown Report ¶21.

Response: Denied. SM Line did not change any practices. While it is true the numbers got larger, it was the same process. Clair Rebuttal Report ¶.

296. From a shipowner's perspective, where store door terms are marketed and freight collected, the situations where any consignee of cargo is responsible for D&D should be "extremely rare." CX_004334, McCown Report ¶21.

Response: Denied. It is the ship operator, not the ship owner, who has detention and demurrage.

297. The reasons it should be rare is that the very basis of container shipping is that the carrier charges the shipper for, and is fully responsible for, the logistical steps and processes until said cargo is delivered as directed in the through bill of lading. CX_004335, McCown Report ¶25.

Response: Admit in that the situations are rare. Further admits that the time period at issue in this case was a rare case. Clair Rebuttal Report ¶.

298. The reason why SM Line's D&D charging and collection practices radically changed was in order to avoid absorbing the costs for inland transportation and instead reduce its own costs and increase its revenue. CX_004335, McCown Report ¶26.

Response: Denied. SM Line did not experience any D&D charging and collection practice changes. Admitted that the impact is that that more D&D goes up, the more the profitability of the ship line goes down because the fluidity of the network is so important. Even the FMC states that the objective of D&D is to preserve fluidity. Without it, you do not have revenue. Clair Rebuttal Report ¶.

299. Based on his decades of experience in the container shipping industry, Mr. McCown stated that historically free days were built into the rates and per diem charged beyond the free days was based on the “cost of the equipment and on a multiplier of the approximate daily cost of the equipment.” Further, “within the industry, D&D charges were not exorbitant, and tariffs were set so that in the event that a carrier imposed an additional charge for using equipment more days than expected, the direct ownership cost of that equipment was covered.” CX_004337, McCown Report ¶32.

Response: Denied in that this PFF mischaracterizes the industry standard. See Response to PFF No. 29. The FMC ruling on D&D holds that D&D is to preserve fluidity of the network. There is no reference to equipment cost there. Clair Rebuttal Report ¶. SM Line’s rates were very much in line with those of their competitors. If SEA or its affiliates thought those rates were not correct, they could have renegotiated them in their contract. In fact, SEA actually did renegotiate other aspects of their contract (i.e. fewer free days). SEA never sought to renegotiate their rates. *Id.*

300. SM Line’s D&D charges, in contrast, were not tied to the cost of equipment, as was the historical mandate and FMC expectation. CX_004355, McCown Report ¶67.

Response: Denied. Repeats and incorporates the response to PFF No. 299.

301. There were no opportunity costs for SM Line to justify D&D charges. This was made plain by considering the SM Line ships, like the industry, was running at full capacity from Asia to the U.S., and as such even if additional pieces of equipment would have secured another load, there was no space on any SM Line ship for that load. CX_004357-58, McCown Report ¶75; CX_004495, SEA Expert Rebuttal Report of John McCown to the Expert Report of SM Line’s Liability Expert Lee Clair, dated March 1, 2024 (“McCown Rebuttal”) ¶17.

Response: Denied. Repeates and incorporates the response to PFF Nos. 298 and 299. Fluidity means volume and freight revue. By the chassis, ports, and terminals all being clogged, the ships were sitting offshore and couldn’t unload. The opportunity cost was that you didn’t have cycle time—it was a closed loop. With a blockage like that, the loop stops and there is no revenue generated. Here, there was a blockage at the port and the reason for the blockage was detention and demurrage. See Clair Transcript.

B. The Shipping Industry Expertise of SM Line’s Clair is Limited

302. SM Line’s liability expert, Mr. Lee A. Clair, provided both an affirmative expert report and rebuttal to Mr. McCown’s expert report. CX_004291, Clair Report, Cover Page; CX_004478, Lee A. Clair Rebuttal of John D. McCown Expert Report dated Feb. 29, 2024 (“Clair Rebuttal Report”), Cover Page.

Response: Admit.

303. Mr. Clair was retained by SM Line as an expert less than two (2) months before issuing his expert report. CX_003345, Clair Dep. Tr. (Vol. 1) 15:9-22.

Response: Admit.

304. His expert report and rebuttal report were researched and drafted by his project manager and he reviewed their work. CX_003350-51, Clair Dep. Tr. (Vol. 1) 20:9-21:17.

Response: Denied insofar as Mr. Clair created the process and his project manager was working directly at his direction. Clair Transcript.

305. Mr. Clair had no recollection of any conversations taking place with SM Line individuals that were listed in his “Key Documents Referenced” (Appendix B). CX_003347-48; CX_003349-50, Clair Dep. Tr. (Vol. 1) 17:25-18:17; 19:18-20:4; CX_004324-25, Clair Report, Appendix B.

Response: Admit as to this OFF summarizing the transcript of the summary cited in that Mr. Clair stated he did not have a recollection at the time he was being questioned.

306. To rebut Mr. McCown’s expert report, Mr. Clair’s first focus was attempting to attack Mr. McCown’s knowledge of the shipping industry by calling it “out of date” and “irrelevant to this dispute.” CX_004480-81, Clair Rebuttal Report ¶¶1-8.

Response: Admit, but denied to the extent that this is characterized as Mr. Clair’s “first focus.”

307. Mr. Clair’s experience, other than his rail background having worked at Union Pacific, has focused on providing general consulting work in the supply chain. CX_004321-23, Clair Report, Appendix A; CX_003390-93, Clair Dep. Tr. (Vol. 1) 60:10-63:17.

Response: Denied to the extent that the claims in this PFF mischaracterize and limit Mr. Clair’s relevant experience. Mr. Clair worked for several ship lines, many NVOCCs, chassis manufacturers, chassis leasing companies, shipping and drayage companies and port terminal operators. Clair Transcript.

308. Mr. Clair has never worked at a ship-owning company and has minimal experience working directly with ocean carriers. CX_004321-23, Clair Report, Appendix A.

Response: Admit that Mr. Clair has experience working directly with ocean carriers. Denied that Mr. Clair “never worked at a ship-owning company” in light of his extensive experience providing consulting services to supply chain companies, including ocean carriers. Clair Deposition Tr.; Clair Rebuttal Report.

309. Mr. Clair has no experience working with ocean carriers on D&D policies or compliance with the Shipping Act. CX_003367-69, Clair Dep. Tr. (Vol. 1) 37:16-39:9.

Response: Denied.

310. Mr. Clair’s only experience with D&D is with less than truckload motor carriers and rail, but none have involved drayage companies. CX_003369-72; CX_003377, Clair Dep. Tr. (Vol. 1) 39:17-42:23; 47:2-11.

Response: Denied. Mr. Clair has worked for drayage companies, as well as rail carload intermodal and trucking and shippers. Denied further in that this PFF mischaracterizes Mr. Clair’s experience. Mr. Clair was never asked about D&D for drayage companies. In his deposition, Mr. Clair testified regarding D&D for rail, carload, intermodal, and trucking. Clair Dep. Tr. p. 49; 96.

311. Mr. Clair’s experience was primarily related to waiver of outstanding demurrage in exchange for a new contract. CX_003385-86, Clair Dep. Tr. (Vol. 1) 55:7-56:8.

Response: Denied in that the claims in this PFF mischaracterize and misstate Mr. Clair’s experience. Namely, it is not waived, it is traded in a a commercial decision for a more valuable, longer term contract. Mr. Clair was also involved in building tariffs for D&D for trucking companies. Clair Transcript.

312. Mr. Clair has never published anything on ocean carriers or the ocean carrier industry because “two things drove what [he writes] articles on, and one of them is where are the areas in the

industry of the greatest amount of change and pain points and opportunities which are the subjects to which clients are likely to want to be hiring someone for, ...; and the second is, where are the clients located and who do I want to have as clients.” CX_003391-92; CX_003393, Clair Dep. Tr. (Vol. 1) 61:18-62:3; 63:22-25.

Response: Admitted in that this PFF correctly quotes the transcript. Denied insofar as this PFF mischaracterizes the testimony.

313. Mr. Clair does not follow updates from the FMC and is only familiar with the World Shipping Council at a very general level. CX_003399-3400, Clair Dep. Tr. (Vol. 1) 69:8-70:2; 70:10-22.

Response: Denied. This PFF mischaracterizes Mr. Clair’s deposition testimony. Mr. Clair testified that he does follow the relevant FMC updates through industry trade magazines and trade press. Clair Transcript p. 96.

314. Mr. Clair has extremely limited experience related to CNTs; his only experience is acting as an expert in one prior FMC case where CNTs were mentioned (*Samsung Electronics America, Inc. v. Zim Integrated Shipping Services Ltd.*, FMC Dkt. No. 22-30) (the “SEA/Zim matter”) and one matter he consulted on but could not testify whether he even reviewed the terms of the alleged CNT model that he said had been proposed and not adopted. CX_003422-27; CX_003427; CX_3434-36, Clair Dep. Tr. (Vol. 1) 92:15-97:15; 97:16-25; 104:20-106:7.

Response: Denied. See Clair Resume; see also Clair Transcript.

315. Mr. Clair thought the trucker in a CNT model would issue a bill of lading to the beneficial cargo owner and worked at the direction of the beneficial cargo owner. CX_003532, Clair Dep. Tr. (Vol. 1) 202:19-25.

Response: Denied in that this PFF mischaracterizes the testimony. Clair Tr. p. 202; denied. SEA's own witness, Maria Fernando, stated they issue the trucking bill of lading. Fernando Tr.

316. Mr. Clair asserts that SM Line is minimally involved with the railroads since SEA contracts with them and the *railroad* is responsible for providing SEA chassis. CX_003651-52, Clair Dep. Tr. (Vol. 2) 279:4-280:16; CX_004296, Clair Report ¶16; CX_004495, McCown Rebuttal ¶¶19-20.

Response: Denied in that this PFF mischaracterizes the testimony. Clair Dep. Tr. p. 279-280 of transcript.

317. This assertion is based on Mr. Clair's understanding that many railroads own or lease chassis which are used for domestic (not intermodal) moves. CX_003651-53, Clair Dep. Tr. (Vol. 2) 279:4-281:20; CX_004296, Clair Report ¶16; CX_004495, McCown Rebuttal ¶¶19-20.

Response: Denied. Chassis can only be used for intermodal moves, nothing else. Clair Dep. Tr. p. 279-280; Clair Rebuttal Report.

318. Mr. Clair is not a lawyer, but purports to be an expert with respect to the commercial terms of contracts, but not "the legal parameters and structures and any of that." CX_003414; CX_003416, Clair Dep. Tr. (Vol. 1) 84:4-12; 86:6-18.

Response: Admit that Mr. Clair is not a lawyer. Admit that Mr. Clair is an expert with respect to the commercial terms of contracts. Denied as to the remaining claims in this PFF in that they mischaracterize the cited testimony.

319. Mr. Clair is familiar with the FMC's Interpretive Rule "from a practitioner's standpoint." CX_003647-48, Clair Dep. Tr. (Vol. 2) 275:16-276:12.

Response: Admit.

320. His understanding of the Rule is that D&D should not be collected if a beneficial cargo owner “cannot influence movement of the container.” CX_003647-48, Clair Dep. Tr. (Vol. 2) 275:16-276:12.

Response: Admit with the caveat as to how much of this is long term. See Clair Rebuttal Report. So while some of the claims in this PFF may be true, if the container could be moved shortly thereafter, it is back in the bucket of the shipper. If there was not a chassis available on day one, and they hold it for 180 days, the whole 180 should not be counted because they could influence it after day one. *Id.*

321. Mr. Clair acknowledged that terminal congestion and closures and unavailability of chassis would be included in circumstances when D&D should not be charged. CX_004315, Clair Report ¶104; CX_003618-19; CX_003648-49, Clair Dep. Tr. (Vol. 2) 246:20-247:11; 276:17-277:2.

Response: Denied in that this PFF mischaracterizes the cited testimony.

322. Mr. Clair could not provide an expert opinion on whether SM Line’s D&D charges were reasonable under the FMC’s Incentive Principle for any charges that “he had no visibility” over (any charge SM Line did not collect itself). CX_003654-55, Clair Dep. Tr. (Vol. 2) 282:19-283:4.

Response: Admit that Mr. Clair had visibility into what SM Line billed and collected. Admit that Mr. Clair did not have visibility into what the terminals billed and collected. Admit that SM Line asked SEA for the data and did not receive it. Denied as to the remaining claims in this PFF.

323. For charges where he did “have visibility,” Mr. Clair similarly could not provide an opinion on whether the D&D charges were reasonable under the FMC’s Incentive Principle since

he did not have enough information. CX_003620; CX_003621; CX_003632; CX_003655, Clair Dep. Tr. (Vol. 2) 248:3-16; 249:3-9; 260:7-22; 283:5-23.

Response: Admit that Mr. Clair explained he needed the data and SEA did not provide it (namely the container by container analysis). Lee Dep. Tr. p. 248. Admit that Mr. Clair required additional information to answer the question posted to him. Denied as to the remaining claims in this PFF in that they mischaracterize the testimony cited.

324. Mr. Clair did not ask for additional information from SM Line regarding its D&D charges so as to be able to determine whether, in his opinion, they were reasonable. CX_003620, Clair Dep. Tr. (Vol. 2) 248:3-16.

Response: Denied. Repeats and incorporates the responses to PFF No. 322 and 323. Admit that SM Line requested this information of SEA and did not receive it.

325. Mr. Clair did not have the necessary data to perform a container by container analysis, since he would need “all the communications that tie to each container to know exactly why it was demurrage, why it was detention, when it went in, why it stayed in, and all of the communications and all the reasons that went with it.” CX_003632, Clair Dep. Tr. (Vol. 2) 260:7-22.

Response: Admit because SEA did not provide the container by container analysis.

XII. THE SCOPE AND DEPTH OF EXPERT DAMAGES WORK ALSO DIVERGES

A. SEA’s Expert’s Thorough Validation of SEA’s D&D Charges

326. SEA engaged Mr. Gregory E. Smith with Berkeley Research Group in the summer of 2023 to analyze the charges assessed by SM Line to SEA. CX_004446; CX_004448; CX_004457, Smith Report ¶¶3, 8, 25; CX_004134, Smith Dep. Tr. 12:11-17.

Response: Denied as stated. Mr. Smith's resume speaks for itself and is available in the record. Mr. Smith Resume.

327. Mr. Smith assumed SM Line is liable for the damages, as is the standard practice for a damages expert. CX_004448, Smith Report ¶8; CX_003792; CX_003793-34, Gauthier Dep. Tr. 123:7-13; 124:23-125:6.

Response: Denied as stated. Mr. Smith's report speaks for itself and is available in the record. Smith Report.

328. Mr. Smith drafted a damages report detailing the amount of damages SEA suffered due to SM Line's actions by analyzing the economic impact of the harmful event and then calculating the difference between SEA's actual economic position and what it would have been if the harmful act had not occurred. See CX_004457, Smith Report ¶25.

Response: Denied as stated. Mr. Smith's report speaks for itself and is available in the record. Smith Report.

329. Mr. Smith concluded that SEA has incurred direct damages of at least \$ [REDACTED] for inland transportation payments incurred in connection with SM Line shipments. CX_004448, Smith Report ¶8.

Response: Denied as stated. Mr. Smith's report speaks for itself and is available in the record. Smith Report.

330. Further, SEA incurred additional damages including, but not limited to: wages paid to employees hired specifically to process inbound containers and inland transportation charges; temporary staff hired for the same purpose; lease expenses for off-dock facilities utilized to handle overflow containers; and lost revenue due to products not delivered and available for sale at least totaling \$ [REDACTED]. CX_004448-49, Smith Report ¶9.

Response: Denied. SEA incurred expenses related to their new distribution center.

These charges do not relate to damages. Gauthier Report.

331. Mr. Smith investigated the source and accuracy of data provided by SEA, including, (a) determining the process by which SEA stored (and later gathered) the raw data on its damages claims; (b) spending time with SEA personnel reviewing the documentation supporting the claims for the purpose of understanding the information stored in SEA's document; (c) spot-checking the documentary support for SEA's claims to ensure that documentary evidence existed and supported the figures SEA presented as its damages claim. CX_004447-48, Smith Report ¶¶6-7; 37-38; 50; CX_004161-62, Smith Dep. Tr. 39:22-40:4.

Response: Denied. Spot-checking does not constitute sufficient data. Smith took SEA's document and did not review any supporting data, nor did Mr. Smith explain why he can extrapolate to the whole. Gauthier Report.

332. This information included, but was not limited to, invoices, waybills, and electronic payment files. CX_004465-66, Smith Report ¶¶37-38; *see also* CX_004161-62, Smith Dep. Tr. 39:22-40:4.

Response: Denied. Repeats and incorporates the response to PFF No. 331.

333. Mr. Smith's review included SM Line's D&D policies. CX_004470-72, Smith Report ¶¶49-53.

Response: SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

334. SEA's damages, shown in Exhibit No. 1 to the Smith Report, were extracted from SEA's SAP system, and include all charges on SM Line shipments recorded by SEA to its SAP

system from January 1, 2020 to December 31, 2022. CX_004464, Smith Report ¶¶35-36 & n. 67; *see also* CX_004161, Smith Dep. Tr. 39:2-22.

Response: SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

335. SEA employs a “Barracuda” data storage system that stores decades of data and automatically and routinely captures information from individual workstations. CX_002454, SEA 143(b)(6) Dep. Tr. 207:3-15.

Response: SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

336. The SAP system is an enterprise resource planning software system (“ERP”) that provides businesses with capabilities to manage business processes such as accounting, and logistics. CX_004465-66, Smith Report ¶37, n. 69.

Response: SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

337. SAP SE is a market leader in offering ERP systems and accepted through industries as a business-accepted practice. CX_004466, Smith Report ¶38.

Response: Denied. SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

338. In order to complete his assessment of the damages suffered by SEA in a industry-accepted manner, Mr. Smith reviewed supporting information for a number of container claims to assess the accuracy of the information in SEA’s SAP system as opposed to supporting data for each and every container carried by SM Line. CX_004466; CX_004468-69, Smith Report ¶¶38, 42-46; CX_005439-77, Smith Report, Exs. 4-10; CX_004161-62, Smith Dep. Tr. 39:22-40:4.

Response: Denied. Repeats and incorporates response to PFF No. 331. Mr. Smith does not quantify what he reviewed.

339. Mr. Smith reviewed supporting information for numerous container claims which “illustrated the accuracy of the information captured in SEA’s SAP system regarding inland transportation charges.” CX_004466, Smith Report ¶38.

Response: Denied. Repeats and incorporates response to PFF No. 331. Mr. Smith does not quantify what he reviewed. Mr. Smith does not even identify if he or his staff did it.

340. Mr. Smith reviewed data produced from SM Line from its own records documenting charges paid by SEA for D&D, which came from SM Line’s ALPS System. CX_004471, Smith Report ¶50; CX_004715, SM Line 143(b)(6) (Session III) Dep. Ex. 8.

Response: SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

341. Mr. Smith separated the inland transportation costs into a variety of categories as illustrated by Exhibit 1 of the Smith Report, which details every charge incurred by SEA related to SEA containers carried by SM Line from the second half of 2019 through the end of 2022. CX_005012-435, Smith Report, Ex. 1.

Response: Denied. Exhibit 1 is merely a print-out of SEA’s only internal schedule

342. The chart in Exhibit 1 details (i) the charges paid, (ii) the container numbers, (iii) the bill of lading numbers, (iv) the nature of the charge (*e.g.*, demurrage, detention, rail storage, etc.), (v) the invoice amounts, and (vi) the dates that the invoices were posted. CX_005012-435, Smith Report, Ex. 1.

Response: Denied. Repeats and incorporates the response to PFF no. 341. The PFF is just naming the columns.

343. SEA provided to SM Line SEA's files with respect to these charges, collectively \$ [REDACTED]. CX_004464, Smith Report ¶35.

Response: Denied.

344. Exhibit 2 to the Smith Report provides cumulative charges for each category by quarter. CX_005437, Smith Report, Ex. 2.

Response: Denied. SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute the accuracy of the data.

345. Exhibits 1.1 and 2 to the Smith Report detail the types of damages and associated costs, including (1) demurrage; (2) rail storage; (3) equipment detention; (4) rehandling; (5) yard storage; (6) prepull; (7) chassis usage; (8) expedite; (9) diversion; (10) driver detention; (11) chassis flip; (12) chassis reposition; and (13) chassis split. CX_005436; CX_005437, Smith Report, Exs. 1.1 & 2.

Response: Denied. Repeats and incorporates the response to PFF No. 344. SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute the accuracy of the data.

346. Mr. Smith conducted quality assurance checks on the accuracy of the SEA data and confirmed that "the charge data produced by SEA provides a sound basis from which to compute direct damages in this matter." CX_004466, Smith Report ¶38; CX_004161-62, Smith Dep. Tr. 39:22-40:4.

Response: Denied. Mr. Smith did not quantify how much data he reviewed and has not cited a reason to support this conclusion.

347. The collective amount, \$ [REDACTED], excluded charges prior to April 20, 2020, rendering SEA's direct damages claim to at least \$ [REDACTED], CX_004464, Smith Report, n. 67, to which SEA has calculated the exact amount to be \$ [REDACTED], with the supporting calculations in the initial brief. Brief at 68 n.22.

Response: Denied. This collective amount does not exclude charges and in fact includes older charges.

348. Mr. Smith's finding that SEA "incurred and paid approximately at least \$ [REDACTED] for 'inland transportation' charges in connection with SM Line shipments" was not a typographical error as suggested in the report by SM Line's damages expert, *see* CX_004377, Expert Damages Report dated Mar. 1, 2024 Prepared by Mark E. Gauthier ("Gauthier Report"), ¶2, n. 1, as recognized during deposition testimony of SM Line's damages expert, as the amount appeared consistent with the data on the record. CX_003846, Gauthier Dep. Tr. 177:13-17.

Response: Denied.

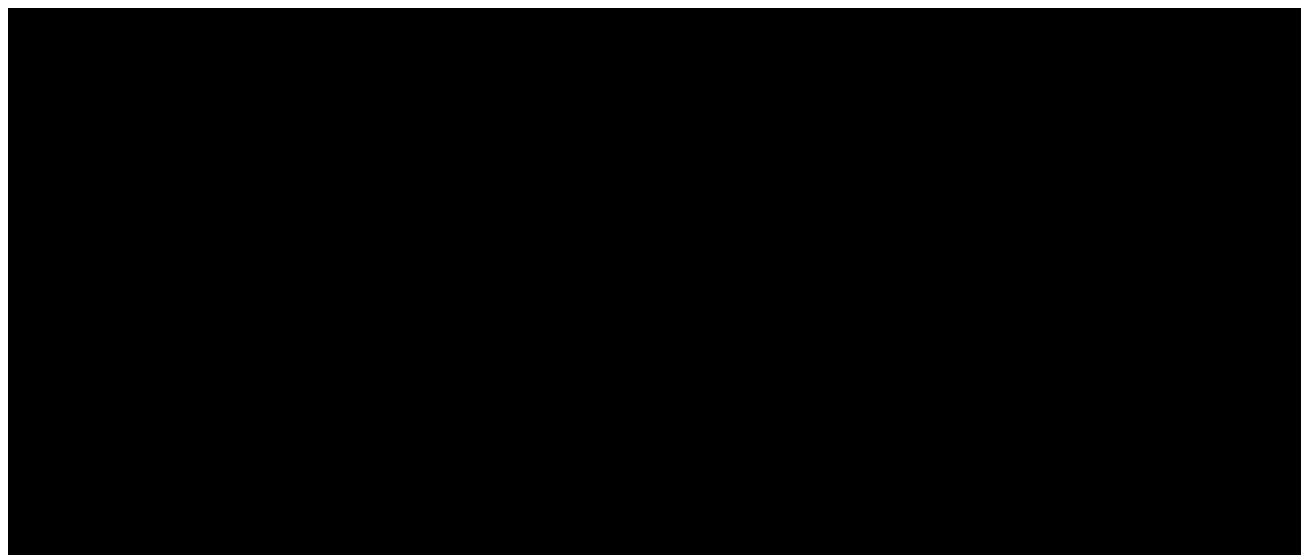
349. The Smith Report details how entities other than SM Line received a large share of inland transportation charges incurred by SEA. *See, e.g.*, CX_004458; CX_004467, Smith Report ¶¶27, 41; CX_005437, Smith Report Ex. 2.

Response: Denied.

350. SM Line's operating profit in 2021 was [REDACTED] and in 2022 was [REDACTED] of the revenue. CX_004451, Smith Report ¶15, Table 1.

Response: Denied. SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute the accuracy of the data claimed in this PFF.

351. SM Line's collection of D&D increased dramatically between 2018 and 2022. CX_004452, Smith Report ¶16, Chart 1; CX_004548, SM Line 143(b)(6) (Session II) Dep. Ex. 4.



Response: Denied. SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute the accuracy of the data claimed in this PFF.

352. During the pandemic, port congestion, shortage of truck drivers and truck chassis affected the movement of cargo, elevating dwell times, causing landside bottlenecks, and continued chassis shortages. CX_004455, Smith Report ¶22.

Response: Admit.

353. Starting in 2020, "SM Line stopped managing inland transportation charges itself (that is, SM Line stopped first paying inland transportation charges itself and, if warranted for some cause of the consignee, then billing the consignee after containers were delivered) and started requiring SEA to arrange payment for demurrage charges directly to terminals or to SM Line before SM Line would allow containers to be released for further inland movement or inland delivery by SM Line." CX_004454, Smith Report ¶20.

Response: Denied. SM Line tried to manage it and SEA directed SM Line to use their CNTs. Gauthier Report.

354. During this time, SEA was compelled to pay millions of dollars in inland transportation charges on SM Line shipments. CX_005437, Smith Report, Ex. 2.

Response: Admit that SEA had to pay a certain amount in charges. Denied any characterization that SM Line compelled SEA payments.

355. Under Store Door terms, ocean carriers are responsible for arranging the transportation of cargo over land, including lining up chassis, with intermodal equipment providers. CX_004461, Smith Report ¶32.

Response: Denied.

356. SM Line directed SEA to pay rail storage charges incurred by SM Line to the railroad before allowing trucks to pick up and move containers in the inland destinations. CX_004461, Smith Report ¶33.

Response: Denied.

357. SM Line directly received \$ [REDACTED] of the total payments made on inland transportation charges. CX_004467, Smith Report ¶41.

Response: SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

358. Third parties, such as P.B. Industries, Advanced International Freight, SDSA, and Paycargo, also received large amounts of the total inland transportation charges incurred by SEA in connection with containers shipped by SM Line. CX_004467, Smith Report ¶41.

Response: Admit that P.B. Industries, Advanced International Freight, SDSA, and Paycargo, received the charges but deny the remaining characterizations in this PFF.

359. Assuming SM Line is responsible for charges related to inland transportation, “[w]hether the amounts were paid to SM Line, a container terminal, a rail carrier or another party, the amounts represent damages to SEA.” CX_004458, Smith Report ¶27.

Response: Denied.

360. Of the inland transportation charges paid by SEA for SM Line shipments, \$ [REDACTED] of the total \$ [REDACTED] were greater than \$ [REDACTED] (the charge waiver approval limit for the head of SM Line’s U.S. office). CX_005481-573, Smith Report, Ex. 14; CX_004470-71, Smith Report ¶49.

Response: SM Line cannot confirm or deny the claims set forth in this PFF because there is insufficient evidence in the record to support or refute.

361. SEA recorded payments totaling \$ [REDACTED] for equipment detention inland transportation charges to SM Line, port terminals and rail lines, and other parties. CX_004471, Smith Report ¶50; CX_005437, Smith Report, Ex. 2; CX_004715, SM Line 143(b)(6) (Session III) Dep. Ex. 8.

Response: Denied. SM Line does not have a record of the payments referenced in this PFF.

362. SM Line data shows it collected \$ [REDACTED] for the same equipment detention charges over roughly the same period. CX_004471, Smith Report ¶50; CX_005437, Smith Report, Ex. 2; CX_004715, SM Line 143(b)(6) (Session III) Dep. Ex. 8.

Response: Denied.

363. SEA records demonstrate demurrage payments of \$ [REDACTED]; in contrast, SM Line only recorded \$ [REDACTED] in demurrage payments. According to Mr. Smith, this is likely explained

by looking at the portion of demurrage paid to the port terminals and not received by SM Line. CX_004471, Smith Report ¶51.

Response: Denied.

364. To mitigate the dramatic increase of inland transportation charges, SEA incurred significant additional costs to protect its supply chain. CX_004472-73, Smith Report ¶54.

Response: Denied to the characterization of this PFF. SEA chose to incur additional costs. SEA could have taken action to mitigate the costs but failed to do so. Gauthier Report.

365. The additional costs include: (1) the additional personnel hired to handle the “dramatic increase of land transportation charges” that SEA was being assessed by ocean carriers in 2021 and 2022, and (2) the costs of leasing short term leases for the off-dock container yards that SEA used to remove containers from the port terminals so as to reduce or eliminate demurrage and/or storage charges being assessed against those containers by the port terminals, the ocean carriers, and the rail carriers. CX_004472-73; CX_004474-75, Smith Report ¶¶54-55, 58; CX_005478, Smith Report Ex. 11.

Response: Denied. Repeats and incorporates the response to PFF NO. 364.

366. Mr. Smith estimated the portion of the additional costs attributable to SM Line by utilizing the percentage of SEA’s shipments that SM Line managed between January 2020 and December 2022, which was [REDACTED] or \$ [REDACTED] in costs when applying the percentage and \$ [REDACTED] in container leading space costs. CX_004474-75, Smith Report ¶¶57-58.

Response: Denied. Mr. Smith estimated the portion but utilized the wrong methodology. His estimate is incorrect. Gauthier Report.

367. The additional costs include inland transportation costs for containers when SEA arranged for transportation services due to SM Line’s failure to fulfill this obligation, including

trucking, fuel, and gating and lift charges, CX_004475, Smith Report ¶59; CX_005479, Smith Report Ex. 12, and these \$ [REDACTED] are direct, hard costs that Mr. Smith testified were unavoidable in order to mitigate SEA losses further. CX_004152-54, Smith Dep. Tr. 30:10-32:4.

Response: Denied.

368. SEA lost revenue due to late delivery of SEA products, which required the products to be discounted. CX_004476, Smith Report ¶62.

Response: Denied.

369. Mr. Smith used a conservative loss figure to reach the calculation of lost revenue damages. CX_004476, Smith Report ¶62; *see also* CX_005480, Smith Report, Ex. 13.

Response: Denied.

370. SEA's lost revenue claim is "measured by the difference between the originally contracted purchase price for these products and the discounted price actually realized by SEA." CX_004476, Smith Report ¶62. While SEA "lost \$ [REDACTED] in sales on these products," CX_004476, Smith Report ¶61, a reasonable estimate of these associated damages amounts to \$ [REDACTED], which accounts for an effective discount at 10% of lost noted. CX_004476, Smith Report ¶62.

Response: Denied. The claims in this PFF just repeat Mr. Smith's report.

B. SM Line Expert's Lack of Industry Expertise and Borrowed Work Product

371. SM Line's damages expert, Mr. Mark Gauthier, submitted a rebuttal report to SEA's damages expert, Greg Smith. CX_004372-443, Gauthier Report.

Response: Admit.

372. Mr. Gauthier was engaged on or about February 13, 2024 to serve as SM Line's damages expert. CX_003682, Gauthier Dep. Tr. 13:7-25.

Response: Admit.

373. Mr. Gauthier was not engaged to determine SM Line's liability. CX_003778; CX_003822; CX_003867 Gauthier Dep. Tr. 109:4-11; 153:8-10; 198:11-13.

Response: Admit.

374. He did not prepare the initial draft report, only received the Smith Report on or about February 21, 2024, and did not review the evidentiary record but reserved his right to alter his conclusions. CX_003690; CX_003780-81; CX_003913, Gauthier Dep. Tr. 21:3-5; 111:3-112:15; 244:12-21.

Response: Denied. See Gauthier Dep. Tr.

375. Mr. Ricardo Zayas, recently retired and the expert in the SEA/Zim matter, acted as a consultant for Mr. Gauthier's report, meeting with him multiple times during the preparation of the report. CX_003902-03; CX_003904, Gauthier Dep. Tr. 233:7-234:11; 235:3-5.

Response: Denied. Repeats and incorporates the response to PFF No. 374. Gauthier Dep. Tr.

376. After testifying that his colleague Tammy Thomas had prepared the first draft of the report, Mr. Gauthier admitted this was incorrect and that instead Mr. Zayas "took the first pass ... at the report." CX_003780-81; CX_003905-06, Gauthier Dep. Tr. 111:3-112:4; 236:19-237:16.

Response: Denied. Repeats and incorporates the response to PFF No. 374. Gauthier Dep. Tr.

377. Mr. Zayas' Report in the SEA/Zim matter and Mr. Gauthier's Report in this matter include nearly identical language. CX_003904-09, Gauthier Dep. Tr. 235:13-240:4.

Response: Denied.

378. As stated in the Limitations section of his report, the entirety of the documents Mr. Gauthier considered when writing his report were limited to the Smith Report and Exhibits thereto. CX_003796, Gauthier Dep. Tr. 127:6-21.

Response: Denied; the report speaks for itself.

379. Despite receiving additional documents from SM Line, Gauthier did not consider any additional documents when creating his expert report. CX_00796-97, Gauthier Dep. Tr. 127:22-128:21.

Response: Denied. Dep. Tr.

380. Mr. Gauthier did not interview anyone at SM Line when preparing his report because he did not think it was necessary for a rebuttal, but “[he] would assume that [he] would be able to interview whomever at SM Line [he] would want to interview.” CX_003778; CX_003822; CX_003867, Gauthier Dep. Tr. 109:4-11; 153:8-10; 198:11-13.

Response: Admit.

381. In addressing particular shipping expertise in damages matters, Mr. Gauthier only recently has served as a consulting witness in a maritime matter starting in the summer of 2023. CX_003736-37, Gauthier Dep. Tr. 67:2-68:2.

Response: Denied.

382. He does not have substantive knowledge of the Shipping Act, Incentive Principle, Federal Maritime Commission, D&D, or even what a cargo hold is past that it is “the amount of time that cargo is held at a location.” CX_003742-43; CX_003744-45; CX_003745, Gauthier Dep. Tr. 73:6-74:7; 75:3-76:6; 76:9-15.

Response: Denied.

383. Mr. Gauthier struggled to address the assumption of liability in his damages work. CX_003792; CX_003793; CX_003793-94, Gauthier Dep. Tr. 123:7-25; 124:7-15; 124:23-125:6.

Response: Denied.

384. He admitted that SEA has suffered damages. CX_003868, Gauthier Dep. Tr. 199:16-23.

Response: Denied. Gauthier Dep. Tr.

385. Mr. Gauthier's primary basis for challenging the Smith Report was that Mr. Smith made unreasonable assumptions, disregarded relevant facts and did not consider relevant documents, but Mr. Gauthier (1) did not review the documents Mr. Smith considered in his report and (2) could not identify relevant documents that Mr. Smith failed to consider. CX_003816; CX_003880, Gauthier Dep. Tr. 147:5-8; 211:11-18.

Response: Denied.

386. When calculating the damages related to CNTs, Mr. Gauthier assumed that appointment of a CNT "relieved SM Line of certain responsibilities that might otherwise exist within a store door arrangement." CX_004386, Gauthier Report, p. 15.

Response: Denied as this PFF mischaracterizes Mr. Gauthier's report and testimony. Mr. Gauthier rebutted the damages, he was not calculating the damages.

387. When drafting his report, Mr. Gauthier did not know that some truckers were both house truckers and CNTs for SM Line and SEA, respectively and admitted that this would have been important to know in drafting his report opining on choice with respect to CNTs and influenced his assessment of damages. CX_003824-25, Gauthier Dep. Tr. 155:4-156:4.

Response: Denied. Gauthier Dep. Tr.

388. Mr. Gauthier was unaware that SEA had in fact at times requested to use a house trucker and SM Line had refused, insisting that the CNT be used. CX_003833, Gauthier Dep. Tr. 164:11-16.

Response: Denied. Gauthier Dep. Tr.

389. He also had not read SM Line's corporate designee testimony, stating that SM Line did not have CNT agreements for 2020-2022. If he had known this, he would have considered it in developing his analysis. CX_003821-23, Gauthier Dep. Tr. 152:5-154:25.

Response: The transcript testimony speaks for itself.

390. Mr. Gauthier's report described increases in "Samsung Worldwide Revenue," which he admitted applies to the entire Samsung conglomerate (and not just SEA). CX_003889, Gauthier Dep. Tr. 220:4-11.

Response: The transcript testimony speaks for itself. Gauthier Report; Gauthier Dep. Tr.

391. He admits that his inclusion of the Samsung Worldwide Revenue increase in his report was "simply drawing a correlation" to show increased revenue during the same period. CX_003889-90, Gauthier Dep. Tr. 220:12-221:4.

Response: Admit.

392. Mr. Gauthier's report does not explain why Samsung Worldwide Revenue during the relevant period would offset damages suffered by SEA due to SM Line's conduct, nor does he provide a citation or analysis demonstrating that Samsung increased its profits by [REDACTED] during the relevant period nor the causes of the alleged increase nor that it impacted SEA products. CX_004388-89, Gauthier Report, p. 17-18.

Response: Denied.

393. The Gauthier Report cites figures regarding Samsung Electronics Co., Ltd, not Samsung Electronics America, Inc. CX_004388, Gauthier Report, p. 17.

Response: Denied.

XIII. SEA'S DAMAGES AND PRAYER FOR RELIEF

394. SEA's direct damages in the nature of the inland transportation charges were excessive and should not have been passed on to SEA by SM Line under store door terms, which damages total over \$ [REDACTED] dollars. CX_004448, Smith Report ¶8.

Response: Denied.

395. SEA's additional damages in the form of additional expenditures SEA had to incur because of SM Line's failure to provide store door delivery of SEA shipments and lost revenue total \$ [REDACTED] dollars. CX_004448-49, Smith Report ¶9.

Response: Denied.

Dated: May 15, 2024

Respectfully submitted,
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 15th day of May 2024, the foregoing document was served via electronic mail on:

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